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OECD ECONOMIC SURVEYS

1999

SPECIAL FEATURES

Transport policy

Structural reform

ITALY

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1998-1999

ITALY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF ITALY

THE LAND

Area (thousand sq. km)	301.3
Agricultural area (thousand sq. km), 1995	165.2

Major cities, 1.1.90 (thousand inhabitants)	
Rome	2 804
Milan	1 449
Naples	1 204
Turin	1 003

THE PEOPLE

Population, 31.12.97, thousands	57 563
Number of inhabitants per sq. km	191
Net natural increase, 1997, thousands	–24
Net rate per 1 000 inhabitants, 1996	–0.4

Labour force, 1997, thousands	22 891
Employment, 1997, thousands	20 087
In agriculture	1 370
In industry	6 449
In services	12 268

PRODUCTION

Gross domestic product in 1997 (trillions of lira)	1 951
GDP per head (1997 US$)	19 899
Gross fixed capital formation	
Per cent of GDP in 1997	16.7
Per head in 1997 (US$)	3 314.5

Origin of gross domestic product in 1997 at market prices, per cent of total	
Agriculture	2.6
Industry	25.6
Construction	4.9
Other	66.9

THE PUBLIC SECTOR

Current expenditure in 1997 (percentage of GDP)	48.0
Current revenue in 1997 (percentage of GDP)	47.9

Gross financial liabilities in 1997 (percentage of GDP)	121.7
General government investment in 1997 (percentage of total investment)	14

FOREIGN TRADE

Exports of goods and services, as a percentage of GDP, 1997	25.8
Main export categories, as a percentage of total exports, 1997	
Manufactured goods	35.8
Fabric and textile goods	16.6
Chemical products	8.6
Transport equipment	9.8
Mineral fuels	3.9

Imports of goods and services as a percentage of GDP, 1997	23.6
Main import categories, as a percentage of total imports, 1997	
Food stuffs	7.0
Manufactured goods	23.8
Metal, ores and scrap	9.2
Chemical products	14.1

THE CURRENCY

Monetary unit: Lira

Currency units per US$, average of daily figures:	
Year 1997	1 703
September 1998	1 682

This Survey is based on the Secretariat's study prepared for the annual review of Italy by the Economic and Development Review Committee on 15th October 1998.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 9th November 1998.

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The previous Survey of Italy was issued in April 1997.

Assessment and recommendations

Overview of current policy issues

Macroeconomic policies have been instrumental in lowering both the average rate of inflation and the budget deficit to levels consistent with the criteria for entry into the European Economic and Monetary Union (EMU). Premia on long term interest rates have almost disappeared as a consequence. The exchange rate has been stable within the ERM since late 1996, and in May 1998 Italy became one of the eleven founder members of the EMU. With this primary political objective achieved, the tasks of economic policy are to consolidate the substantial progress made on the macroeconomic front, and implement the structural reforms needed for faster employment growth. Against this background, the *Survey* focuses on the role of both fiscal and structural policies in providing the basis for non-inflationary growth and a lowering of structural unemployment. Following a review of recent trends and short-term prospects (Chapter I), Chapter II of the *Survey* provides an evaluation of the fiscal policy requirements for public debt to be placed firmly on a downward path, and for the burdens of a relatively inefficient public sector and high taxes to be relieved. As a contribution to the debate on how to improve efficiency in a sector hitherto greatly affected by government intervention, the special chapter deals with issues pertaining to transport. The final Chapter of the *Survey* contains an appraisal of progress being made in structural reform more generally, following the recommendations made for Italy under the *OECD Jobs Strategy* in last year's *Survey*.

Output growth is less rapid than in most European economies

The pick-up in activity during 1997 – when GDP grew by 1½ per cent – owed much to inventory accumulation and the impact of special incentives for car purchases (introduced in early 1997), which boosted private consumption.

As these influences waned, the first half of 1998 saw another growth pause. The level of industrial output declined in the three months to June and real GDP growth was below 1 per cent in the first half. The factors affecting growth in the second half appear finely balanced. Italy's export competitiveness in some important export sectors has been affected by the devaluations in Asia, but export performance is sound and export-market growth remains quite buoyant. Investor uncertainty has increased with the volatility of global financial markets, but fixed investment should be supported by falling costs of capital and tax breaks for residential construction. Personal disposable incomes are still lower in real terms than five years ago, but stronger real income growth should begin to support consumption, so that the expansion could become more broadly-based. Although the contribution of the foreign balance to growth will remain negative, imports are slowing sharply. Overall, real GDP growth is thus projected to be around 1½ per cent in 1998. It could rise to 2 to 2½ per cent in the following two years, but the rate of growth is likely to remain weaker than in most European countries. With the terms of trade improving and import growth decelerating, the trade surplus is expected to grow despite the adverse effects of currency depreciation in Asian countries. This, together with the projected disappearance of the deficit on the invisible account, may keep the current account surplus close to 3½ per cent in 1999, reinforcing Italy's newly-achieved position as a net creditor *vis-à-vis* the rest of the world.

Unemployment has remained high and inflation has converged to EU levels

Given the relatively slow pace of the recovery, labour market conditions remain weak. The unemployment rate, at about 12 per cent in the first half of 1998, is close to its 1997 high. While the structural rate of unemployment seems to have risen during the 1990s, labour market slack is considerable, and there has been a marked decline in inflation. Indeed, the process of disinflation strengthened in 1997, the annual rise in consumer prices falling to 1¾ per cent, the lowest rate in 30 years and well below the government target of 2½ per cent. Although VAT rates were raised in October 1997, consumer-price inflation in the first eight months of 1998 remained close to rates seen in the best-performing EU countries and in line with the 1.8 per cent

1998 inflation objective. Recent wage settlements and productivity trends suggest that inflation should stabilise at around 2 per cent in the short term. In respect of future settlements, it would appear that wage behaviour is in the process of adapting in anticipation of the external discipline which will be imposed by the common currency regime. Greater competition – both globally and in the wake of domestic deregulation – would imply that if any wage pressure does materialise the impact should be more on labour demand and employment than on price inflation.

Monetary policy caution has led to exchange rate stability and interest rate convergence...

Monetary policy has played an important role in the disinflation process, as inflation expectations have responded favourably to stability in the nominal exchange rate and prospects of early EMU membership. The nominal exchange rate hovered consistently close to central rates from late 1996 onwards and its variability has since dropped sharply. In the face of favourable fiscal and inflation developments, the Bank of Italy has lowered official rates gradually, in a sequence of moderate and frequent steps, but the stance of monetary policy has remained fairly tight: the three-month money-market rate is 75 basis points above the German equivalent and at around 2½ per cent short-term real interest rates are at about the same level as in Germany. The rapidly improving record of stabilisation policies has bolstered market confidence, reinforcing the decline in bond yields. The spread *vis-à-vis* Germany had fallen below 30 basis points for ten-year bonds even before the announcement of Italy's EMU participation and is now around 25 as against 600 points in March 1995. For the first time in many years, the long-term interest rate differential has fallen below the observed inflation differential *vis-à-vis* Germany.

... and monetary conditions are set to ease with the transition to EMU

While the flatness of the Italian yield curve is evidence of a relatively restrictive stance of monetary policy, real short-term interest rates have fallen by nearly 500 basis points since March 1995. And as the transition to EMU nears its end, interest rates are set to fall further, the extent of the decline being conditioned by conjunctural trends in the EMU area as well as by international confidence in the euro. The OECD assessment is that anticipation of the regime

shift associated with EMU has had a salutary impact on inflation expectations among labour-market participants. This, together with the disappearance of the exchange-rate risk, will permit the economy to operate at lower interest rates than would have been formerly possible without creating inflationary pressures.

The Maastricht budget deficit criterion has been met but public debt remains high

A sharp reduction in the budget deficit has helped to improve the conditions for non-inflationary economic growth. The general government deficit was cut by 4 percentage points to 2.7 per cent of GDP in 1997, thereby meeting the Maastricht deficit criterion. The deficit cut was one of the largest annual retrenchments recorded in the OECD area. Importantly, it resulted from improved control of primary spending, which has significantly reduced the structural deficit, as well as from lower interest payments and temporary tax measures (the Eurotax). Assisted by surging privatisation yields, the 1997 deficit cut has maintained public debt on a downward path, the debt/GDP ratio easing to 121.6 per cent from the previous high of 124.9 per cent in 1994. At the same time, falling bond yields have been associated with a lengthening of the average maturity of public debt (which was 5 years in September 1998), making budgetary outcomes less vulnerable to variations in short-term interest rates. However, the outstanding debt burden constitutes a source of potential instability, and reducing it steadily and substantially remains one of the most severe challenges facing economic policy.

Fiscal policy will need to remain restrictive

The budget for 1998 provides for a deficit of 2.6 per cent of GDP, and at mid-year it was on track, despite early revenue weakness. Significant progress has been made towards improving public expenditure planning and control, which makes for some optimism that Italy can meet its international commitments under the Stability and Growth Pact. The new three-year plan foresees the deficit shrinking to 1 per cent of GDP in 2001. The proposed mode of fiscal consolidation, reducing expenditure more rapidly in terms of GDP than revenues, is welcome from the perspective of resource allocation, as is the rise in capital spending after several years of decline. However, at an officially projected

107 per cent of GDP in 2001, public debt would still be far above the Maastricht debt ceiling of 60 per cent, and the assumption of output growth averaging 2.7 per cent over the three years to 2001 may prove optimistic, especially if the economy were to experience an unexpected cyclical slowdown. To ensure that budgetary flexibility is maintained there would thus be a need for speeding up the deficit reduction while the economy is growing, which would necessitate larger cuts in primary current spending. This would also increase the scope for reducing tax pressure.

Pension reform has been substantial but the results will need to be monitored closely

Fiscal outcomes over the medium- and longer run will be influenced by the evolution of pension expenditure, which at 15 per cent of GDP in 1997 continues to be among the highest in the OECD area. Thanks to structural measures introduced in the first half of the 1990s, the expansion of pension outlays has slowed considerably. According to the latest set of measures (the *Prodi Agreement* of 1997) the increase in the early retirement age is to be phased in more rapidly; the harmonisation of public and private pension regimes is to be brought forward, and pension contributions paid by the self-employed are being increased, so this trend should continue. Nevertheless, official projections continue to point to pension spending rising a further percentage point relative to GDP up to 2010, before the expenditure share stabilises. Given that this estimate depends on retirement responses to eligibility rules and replacement rates, to which some uncertainty attaches, further initiatives may be necessary to ensure that the pension spending stabilises as planned. Significant benefits could be obtained by shortening the transition period to a comprehensive contribution-based regime; tightening eligibility criteria for early retirement, and bringing forward the year envisaged for the elimination of such "seniority" pensions (2013). Since pension commitments represent long-term implicit contracts, future periodic revisions of the system should be kept to a minimum and recourse to temporary measures avoided. It should be noted that more effective control of pension spending is needed not just to complete the consolidation process, but to enlarge the scope for raising social expenditures for individuals and families in distress, which at less than 4 per cent of GDP are low by EU

standards. Despite recent initiatives to widen family income support, Italy is one of the few OECD countries without an effective and comprehensive social safety net.

Changes in the structure of taxation and contributions go in the right direction

The 1998 budget embodies important measures of tax reform, which are intended to introduce greater fairness and efficiency into the tax system through rationalisation and simplification. In consonance with recommendations made by the *OECD* in its *Jobs Study* of 1994 the thrust of the 1997-98 tax reform is to reduce personal and corporate income taxes as well as employers' social security contributions, while raising indirect taxes, broadening the tax base and reducing the tax discrimination against labour income and equity capital. By broadening the tax base and at the same time transferring the financing of part of social security expenditure from contributions to a regional tax on value added, the aim is to reduce the tax component of labour costs. It is also to make taxation more neutral as regards its impact on companies' decisions on sources of finance and on the mix of production factors by taxing retained earnings at a lower rate than distributed profits while taxing capital gains in the same way as other unearned income. EU harmonisation has also entailed a simplification, and rise, in the VAT. Representing the most important tax reform measures since the early 1970s, these changes are likely to increase work incentives, reduce tax and contribution evasion and stimulate factor demand via cuts in taxes on labour and capital. The potential job-creating effects of this reform are quite significant. Accompanying the tax reform has been the devolution of substantial taxing powers from the central government to the regions. As a result, the share of tax receipts accruing to local authorities should rise to more than 10 per cent of general government revenue in 1999 from around 5 per cent in 1997, reducing excessive centralisation of government receipts. However, as noted in earlier *Surveys*, an effective shifting of taxing power from the centre to the periphery requires two essential conditions to be met, one being the development of proper budgeting procedures at local level, the other the creation of efficient local tax administration. In this respect, recent progress made in rolling back tax evasion is encouraging.

Decentralisation coincides with reform of the public administration

The devolution of taxing powers to regions has gone hand-in-hand with a reallocation of spending responsibilities, including health, environment and education. As noted in last year's *Survey*, such a devolution should be compatible with maintaining a steering capacity at the central level. Coming at a time of greater need to enforce budget discipline at all levels of government, budgetary decentralisation requires new reporting systems so as to ensure effective control over general government spending. Such systems have already come into operation, contributing to the achievement of fiscal targets in 1997, and should be cemented by formal arrangements between central and local governments. The redistribution of government responsibilities coincides with both a gradual downsizing of the general government and a far-reaching reform of public administration (the so-called *Bassanini Reform*). The aim of the reform is to apply private-sector principles in an effort to lift public-service efficiency, which in Italy is rather low by international standards. It should lead to a contraction of the central government over the medium run and a corresponding redeployment of the work force within the general government. However, implementing the reform could be facilitated by making the reform process more transparent via the issue of a calendar of objectives, progress reports and press releases.

A wide range of deregulatory initiatives have been taken in non-financial services

The momentum of reform has also been gathering pace in the private service sectors. Regulations for retail shops were simplified in March 1998, lengthening opening hours, permitting limited Sunday opening, and abolishing restrictions on the creation of non-food shops with a surface of less than 250 square metres. Similar deregulatory reforms should be extended to other trades and professions where entry restrictions still prevail. In the telecommunications sector, where a new regulatory authority became operative in May 1998, the government granted national mobile and fixed telephone licences to new suppliers with foreign participation, which should ensure a degree of national and international competition: greater competition has already reduced costs for long-distance and international calls. Based upon legislation of April 1998 and a further government initiative of November, the electricity market is to be

liberalised, ENEL being scheduled to be split into three divisions (production, transmission and distribution) in accordance with the EU electricity market directive. In the meantime, the new regulatory authority for the electricity and gas sector, which began operation in 1997, presented evidence of a distorted tariff structure and the related over-pricing for household users of gas and electricity. Utility costs being high by international comparison, further measures will need to be adopted to achieve the full benefits of competition.

The financial service sector has been substantially liberalised, but competition needs to be enhanced

From a financial market perspective, reform measures have included the transformation of the stock exchange and securities markets from public institutions into corporations (September 1997) and the new law on financial intermediation (February 1998), derestricting the managed savings industry, simplifying procedures for take-over bids and strengthening the rights of minority shareholders to some degree. In anticipation of the establishment of the European Central Bank, the law has also made the Bank of Italy responsible for supervising markets relevant for monetary policy, i.e. the screen-based wholesale markets in government securities and the inter-deposit markets. The reforms will need to be monitored to ensure that fines and sanctions against insider trading are adequate. Together with the 1998 corporate tax reform, which is likely to spur equity issues and encourage stock-market listing, recent reforms should widen the financing horizons for Italian enterprises. In banking, which is a sector marked by overstaffing, high labour costs and fragmentation, nominal wage moderation, privatisation and mergers and acquisitions have been key engines of adjustment. A new labour agreement for banking employees (February 1998) has widened the use of more flexible forms of employment, lengthened opening hours and set up a new fund for training and early retirement, while containing the total wage bill. Tax incentives were introduced in March 1998 to speed up the sales of public banks controlled by foundations (*fondazioni*), which are owned by regional and municipal authorities and have tended to be rather slow-moving. Accelerating the privatisation of banks and enhancing competition in the banking industry should remain a matter of priority.

The pace of privatisation has increased and should continue to foster competition

The basis for future growth has also been improved with the acceleration of privatisation, total receipts of which surged by L 38 trillion or close to 2 per cent of GDP in 1997, making Italy one of the largest privatisers in that year. Nearly two thirds of privatisation receipts were used for public debt redemption. Highlights of privatisation in 1997 included sales of stakes in banks (*Banco di Napoli, Banca di Roma, Istituto Bancario San Paolo di Torino*), in the energy conglomerate *(ENI)* and the telecom utility *(Telecom Italia)*. Alongside state privatisations, sales of municipality assets have begun to be made, reflecting simplified procedures for changing local public companies (*aziende speciali*) into corporations. Privatisation is likely to continue in 1998, with a fourth tranche of ENI being sold and the sale of *Banca Nazionale del Lavoro* and *Autostrade SpA*, the highway company, under preparation. The medium-term economic plan of April 1998 calls for state privatisation proceeds to average an annual 0.6 per cent of GDP in the 1999-2001 period. The government has retained a golden share in two privatised companies, *ENI* and *Telecom Italia*, prolonging the state presence in the telecommunications, oil and gas sectors. Overall, the scale and scope of privatisation has been impressive. The process has been conducted in a relatively open manner with respect to foreign capital and this principle should continue to apply to future privatisations. It is also essential that privatisation and the framework for corporate governance continue to foster and encourage competition.

Reform has led to greater labour-market flexibility, but structural problems remain

While employment should grow as the economic expansion gathers pace and the liberalisation process takes effect, the structural rate of unemployment, measured by the unemployment level at which inflation will stabilise, is now an estimated 11 per cent, which is one of the highest rates among OECD countries. Earlier *Surveys* welcomed the Italian approach to labour-market reform, based upon social consensus *(concertazione)*. There are strong indications of labour markets having become less rigid, especially in the north. Atypical work contracts have grown in importance: labour has been used more flexibly as an input of production (week-end work and a greater number of daily shifts); regional wage differentials have widened marginally, and labour mobility has begun to rise from low levels. This trend

towards greater labour market flexibility should continue with the implementation of labour market measures introduced during the last three years, including the establishment of private employment agencies and special contracts between social partners and local authorities to stimulate job and firm creation (*patti territoriali* and *contratti d'area*). In some areas, however, the pace of reform has been slow: for example, in education, training and the modernisation of public employment offices. Wage differentials continue not to be sensitive enough to productivity differentials, while a pervasive legal and administrative extension of wage contracts continues to protect labour-market insiders. Female participation remains low nation-wide, and the creation of part-time jobs is insufficient. Long-duration unemployment has trended up throughout the current expansion. Moreover, the introduction through law of the 35-hour week in 2001 would represent a backward step if it raised unit labour costs. Overall, it is important that the efforts to enhance flexibility continue to be strengthened in those areas of the labour market where progress has been slow.

Though there are some signs of improvement in the south, achieving parity with the north is a major challenge

The problem of high structural unemployment in Italy is exacerbated by a deep regional segmentation. Unemployment in the south (which accounts for nearly one third of Italy's labour force of 23 million persons) climbed to a record of 22.5 per cent in July 1998, while in the centre-north it has eased to 6.9 per cent – close to its level of ten years ago and rather low by EU standards. Indeed, adverse developments in the south have accounted entirely for the deterioration in structural unemployment. The major policy challenge in Italy remains to bring the south closer to parity with the north. Some encouraging signs have already appeared, taking the form of stronger firm and job creation, accelerating exports and stronger investment. This reflects greater political stability, as a consequence of the new system for local elections of 1993, as well as saturation effects in the north and labour market measures taken in the wake of the labour agreement of September 1996 (*patti territoriali* and *contratti di area*). The new medium-term plan (*DPEF*) favours a comprehensive and focused approach towards economic development in the south. As a first step, this involves taking stock of and screening all existing incentives given by both central

and local governments. The planned public holding company, provided it acts in line with market principles, should assist policies of liberalisation and decentralisation in setting the stage for a regeneration of the south. The planned increase in public investment might benefit from the involvement of the private sector, for instance through well-structured project finance. It is also essential that the recent reforms be reinforced by improving education and training systems, by giving public employment offices a capacity to assist in the job search of the unemployed and by decentralising the wage-bargaining system in an effort to make wages more responsive to productivity. Such changes would enhance the effectiveness of the adopted policy approach.

The transport sector is weighted towards the roads

The importance of transport costs as a determinant of regional development, and of competitiveness in general, has been rising with the expansion of foreign trade and deeper EU integration. The stakes for Italy in this domain (the subject of this year's special chapter) are high, the quality of its transport system being uneven: an extensive high quality road network co-exists with an inadequate railway system, unexploited opportunities of maritime transport and a congested air transport infrastructure. Road use has risen during the 1990s, especially in the export-oriented north, leading to congestion in many urban areas and some parts of the motorway network. The low quality of railway services, the weakest link of Italy's transport system, has contributed to the shift to road transport for both passengers and freight. In the case of freight, this has happened despite heavy-handed regulation of road haulage. Although small in size compared with other countries, many lines are only lightly used, 80 per cent of the traffic being concentrated on one-fifth of the network. Given the population shifts to suburban areas, the network remains in need of restructuring.

Inefficiencies and imbalances reflect pervasive state intervention and rigid labour rules

Most transportation modes, notably railways, local transport and maritime transport, have long suffered from gross inefficiencies, inflated labour costs and artificially low prices. Subsidies amount to more than $11 000 per person employed in the transport sector in 1993. Despite these, the resultant financial losses have been huge. Deficits have,

in some cases, mirrored maladministration, which has distorted the design and execution of transport projects. Underlying the inefficiencies in segments of the transport sector has been a lack of competitive pressure linked to the dominant position of the state. State influence, which takes various legal forms, has generally limited the planning and management roles of major transport companies. This lack of management autonomy has been intensified by employment restrictions imposed by organised labour, whose role in the state-run railways has been likened to that of a hidden shareholder. Trade union militancy, an inadequate regulatory framework and obsolete capital equipment have depressed total factor productivity, with labour displaying weak work intensity.

A broadly-based reform programme aims at promoting better resource use

Responding to EU directives and rulings and opinions issued by the Italian Anti-trust authority, Italy has taken measures to strengthen its transport system since the early 1990s. Thus far, progress made in introducing greater competition has been modest and uneven across transport modes, the initiatives having until recently been mainly confined to air and maritime transport. However, in the past two years the reform process has gained momentum, based upon a three-pronged strategy of decentralisation, privatisation and liberalisation.

– Under the *decentralisation* process, regions will be in charge of the whole range of local transportation services by 2000, including local railways. Each region will be free to pick its own preferred split between road and railway transport, subject to the proviso of paying the full cost of local railway links.

– *Privatisation* is scheduled to start in the domain of railways and urban transport and to gather speed in the areas of motorways, maritime and air transport. Among these, the privatisation and liberalisation of the state railway system are, perhaps, the most important, the precise corporate structure of the industry being currently under revie.

– *Liberalisation* initiatives include increases in urban transport and regional railway services, the deregulation of state railways (where more flexible pricing could be intro-

duced before the end of 1998) and the introduction of greater competition into the trucking industry. At the same time, under the *Bassanini reform* co-ordination among transport modes is to be improved by harmonising transport policies among all the central administrations which play a role in setting transport policy. Taken together, these reform initiatives, once implemented fully, should go a considerable way towards providing a framework for exploiting the potential gains from competition in transport and transport-related services and rectifying the inefficiencies and resource imbalances in the system.

... but opportunities for reform have been only partially exploited

Nevertheless, the transport reform programme, though more broadly based than previously, still does not exploit the full range of opportunities for kindling competition. In urban transport, the five-year transition period for introducing competitive forces will give incumbents undue advantages. For the railways, the criteria used for setting train passenger fares and access fees for using the state-owned railway tracks have yet to be determined. In trucking, new legislation creates scope for greater competition only from 2001, three years after EU-wide liberalisation. In addition, the trucking law maintains rules of maximum and minimum pricing and introduces a diesel tax privilege for truckers, a move away from environmentally-conscious taxation. The new reform programme also contains a number of grey areas. These include the scale of the remaining government presence in urban and local transportation (stemming from ownership rights of rolling stock and buses); the scope and extent of co-financing transport investment with private capital; and the nature of privatisation procedures for local transport companies (competitive bidding as against direct allocation of licences). Competitive bidding and extensive sales of buses and trains should be used to strengthen competition.

Better integration is needed to make transport policies more effective

Improving the co-ordination of transport policies may require a national transport regulatory authority. While regionalisation is desirable from the point of view of efficiency and consumer choice, it may not be sufficient to promote better inter-modal development or to apply adequate environmental incentives. Consumer convenience

could be enhanced via stronger links between railways, harbours, motorways, and airports (*corridoi intermodali*), and should build on existing initiatives in this area. New port facilities in the south (Gioia Tauro, Naples and Salerno) and expanded links between ports and land corridors (*interporti)* enable the development of combined rail- and road freight transport. The regions, in shaping their transport policies, should be required by law to take into account environmental considerations, based upon data indicating the state of their environment. However, regular reporting to the central government is necessary to allow Italy to meet its international commitments made at the Kyoto meeting in 1997. Better co-ordination would help to implement an integrated transport strategy. Its potential benefits for output and employment are large.

Summing up

Assessing the overall impact of recent macroeconomic and structural policy developments, it is apparent that Italy has been passing through a period of unprecedented adjustment. Stabilisation policies, backed up by social consensus, have been instrumental in bringing the budget deficit, inflation and interest rates in conformity with the Maastricht criteria. As a result, in May 1998 Italy became one of the eleven founding members of EMU, achieving a primary political objective. The immediate policy requirement is to keep the budget deficit and inflation low, and to reduce outstanding public debt, consolidating the progress towards convergence which has already been made. This will help to underpin the wide-ranging structural policy initiatives which have focused on improving public-sector efficiency and reducing unemployment, which remains a major source of disequilibrium in Italy's economy. Italy has rightly stepped up the pace of reforming its institutions, reducing the size of government and adopting a comprehensive approach towards exposing product markets to greater competition and improving the transport infrastructure. However, the overall effect of structural reform should be strengthened by more vigorous policy action in two related areas. One is the labour market, which continues to be burdened by excessive regulation, and insufficient wage differentials across regions. The other is the education and training system, which is marked by high drop-out rates and

insufficient capacity to provide technical training. If these issues are tackled with speed and determination, the success of the Italian convergence process should be underpinned by a more balanced economic development.

I. Slow growth in an improving policy environment

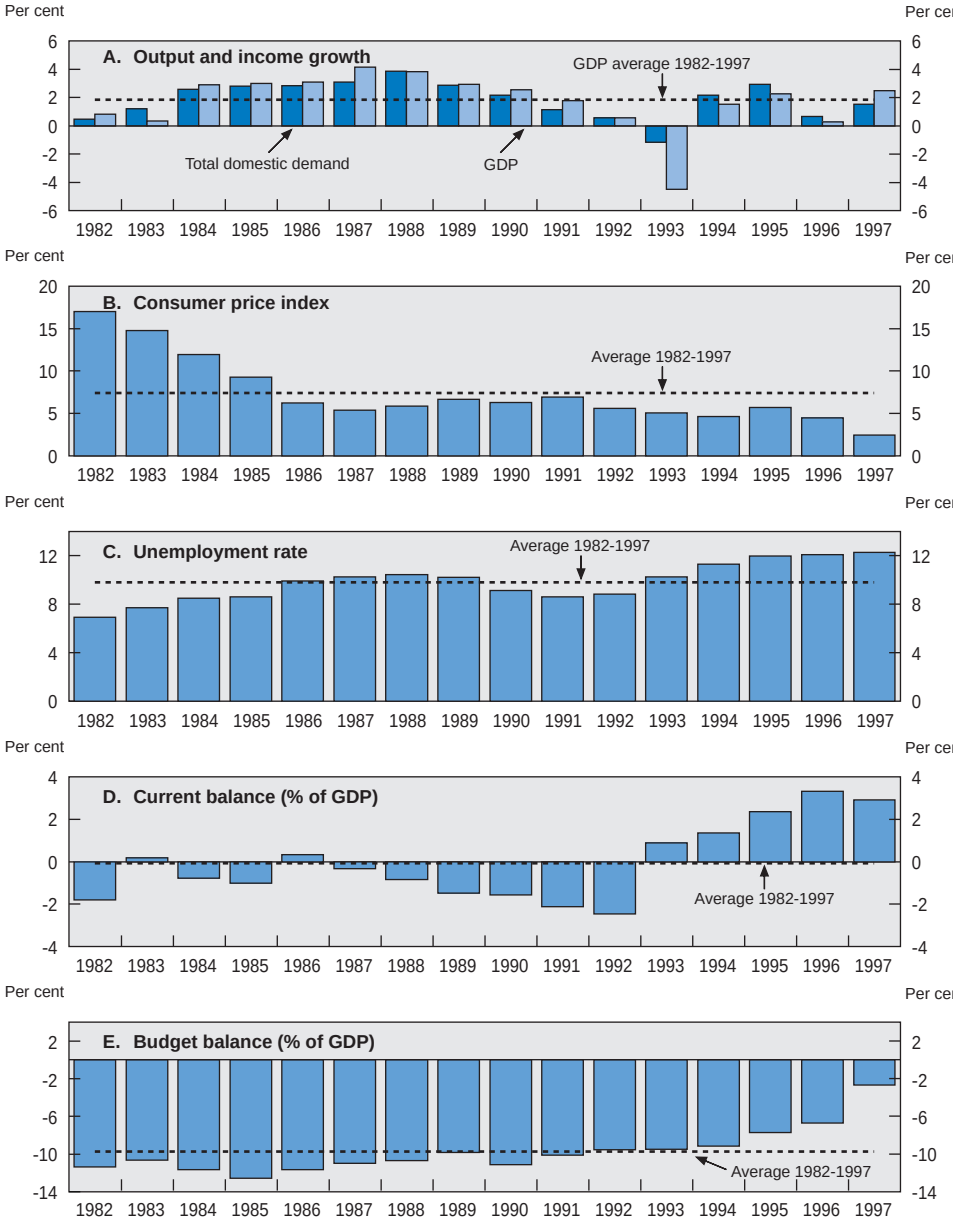
The credibility of stabilisation policies has undergone a fundamental change, as Italy has met the budget-deficit, inflation, exchange-rate and interest-rate requirements to become one of the founding members of European Monetary Union (EMU). Recent developments have been characterised by rapid convergence in terms of inflation and exchange-rate stability, while risk premia attaching to domestic interest rates have fallen continuously, especially at the longer end of the market. Monetary policy has needed to be tight to ensure the credibility of the convergence process, but short-term interest rates have been eased in stages and further decreases are in sight in the run-up to January 1999, making monetary conditions rather favourable for growth. However, the transformation, while remarkable, is as yet incomplete. Hesitant trends in output and employment detract from the overall economic performance, and little improvement is predicted in these key indicators, in the short term at least, even though the forces acting from the monetary side are relatively accommodating. This chapter looks first at recent developments and problems on the real side, in the context of the achievements made in terms of price- and exchange rate stability. It then describes the short-term outlook against the background of imminent EMU membership and the opportunities and challenges that such membership provides for faster growth and employment.

Slow growth, unemployment and inflation convergence

An unstable expansion and high unemployment

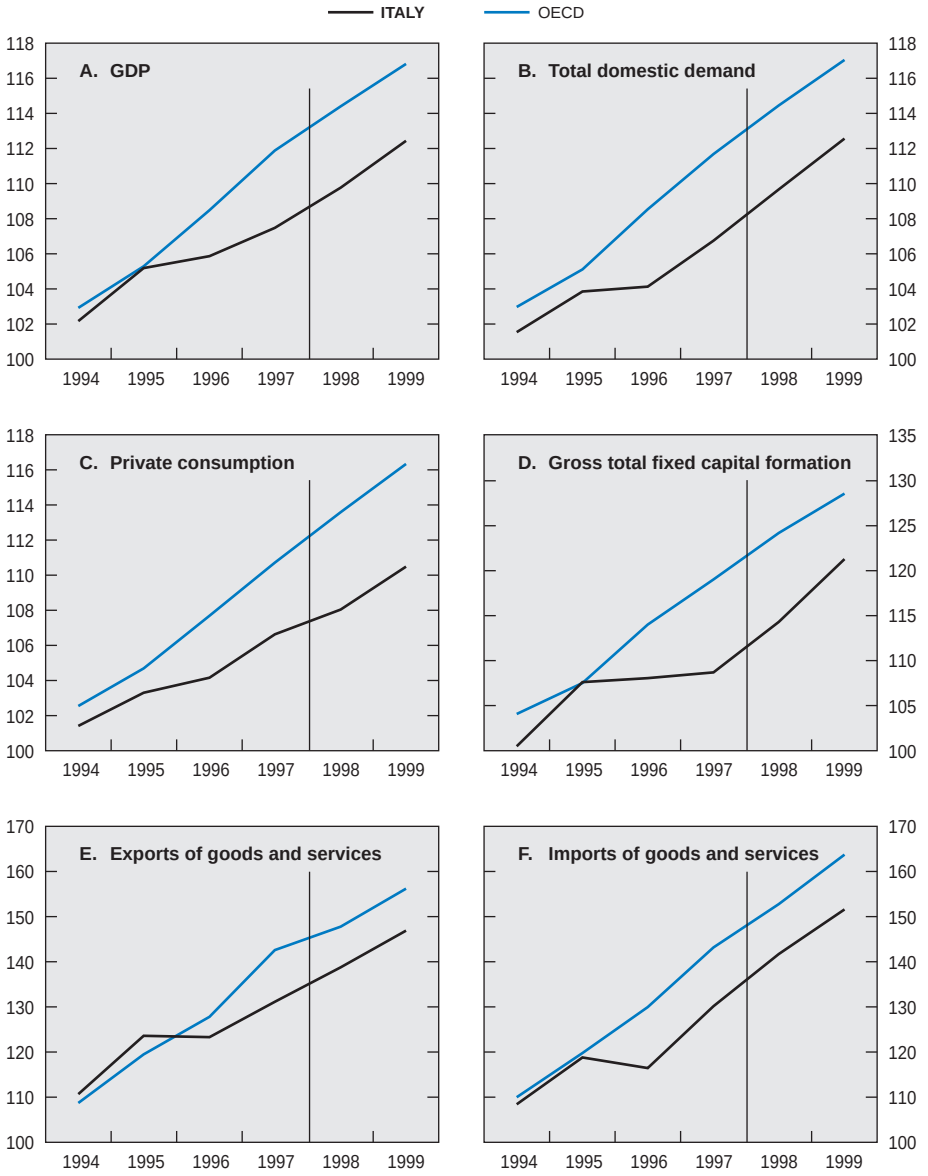
Real GDP growth accelerated to 1.5 per cent in 1997, after a setback in 1996 (Figure 1), but the pace of the expansion has continued to be slower than in other major European countries. This has partly reflected the effects of fiscal stringency on domestic demand, which has shown up in weak private consumption (Figure 2) and falling residential investment. Real disposable income has been stagnant over the past four years, and in 1997 it was still significantly lower

Figure 1. **Macroeconomic performance**



Source: OECD.

Figure 2. **Contributions to demand growth**
Index 1993 = 100[1]



1. From 1998: projections.
Source: OECD.

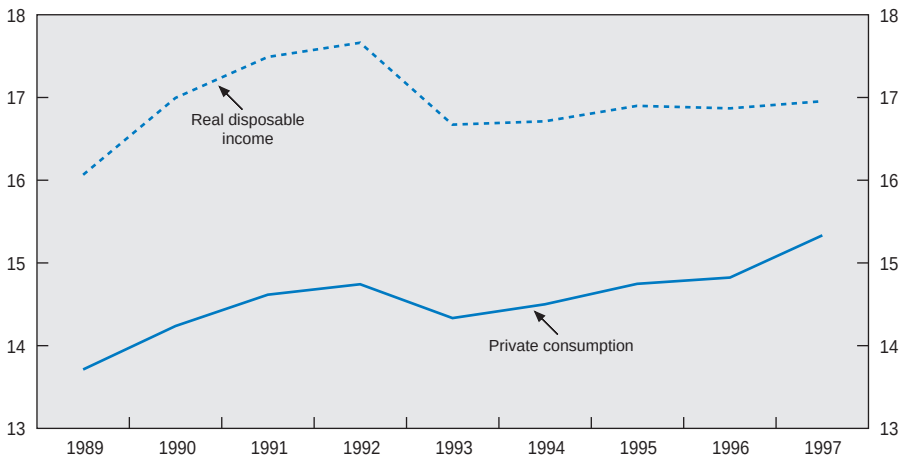
than in 1992, the pre-recession year (Figure 3). In terms of cumulative output gains the current economic upturn has been weaker than the previous one, but it stands out for its front-loaded profile and its relative stability, measured by the standard deviation of quarterly moving changes in real GDP (Figure 4). Investment shows a similar profile, having surged in 1994-95 and been relatively weak since. As a consequence of these trends, the excess of Italy's unemployment rate over the average European Union equivalent widened to around 1 percentage point.

Real GDP increased only marginally during the first half of 1998, as the Asian crisis contributed to both a fall in exports and higher imports. Output growth was also influenced by decelerating private consumption, under the combined effects of reduced incentives for car purchases and weak disposable income growth. In addition, a fall in construction investment more than offset the influence of stronger business sector purchases of machinery and equipment. Profits have improved since mid-1997 (Figure 5, upper panel). Stockbuilding cushioned the slowdown in aggregate output growth (Figure 6), but the industrial sector has undergone a significant slowdown.

Labour market conditions have remained weak, employment declining in most sectors in 1997 (Table 1). While, in year on year terms, employment

Figure 3. **Real disposable income and private consumption**

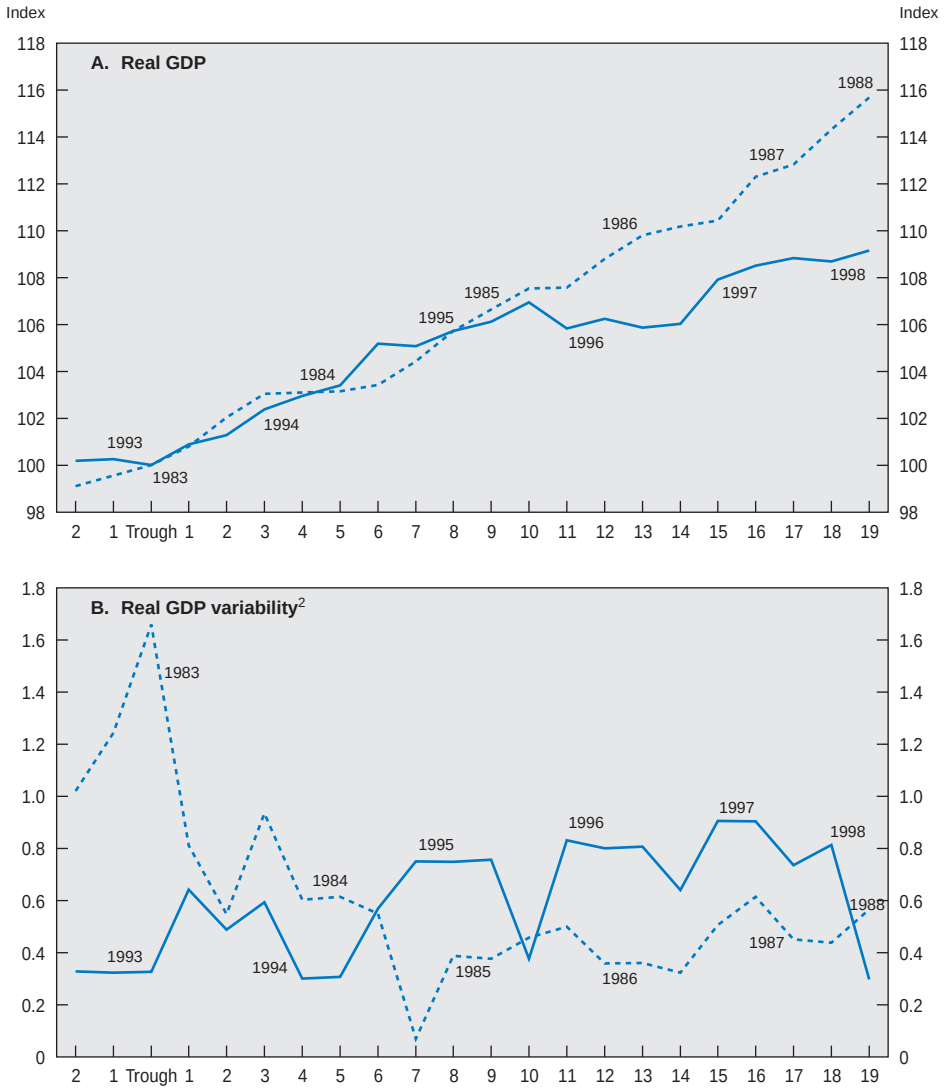
Per-capita values in millions of Lire



Source: OECD.

Figure 4. **Real GDP growth: a cyclical comparison**

Cyclical trough = 100[1]

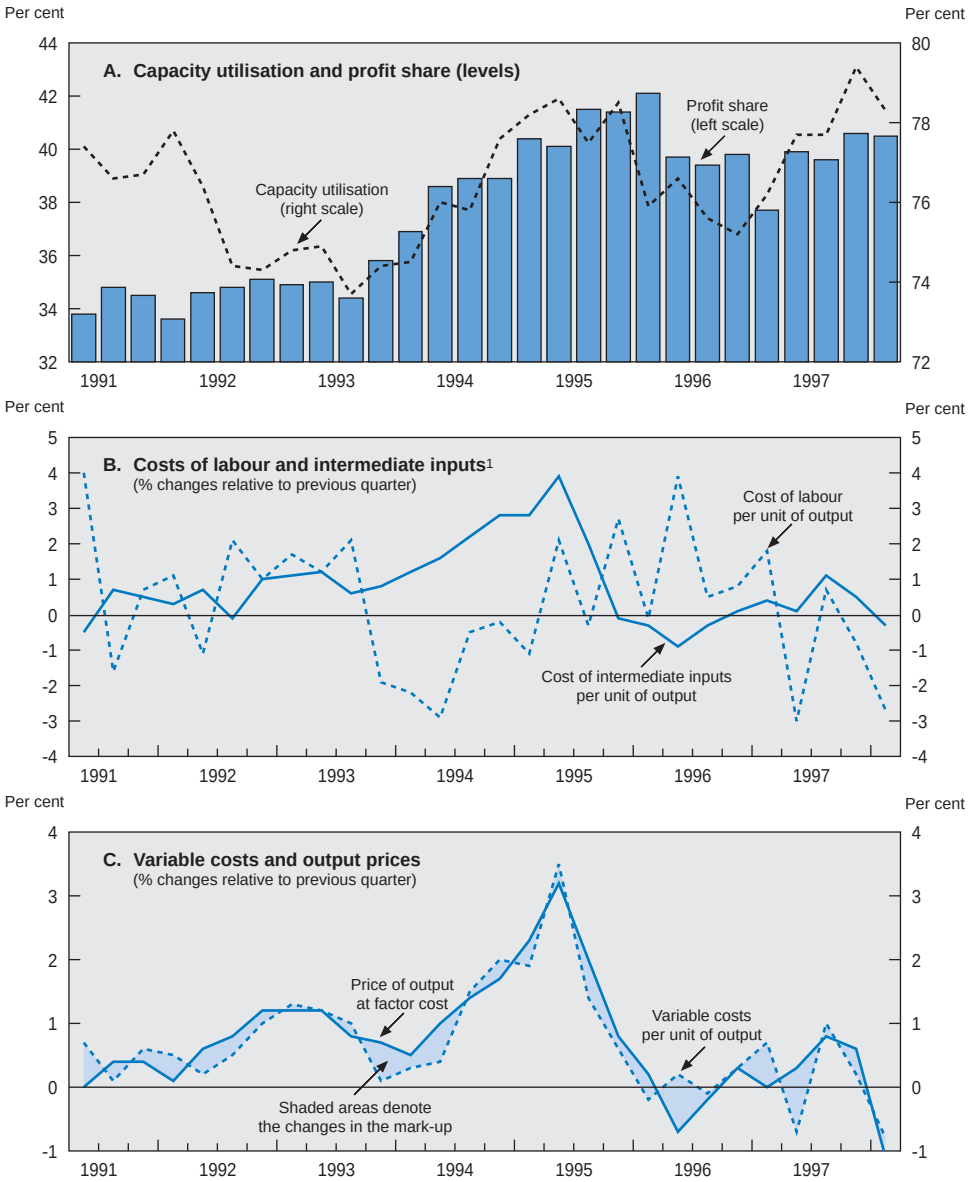


1. Cyclical troughs are 1983 Q2 and 1993 Q3.
2. Standard deviation of quarterly changes in real GDP over the previous quarter within a period of four quarters.

Note: The standard deviation for quarterly changes in real GDP over the previous quarter are 4.61 (1983 Q2-1988 Q1) and 2.74 (1993 Q3-1998 Q2).

Source: OECD.

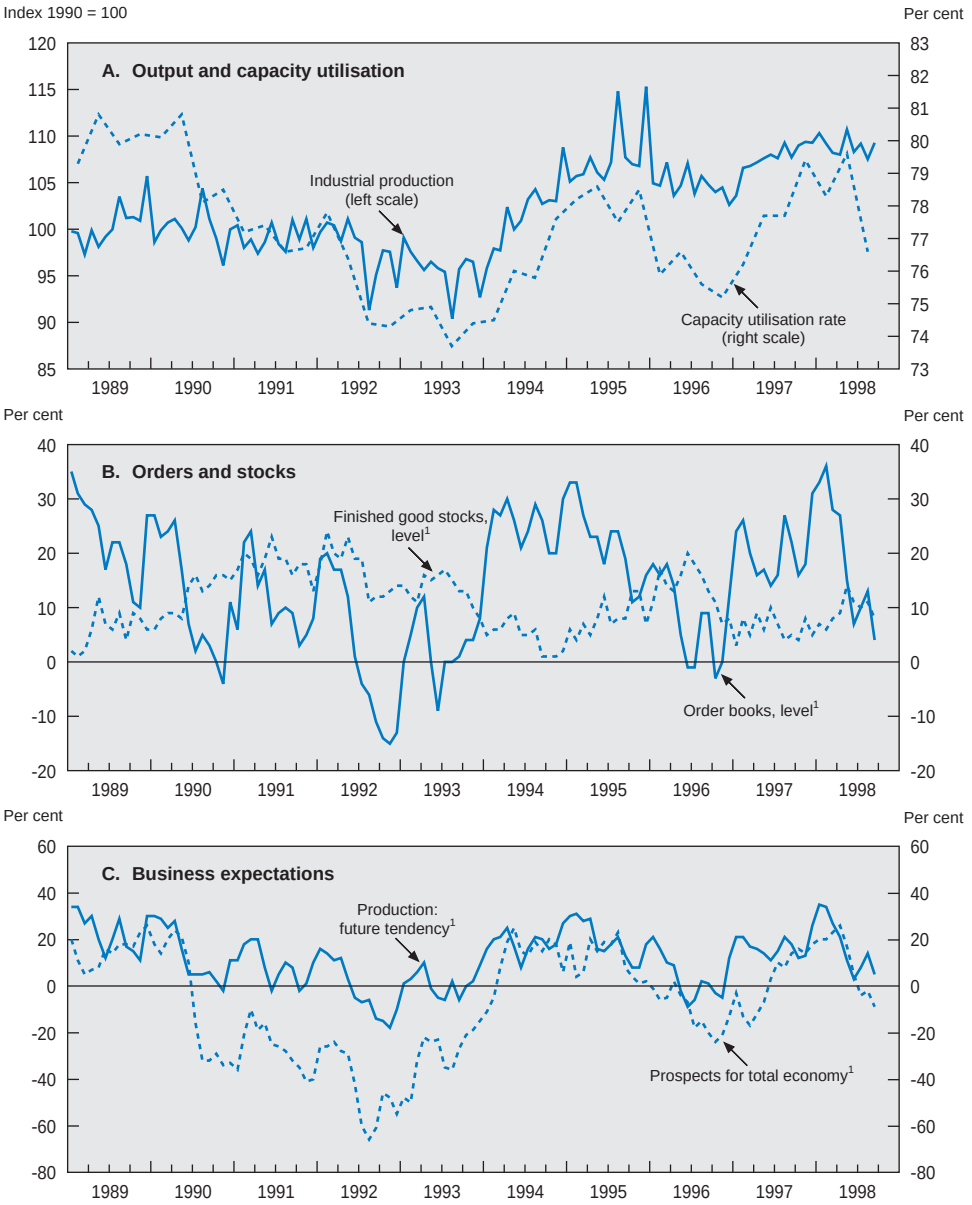
Figure 5. **Capacity utilisation, costs and prices in industry**



1. Break in the series of unit labour costs in 1998, reflecting the introduction of the regional tax IRAP, which abolished employers' compulsory contributions to the health care system.

Source: OECD, Istituto Nazionale di Statistica, (ISTAT).

Figure 6. **Conjunctural indicators**



1. Per cent balance of positive and negative answers.
Source: OECD.

Table 1. **Sectoral employment trends**[1]

Percentage change

	Employment share[2]	Total employment						Dependent employment					
		1992	1993	1994	1995	1996	1997	1992	1993	1994	1995	1996	1997
Agriculture	8.5	–4.7	–7.3	–4.7	–3.9	–3.0	–1.4	0.4	–9.2	–6.3	–3.8	–2.7	–1.8
Industry	28.6	–2.5	–4.1	–1.5	–0.7	–1.0	–0.5	–3.2	–5.3	–1.3	–1.1	–1.4	–0.5
Manufacturing[3]	(21.4)	3.6	–4.9	–0.6	–0.6	–0.8	–0.6	–4.2	–5.6	–0.3	–0.7	–0.9	–0.9
Construction	(7.2)	1.1	–1.5	–4.1	–0.8	–1.8	–0.1	0.7	–3.9	–5.1	–2.6	–3.5	0.9
Market services	43.7	–0.2	–2.1	–1.3	0.7	1.5	0.4	0.7	–0.9	–1.7	0.1	1.5	1.2
Commerce, hotels	(21.9)	–0.2	–2.1	–1.1	0.0	1.0	–0.8	1.9	–0.1	–0.6	0.2	2.0	1.2
Transport and communication	(6.4)	–0.7	–1.1	–2.5	–1.8	–0.4	–0.8	–1.2	–1.0	–3.1	–2.5	–0.3	–0.5
Credit institutions and insurance	(2.0)	1.2	0.0	–0.5	–0.5	–0.7	–1.9	0.9	0.0	–0.2	–0.5	–0.9	–1.6
Other	(13.4)	0.0	–2.9	–0.3	3.1	3.4	3.0	0.4	–2.1	–2.3	1.6	2.6	3.1
Non-market services	19.3	1.1	–0.6	–0.5	–0.3	–0.3	–0.6	1.1	–0.6	–0.5	–0.3	–0.3	–0.6
Total	**100.0**	**–1.0**	**–2.9**	**–1.4**	**–0.3**	**0.0**	**–0.2**	**–0.5**	**–2.7**	**–1.4**	**–0.5**	**–0.1**	**0.0**

1. Expressed in standard labour units.
2. Percentage share of total employment in 1994.
3. Including mining and energy.

Source: Bank of Italy (1998), *Statistical Annex to Annual Report 1997,* Table aB22.

Table 2. **Unemployment rate**[1]

	1992	1993	1994	1995	1996	1997	1998
January	11.3	9.3	11.1	12.2	12.2	12.4	12.2
April	10.8	10.4	11.3	11.9	12.3	12.5	12.5
July	11.0	10.1	10.8	11.7	11.7	11.7	11.9
October	9.6	11.1	11.9	12.1	12.2	12.4	

1. Since October 1982 figures are based upon new definitions of the labour force. Methodological changes include an extension of the list of branches of economic activity, a more detailed questionnaire and a redefinition of "job-seekers", counting as unemployed persons only those aged more than 15 who were available for work and took at least one initiative to find a job in the 30 days preceding the quarterly labour-force survey. The data are based on new population benchmarks from the 1991 population census.

Source: Istituto nazionale di statistica (ISTAT).

expanded in manufacturing, assisted by surging car sales, it fell in agriculture and construction. At 11.9 per cent in July 1998 the national unemployment rate was slightly higher than a year earlier and still exceeded by 0.8 points the level observed at the outset of the current upturn in early 1994 (Table 2). Regional unemployment rates continued to diverge, the southern rate climbing to 22.5 per cent as against 6.9 per cent for the centre-north. The implied record differential of 15.6 points compares with a gap of 11.6 points in 1994. Despite a drop in southern youth unemployment, regional labour market segmentation has thus deepened.

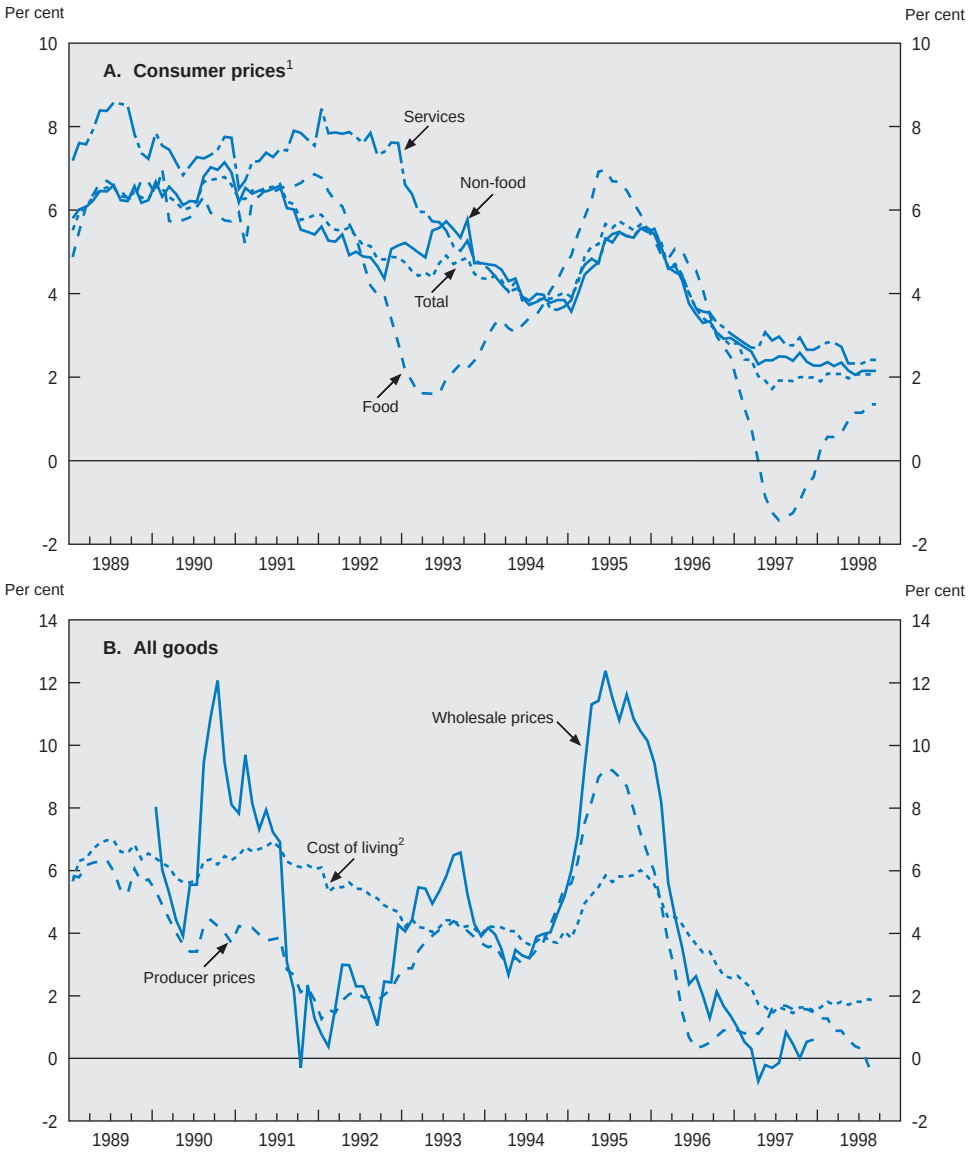
Inflation convergence

Since 1995, the Bank of Italy has lowered its stated inflation objective for the rate of consumer price inflation from 4.5 per cent in 1995 to below 2 per cent in 1998. So far, the inflation objectives have always been met. Measured by the consumer price index, inflation more than halved in 1997, dropping to 1.7 per cent from 3.9 per cent in 1996. With this outcome, which undershot the official target of 2.5 per cent and was below the EU average of 1.9 per cent, Italy completed the process of inflation convergence. The CPI index in 1997 was greatly influenced by falling food prices (Figure 7, upper panel) and declining prices for imported consumer and investment goods, partly reflecting the weakness of commodity prices and currency depreciation in Asia. By October 1998, consumer-price inflation had stabilised at around 1.7 per cent, as further declines in import prices of non-food products and decelerating service prices offset the impact of higher VAT rates, introduced one year earlier.[1] At the same time, producer prices had almost stopped rising (Figure 7, lower panel).

Unit labour costs also contributed to the favourable inflation performance, decelerating under the effect of nominal wage moderation (a consequence

Figure 7. **Inflation trends**

Year-on-year percentage change



1. Consumer prices, national index.
2. Cost of living for wage and salary earners.

Source: OECD.

of the 1993 labour agreement)[2] and cyclical gains in labour productivity (Figure 5, intermediate panel). Judging from evidence on wage settlements (chemical industry, banking, insurance and civil service), nominal wage growth has moderated further in 1998, helped by the good inflation outcome of 1997. Labour productivity picked up somewhat in 1997 in step with stronger output growth. Compared with the first half of the 1990s, however, the gain in labour efficiency was still rather moderate, reflecting reduced labour hoarding.

The external sector and competitiveness

An increasing import propensity but sustained competitiveness

Italy's growth performance since the cyclical trough of 1993 has also been influenced by a relatively high elasticity of imports of goods and services with respect to total domestic demand. This elasticity averaged 4.4 in the 1993-98 period, being similar to that for Germany, but exceeding that for France and the United Kingdom. Moreover, notwithstanding the steep currency depreciation of 1992-93, the propensity to import has risen over time (Table 3), mainly reflecting increased purchases of foreign investment goods and, to a lesser extent, consumer goods (Figure 8). Car incentives introduced in early 1997 may have contributed to the rise, but the Italian share of world imports has trended up, from 5 per cent in 1996 to an estimated 5¼ per cent at present despite slower-than-average domestic demand growth. The structural reasons underlying these developments are hard to identify and may include the quickening of structural reform and the related rise in process innovation based upon foreign technology.

Measured by both relative export prices and relative unit labour costs in manufacturing, Italian goods seem to have remained internationally competitive. The real effective exchange rate appreciated marginally in 1997 (Figure 9), but

Table 3. **Implicit import elasticities in two economic recoveries**[1]

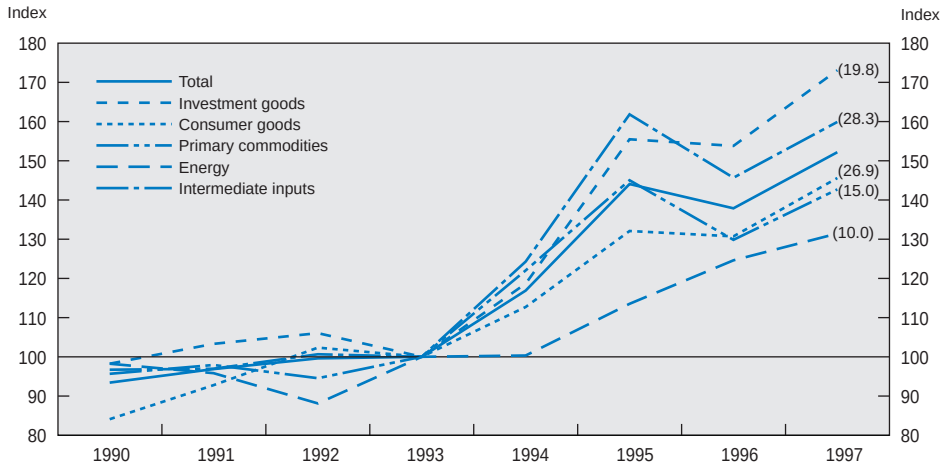
	1988	1998
Italy	**2.0**	**4.4**
Germany	1.8	4.4
France	2.2	2.9
United Kingdom	1.7	2.2
Spain	2.6	4.5

1. Cumulative change in the volume of imports of goods and services relative to the cumulative change in the volume of total domestic demand. The periods are 1983 Q2 to 1988 Q1 and 1993 Q3 to 1998 Q2.

Source: OECD.

Figure 8. **Evolution of import components**[1]

1993 = 100

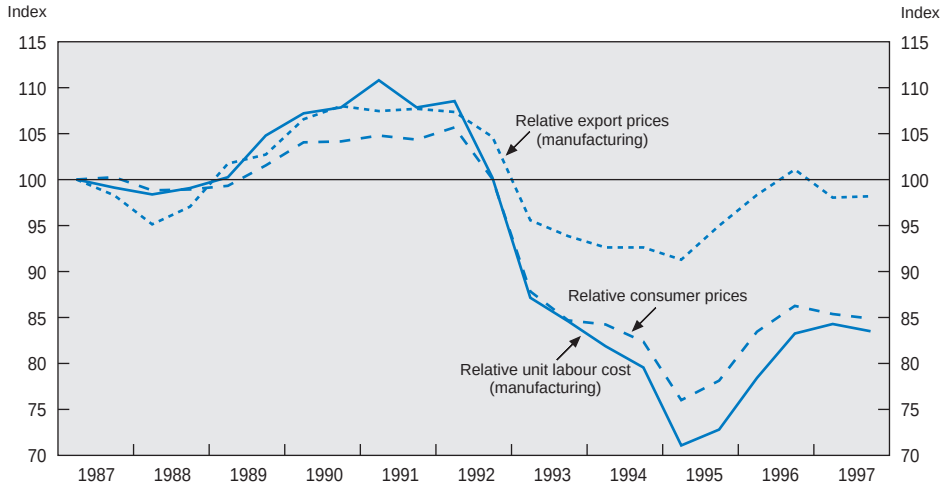


1. Figures in parentheses denote percentage share of total 1997 imports.

Source: OECD calculations based upon Bank of Italy (1998), Statistical Annex to Annual Report, Table aB 46.

Figure 9. **Real effective exchange rate**

1987 S1 = 100



Source: OECD.

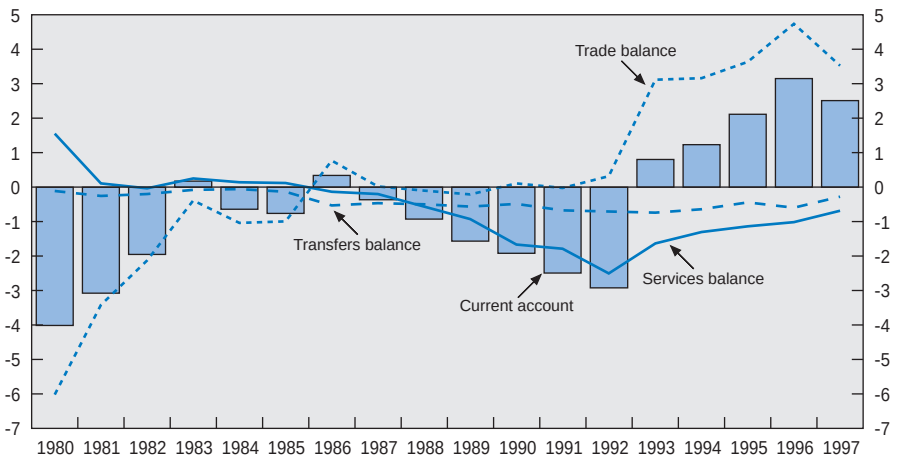
remained well below the level of 1992, the devaluation year. Measured by relative unit labour costs in manufacturing, the real exchange rate in 1997 was still 19 per cent lower than in 1992, a much larger net depreciation than that indicated by changes in relative export prices. At the same time, Italy's share of world exports of goods has remained rather steady at around 4¾ per cent.

Trade and current account surpluses narrow

The large trade surplus (balance-of-payments data) narrowed to 4 per cent of GDP in 1997 from 5 per cent in 1996 (Figure 10), the lira appreciating against European currencies and the car incentive scheme stimulating imports of automobiles and intermediate goods. The quasi-totality of the surplus reduction was concentrated in EU trade. Falling import prices limited the fall in the overall trade surplus. In the first half of 1998, the trade surplus *vis-à-vis* Europe widened again, but the overall balance continued to shrink under the effect of weak exports to Germany, Italy's major export market, and a switch from surplus into deficit of the trade balance with Japan, China and the Asian newly industrialising economies (Korea, Chinese Taipei, Hong Kong, China, and Singapore). Although the latter countries account for less than 7 per cent of Italy's total imports and a little over 5 per cent of total exports, certain sectors, such as textiles and clothing,

Figure 10. **Current account of the balance of payments**

Per cent of GDP



Source: OECD.

Table 4. **Current account of the balance of payments**

Trillions of lire

	1992	1993	1994	1995	1996	1997	1998[1]
Exports (f.o.b.)	219.4	266.2	308.0	381.2	388.9	405.7	214.6
Imports (f.o.b.)	215.5	214.2	250.9	308.3	295.1	325.8	180.1
Trade balance	**3.9**	**52.0**	**57.2**	**72.9**	**93.8**	**79.9**	**34.5**
Factor income, net	–27.1	–27.1	–26.9	–25.5	–23.1	–19.0	–11.3
Foreign travel, net	5.1	11.1	17.7	23.1	22.3	22.4	9.6
Transport services, net	–7.1	–6.8	–9.4	–13.8	–13.1	–15.0	–7.5
Other services, net	–2.9	–4.6	–6.6	–8.3	–6.1	–4.0	–4.2
Services and factor income, net	–32.0	–27.3	–25.1	–24.5	–20.0	–15.6	–13.4
Private transfers, net	–0.5	0.7	0.0	1.2	0.5	–1.2	–0.5
Official transfers, net	–7.4	–9.3	–9.2	–5.9	–10.8	–0.6	–2.3
Invisible balance	**–39.9**	**–35.9**	**–34.4**	**–29.2**	**–30.4**	**–17.4**	**–16.2**
Current balance	**–36.0**	**16.1**	**22.8**	**43.7**	**63.4**	**62.5**	**18.3**

1. First half.

Source: Bank of Italy (1998), *Statistical Annex to Annual Report 1997,* Table aB44 and Economic Bulletin No. 31, Table 7.

have been severely hit by the Asian crisis. The terms of trade improved further in the first half of 1998, but the real exchange rate, measured by relative export prices, moved up, pointing to some loss in competitiveness.

Accompanying the decline in the trade surplus in 1997 has been a large reduction in the traditional deficit in the invisibles account (Table 4). The habitual deficit on the account of investment income narrowed under the combined effect of falling interest rates and the rapidly declining stock of foreign debt. By the end of 1997 Italy became a net international creditor. The traditional tourism surplus remained unchanged at 1.2 per cent of GDP, while the deficit in the account of transport services widened to a record of 0.7 per cent of GDP, a sign of structural weakness in this service branch (see Part III). Overall, the current account posted another large surplus of 3.2 per cent of GDP, slightly below the 3.4 per cent registered in 1996. In the first half of 1998, the invisibles account deficit widened again, reflecting a rise of net transfers to the EU and the deterioration of the service balance.

The capital account deficit persists

The capital account recorded a net outflow of 0.6 per cent of GDP in 1997, slightly higher than in the previous year, non-bank capital flows swinging back into deficit and bank capital into surplus (Table 5). The large outflow of non-bank capital (1.2 per cent of GDP) mainly took the form of a huge shift of the invest-

Table 5. **Net capital movements**

Trillions of lire

	1992	1993	1994	1995	1996	1997	1998[1]
Total net capital movements	**10.3**	**14.8**	**–22.3**	**–6.3**	**–9.9**	**–12.4**	**–3.3**
Bank capital flows	12.2	–84.6	21.6	–58.1	–47.4	11.7	–3.3
Non-bank capital flows	–1.9	99.4	–43.9	51.8	37.5	–24.1	0.0
Foreign direct investment in Italy	4.0	5.9	3.6	7.8	5.4	6.3	0.6
Italian direct investment abroad	–7.3	–11.4	–8.2	–9.3	–10.0	–18.1	–16.6
Foreign portfolio investment in Italy	28.7	103.4	43.9	61.5	125.3	119.4	135.8
Italian portfolio investment abroad	–27.4	10.1	–52.1	–11.9	–52.1	–112.5	–117.5
Foreign loans	9.2	0.6	–14.3	9.7	–9.1	6.1	–1.3
Italian loans	–6.3	–5.1	–13.5	–4.4	–15.9	–26.0	0.3
Foreign commercial credits and other items	1.2	–0.5	7.0	5.3	–4.8	5.6	3.6
Italian commercial credits and other items	–3.9	–3.6	–10.2	–6.9	–1.4	–4.9	–4.9
Errors and omissions	**–6.9**	**–28.7**	**2.8**	**–34.5**	**–32.8**	**–27.3**	**–29.7**
Current balance	**–36.0**	**16.1**	**22.8**	**43.7**	**63.4**	**62.5**	**18.3**
Change in official reserves[2]	**32.5**	**–2.2**	**–3.3**	**–2.9**	**–20.6**	**–22.8**	**14.8**

1. First half.
2. Minus sign indicates an increase in reserves.

Source: Bank of Italy (1998), *Statistical Annex to Annual Report 1997,* Tables aB44 and aB55 and Economic Bulletin No. 31, Table 7.

ment account from surplus into deficit, mainly reflecting increased foreign direct investment by Italians, notably in the EU, in anticipation of Italy's early membership in EMU. A sharply reduced differential between long-term interest rates as well as structural deficiencies (infrastructural bottlenecks and excessive regulations, see Parts III and IV) also played a part in these developments.[3] The large inflow of bank capital was largely the result of a falling spread between domestic and foreign short-term interest rates, reducing the recourse to foreign funds. Another small net outflow in the capital account was registered in the first half of 1998, fully attributable to bank capital outflows.

Monetary policy and the exchange rate

Exchange rate stability

Monetary policy has played an active and important role in the disinflation process since the lira temporarily left the ERM in September 1992. To ensure

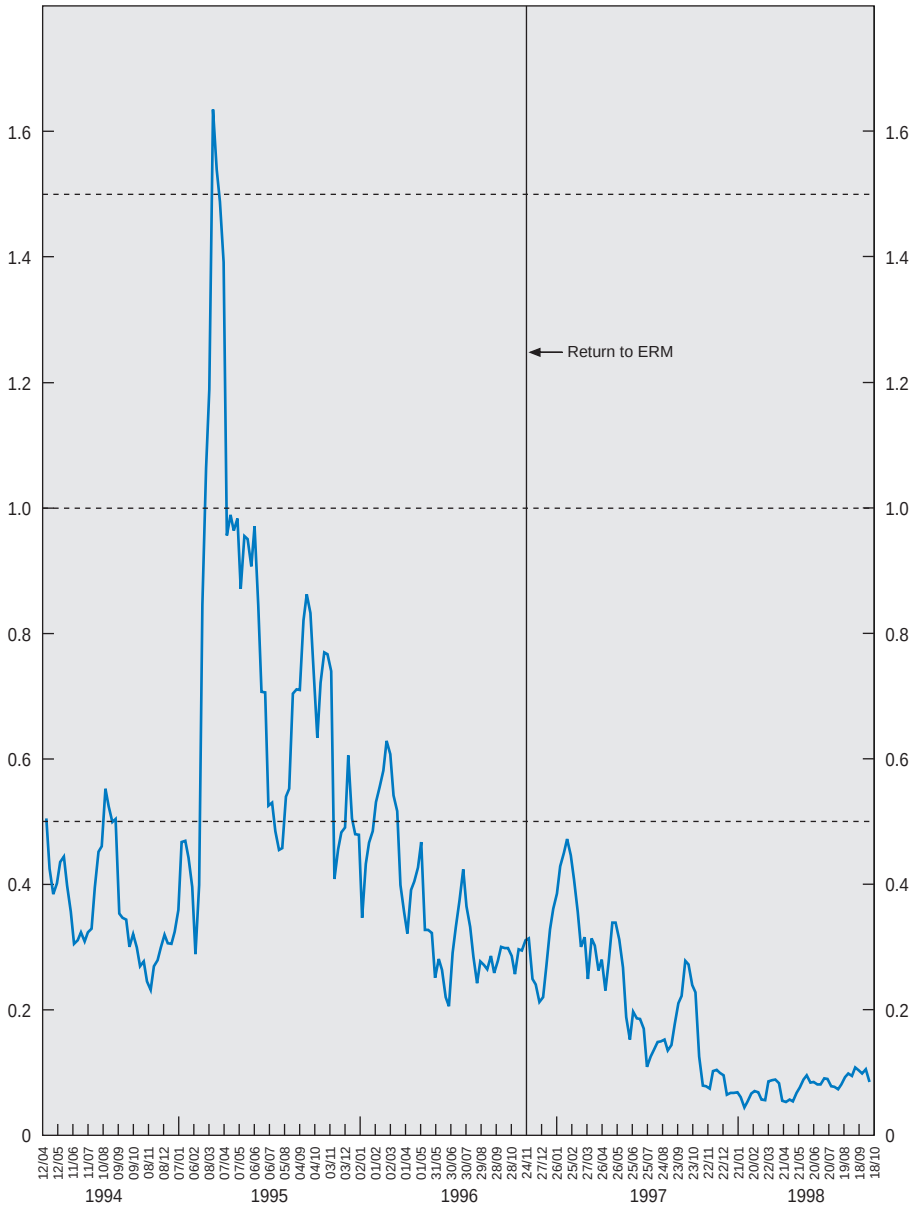
that the external price impulses imparted by the falling lira were not transmitted to domestic markets, the Bank of Italy left its key lending rates, the discount rate and the rate on fixed-term advances, unchanged at 9 and 10.5 per cent respectively from May 1995 to July 1996, the longest period of unchanged interest rates in many years. After rising strongly in 1996, the nominal effective exchange rate was broadly stable in 1997, a rise against EU currencies being offset by a depreciation against the US dollar. Since sinking to L 1 005 per Deutschemark in the wake of political instability in March 1997, the nominal exchange rate has hovered consistently close to central rates, and its variability, measured by the standard deviation of monthly exchange rate changes, dropped sharply to reach unprecedented lows in the remainder of the year (Figure 11). The main factors underlying this outcome were increasing expectations of Italy meeting the fiscal target for 1997 and the related slow decline in market interest rates relative to foreign rates. In May 1998, when Italy was formally accepted as a founding member of EMU, the short-term interest rate differential still amounted to 150 basis points, reflecting a prudent monetary policy stance (Figure 12).

Declining interest rates

As progress has been made towards the objective of price stability, from the summer of 1996 onward monetary policy has been adjusted in relation to actual and expected inflation, as well as the outlook for the adjustment of public finances.[4] The reduction of key official lending rates,[5] which began in the summer of 1996 when the 12-month inflation fell below 4 per cent, proceeded in several stages (Figure 13, panel A). In 1997, the Bank of Italy lowered the discount rate and the rate of fixed-term advances on three occasions, the first in January. With inflation easing towards levels consistent both with official targets and the reference criteria for entry into the European Economic and Monetary Union, and with fiscal adjustment continuing to progress, another cut of 0.50 point followed in June, when the inflation rate was 1.4 per cent. By December, evidence that the inflationary impact of the VAT increase (see below) was smaller than expected prompted a third reduction (0.75 point). A further 0.50 point reduction took place in April 1998, after submission to Parliament of the new medium term fiscal plan for the years 1999- 2001 which tightened fiscal targets (see below). With inflation on target and the money supply having decelerated since the summer, key official rates were cut by 1 per cent in October. This cut brought the discount rate to 4 per cent and the rate on fixed-term advances to 5.5 per cent.

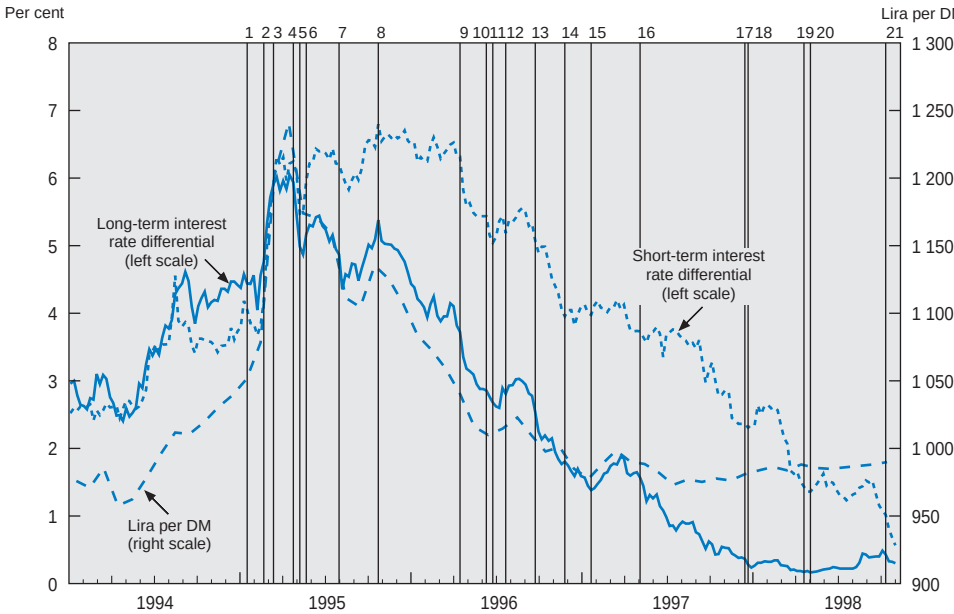
Long-term interest rates have been on a steeply declining trend since the summer of 1995, the cumulative fall totalling more than 6 points (Figure 13, panel B). Apart from international trends, the main factors pushing down long-term interest rates have included declining inflation expectations, the improving fiscal outcome and exchange-rate stability within the ERM. Together, these forces

Figure 11. **Exchange rate variability**[1]



1. Weekly average of the standard deviation of the DM/ITL daily quotes of the four preceding weeks.
Source: Bloomberg.

Figure 12. **Interest rate differentials and the lira/deutschemark exchange rate**

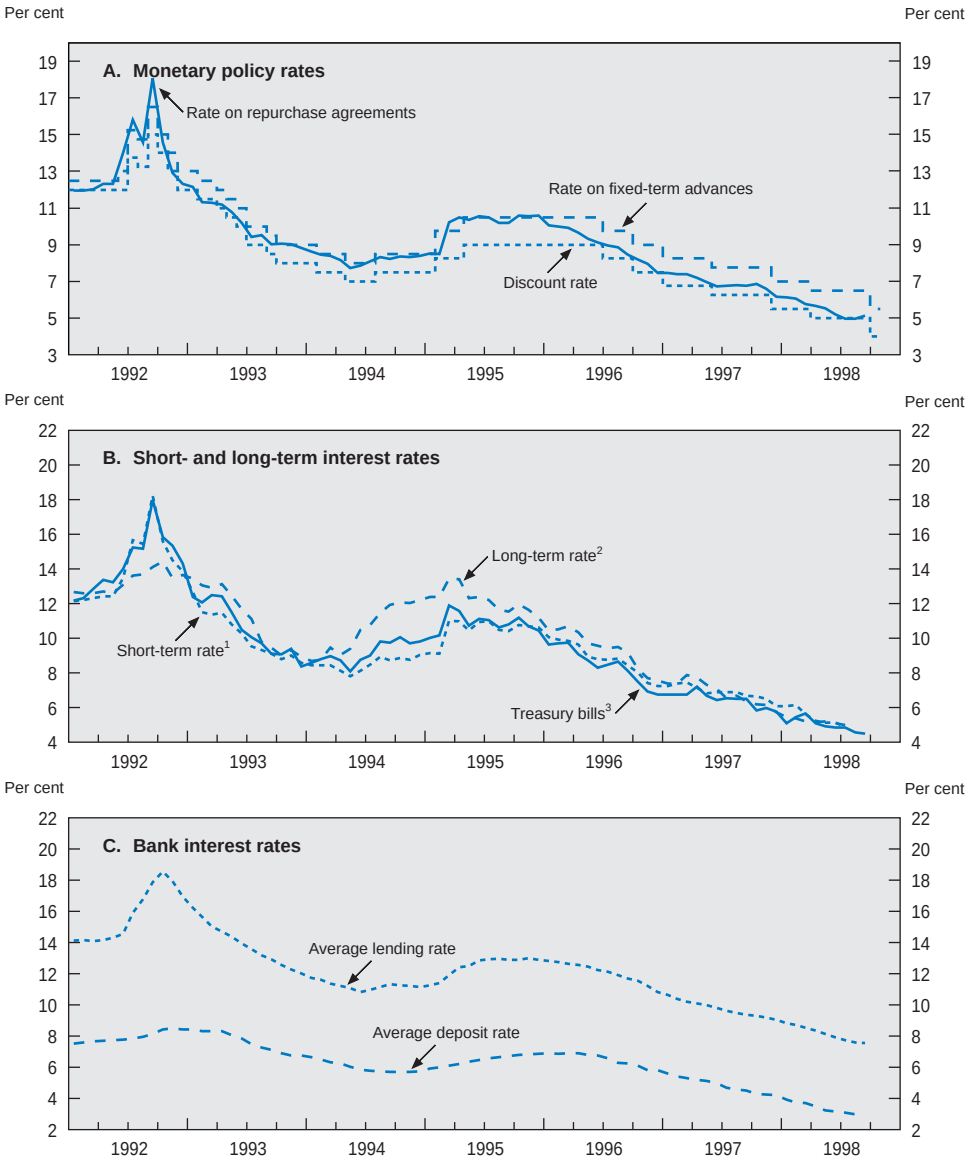


1. 17 January 1995, Dini government appointed.
2. 22 February 1995, increase in official interest rates.
3. 20 March 1995, Parliament approves mini-budget.
4. 30 April 1995, local elections.
5. 8 May 1995, agreement on pension reform.
6. 26 May 1995, increase in official interest rates.
7. 4 August 1995, Parliament approves pension reform.
8. 26 October 1995, Parliament rejects a vote against the Dini government.
9. 21 April 1996, general elections.
10. 14 June 1996, mini-budget 1996.
11. 27 June 1996, presentation of medium-term economic plan.
12. 24 July 1996, cut in official interest rates.
13. 27 September 1996, presentation of 1997 budget proposals.
14. 24 November 1996, return to ERM.
15. 21 January 1997, cut in official interest rates.
16. 6 May 1997, Parliament approves 1997 mini-budget.
17. 21 December 1997, Parliament approves 1998 budget.
18. 23 December 1997, cut in official interest rates.
19. 21 April 1998, cut in official interest rates.
20. 2 May 1998, Italy accepted as an EMU member.
21. 26 October 1998, cut in official interest rates.

Source: OECD.

were perceived by financial markets as improving the prospects of Italy being among the first members of EMU. This expectational factor further accelerated the narrowing of yield differentials against other EU members (Figure 14):[6] the yield

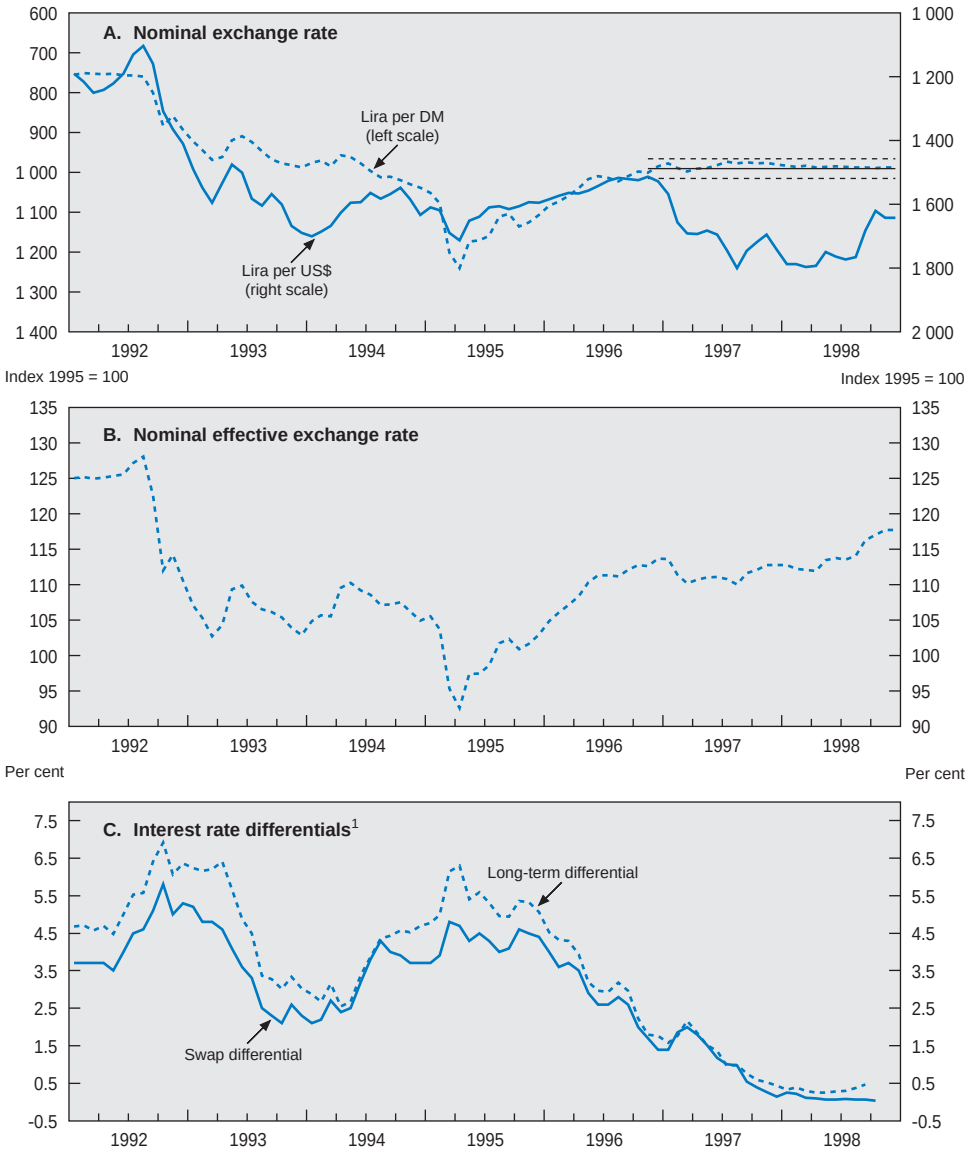
Figure 13. **Interest rates**



1. Inter-bank accounts.
2. 10-year government bonds, gross.
3. Average between 3-, 6- and 12-month Treasury bills.

Source: OECD; Bank of Italy.

Figure 14. **Exchange rate and interest rate differentials**



1. Differentials *vis-à-vis* Germany. 10-year government bonds and interest swap contracts on the Euromarket for assets denominated in lira and deutschemark.

Source: OECD; Bank of Italy; Bloomberg.

on ten-year Italian BTP (*Buoni del Tesoro Poliennali*) dropped to below the Maastricht reference value (a maximum 2 percentage point deviation from the average of the three lowest bond yields among member economies) from February 1997 (12-month moving average).[7] By early November 1998 this yield was 4.5 per cent, while the implied premium relative to Germany was about 25 basis points.[8] At the same time, the yield differential between ten-year BTP and comparable bonds issued by the European Investment Bank, an indicator of the sovereign risk premia on foreign currency-denominated government bonds, eased to around 14 basis points.

In its operational management, the Bank of Italy has continued to rely on a number of forward-looking indicators, including notably the slope of the yield curve and the evolution of interest rate differentials – while also monitoring the monthly financing requirement of the public sector, an indicator of short-term fiscal developments. Nevertheless, short-term interest rates have fallen less rapidly than long-term rates (Figure 13, panel B), and in real terms, money market rates remained broadly unchanged in 1997. Indeed, the rate on repurchase agreements and the overnight interbank rate moved from the upper to the lower limit of the "corridor" fixed by the Bank of Italy in the spring of 1996 and stayed there until the end of 1997, except for the beginning of the year when uncertainties about Italy's ability to meet the Maastricht deficit criterion caused a temporary upward deviation. Thereafter, in contrast to the cautious attitude adopted by the central bank, financial markets expected a more rapid fall in interest rates, as is evident in the downward shift of the Italian-German forward rate differential, concentrated in the shorter-end segment of the spectrum.

Bank lending and the money supply

After a slow reaction in 1996, bank lending rates responded more strongly to changes in money-market rates.[9] At 7.6 per cent in September 1998, bank lending rates were more than 3 points lower than in December 1996 (Figure 13, panel C), narrowing the differential with German lending rates. However at the same time, the difference between short-term lending rates in northern and southern regions continued to be large at around 2 per cent, a broadly unchanged differential since the end of 1996. The persistence of high rates in the south mainly reflects bad debts of southern banks, a consequence of inadequate monitoring of indebted firms since the early 1990s.[10] The spread between lending rates and deposit rates stood at 5 points in September 1998.

Growth in domestic bank credit revived in 1997, as banks accommodated stronger spending on durable consumer goods and investment by substantially expanding the volume of credit made available to the private sector. The joint effects of an increase in finance from abroad and of a marked acceleration in domestic bank loans, particularly strong over the last months of the year, were

Table 6. **Money and credit aggregates**

Percentage change, end-of-period

	1992	1993	1994	1995	1996	1997	1998[1]
Adjusted monetary base[2]	7.1	7.2	2.8	1.2	2.6	8.9	8.7
Money supply (M2)[3]	5.9	8.2	1.9	1.9	3.0	9.7	8.3
Total domestic credit	9.9	6.4	5.8	4.3	5.2	3.5	4.3
Domestic credit to the non-state sector	7.1	1.8	1.1	2.1	3.4	5.2	5.1

1. January-September. Annualised and seasonally adjusted.
2. Adjusted to changes in banks' compulsory reserve requirements.
3. Quarterly average.

Source: Bank of Italy (1998), *Annual Report 1997,* Tables D1 and D3 and Economic Bulletin No. 31, Tables 18 and 20.

instrumental in raising total bank lending by 5.4 per cent as compared with 2.4 per cent in 1996. The credit expansion continued at a similar pace during 1998. Partly reflecting a relatively strong reduction of lending rates, the acceleration of bank lending was more pronounced in the north than in the south – 8.6 per cent as against 1.3 per cent. In addition, the volume of southern lending was concentrated in the industrial sector, credit volumes having continued to contract in services, the real-estate sector and the retail sector. In 1997 bad debts of Italian banks declined by 2.5 per cent, following an increase by nearly 12 per cent in 1996. Although several points lower than in 1996, at 22 per cent of total loans, the loan losses of southern banks in 1997 were around 10 points higher than in the northern regions.

The expansion of monetary aggregates accelerated throughout 1997, and the first half of 1998 (Table 6). Portfolio shifts seem to have been the major contributor to this acceleration. With interest rates on deposits falling and output trends strengthening, the monetary base, adjusted for changes in reserve requirements, rose by 8.9 per cent in the twelve months to the end of 1997 (Table 6). The 12-month rate of M2 growth rose from 3 per cent in December 1996 to 9.7 per cent in December 1997, and to 10.6 per cent in June 1998, more than twice as much the target rate of 5 per cent. However, M2 growth may have begun to slow thereafter.

Short-term outlook

The latest OECD projections shown in Table 7 are based on the assumption that the short-term interest differential *vis-à-vis* Germany, amounting to 75 basis points in early November, will be eliminated by the end of the year. Real interest rates should thus ease over the projection horizon, as nominal interest rates decline more rapidly than inflation. At the same time, the contractionary

Table 7. **Short-term outlook**

Percentage change

	1995							
	Current prices trillions of lire	Per cent of GDP	1995	1996	1997	1998	1999	2000
Demand and output								
Private consumption	1 108	63	1.9	0.8	2.4	1.3	2.4	2.6
Government consumption	289	16	–1.0	0.2	–0.7	0.9	0.4	0.4
Gross fixed investment	307	17	7.1	0.4	0.6	3.3	4.0	4.1
Final domestic demand	1 704	96	2.3	0.6	1.5	1.6	2.3	2.5
Stockbuilding[1]	16	1	0.0	–0.3	1.0	0.5	0.0	0.0
Total domestic demand	1 720	97	2.3	0.3	2.5	2.1	2.3	2.5
Exports of goods and services	445	25	11.7	–0.2	6.3	5.2	3.5	5.4
Imports of goods and services	393	22	9.6	–2.0	11.8	8.5	4.1	5.6
Foreign balance[1]	52	3	0.7	0.4	–0.9	–0.6	–0.1	0.1
GDP at constant prices			2.9	0.7	1.5	1.5	2.1	2.6
Memorandum items:								
GDP price deflator	..	..	5.1	5.0	2.6	2.7	1.9	1.5
GDP at current prices	..	..	8.1	5.7	4.2	4.2	4.1	4.1
Private consumption deflator	..	..	5.7	4.5	2.4	2.3	1.8	1.3
Industrial production	..	..	6.3	–2.9	2.7	1.7	2.5	3.1
General government net lending, as per cent of GDP	..	..	–7.7	–6.7	–2.7	–2.6	–2.2	–1.8
Current balance, as per cent of GDP			2.4	3.3	2.9	3.2	3.3	3.5
Unemployment rate, level	..	..	12.0	12.1	12.3	12.2	12.1	11.9

1. Contributions to changes in real GDP (as a percentage of GDP in the previous period).
Source: OECD estimates and projections.

demand impact of fiscal policy is projected to abate, giving way to a small expansionary impulse in cyclically-adjusted terms, as falling tax pressure and rising capital expenditure reduce the net primary surplus. On the external side, export growth will be affected by a less rapid expansion of export markets and the effects of real exchange-rate appreciation. But imports of goods and services should also decelerate given reduced stock building after the strong build-up in 1997. Overall, the net foreign balance should have little impact upon real GDP growth in 1999.

The projected acceleration of real GDP growth to around 2.0 per cent in 1999 and further to around 2.5 per cent in 2000 partly derives from private consumption expenditure, which should be stimulated by rising real disposable

income. In addition, gross fixed investment in 1999 is expected to strengthen with a further rise in profitability, lower real interest rates and improved output prospects. The projected expansion of economic activity being mild and employment gains small, the rate of unemployment may ease only slightly, to 11.9 per cent in 2000. Remaining well above the estimated structural rate, unemployment should continue to curb nominal wage growth, the 1997 and 1998 wage settlements having produced moderate outcomes. Assisted by stable import prices, the rise in the private consumption deflator should fall to below 2 per cent in 1999. On the external side, rising terms of trade are projected to enlarge the trade surplus, outweighing the negative effects of currency depreciation in Asian and East European countries. Together with a sharp reduction of the deficit on the invisible account, a consequence of the projected disappearance of the deficit in net investment incomes, this may keep the current account surplus above 3 per cent of GDP.

Significant uncertainties attach to the projections. From the supply side, recent years have seen substantial progress in structural reform, particularly in exposing product markets to greater competition, and this could have improved the supply-side potential of the economy. Labour-market reform could also have lowered the structural rate of unemployment, though the sector is still over-regulated, calling for further policy action. From the demand side, uncertainties exist both because of consumer behaviour and international events. Consumer confidence remains low while major categories of exports are exposed to much keener competition from Asia and Latin American countries. In addition, though Italian banking exposure is low, the balance sheet of some major Italian corporations which made large investments in some of the crisis countries, including Russia, is likely to have deteriorated, with potentially adverse effects on their propensity to invest domestically. Thus, overall, there is a risk of foreign and domestic demand being weaker than projected.

II. Fiscal policy: consolidation and reform

For the past three years, Italy has been successful in meeting the ambitious targets set for fiscal consolidation, while also introducing wide-ranging reforms aimed at modernising the public sector and the tax system. Bringing the general government deficit down to 2.7 per cent of GDP in 1997 required a reduction amounting to 4 percentage points of GDP (Figure 15), one of the largest retrenchments recorded in the OECD area. Sustained fiscal consolidation, along with surging receipts from privatisation, has also put the public debt/GDP ratio on a downward course. But the ratio is still slightly more than double the 60 per cent Maastricht reference value; to ensure its reduction – and to meet Italy's commitments under the Stability and Growth Pact – requires continued fiscal stringency. To this end the new three-year plan aims at further reductions in the budget deficit, which are evaluated in this Chapter. At the same time, the government is in the process of implementing a far-reaching programme of structural reform, intended to overhaul the public administration and introduce greater decentralisation (fiscal federalism), while also reducing the burden of pension expenditure and rebalancing social welfare spending. These initiatives are combined with steps to liberalise and privatise activities which have hitherto been monopolised by the public sector (discussed in Chapters III and IV) and to modernise the tax system, the reform of which is discussed in the final section of the Chapter.

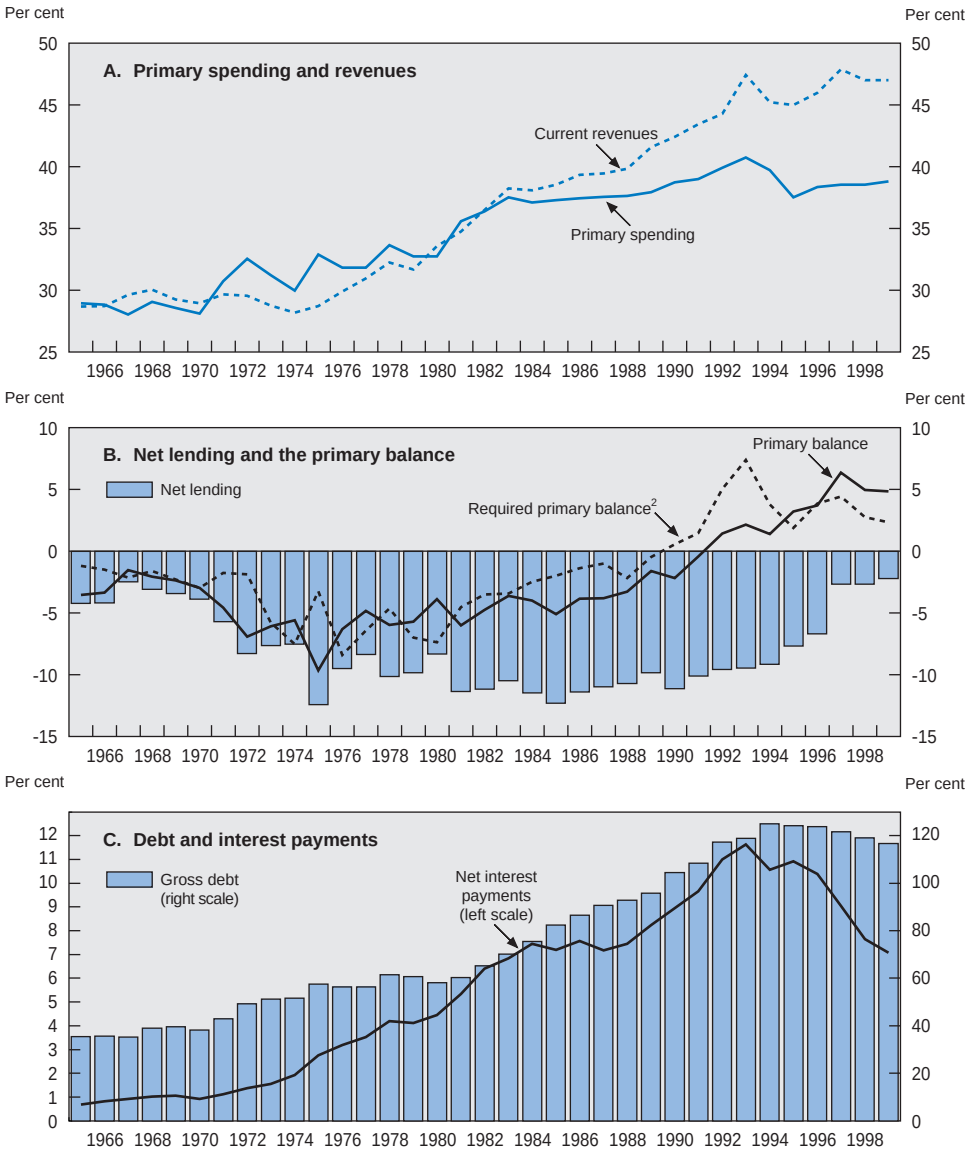
Fiscal consolidation and debt reduction

Budgetary policy and the outturn for 1997

The general government deficit narrowed from L 125 trillion to L 52.2 trillion, or 2.7 per cent of GDP, in 1997, undershooting the official target by L 6.5 trillion (Table 8). Slightly stronger output growth than expected contributed to the favourable fiscal outcome, which was tempered by spending overruns, notably in the domain of pensions. The principal contributions to the deficit cut derived from savings in interest payments (1.3 per cent of GDP); improved control of primary and capital spending (0.3 per cent of GDP); and temporary tax measures

Figure 15. **Fiscal indicators**

Per cent of GDP[1]



1. 1998 and 1999 OECD projections.
2. Primary surplus needed to stabilise the net debt ratio.

Source: OECD.

Table 8. **General government income statement**

Per cent of GDP

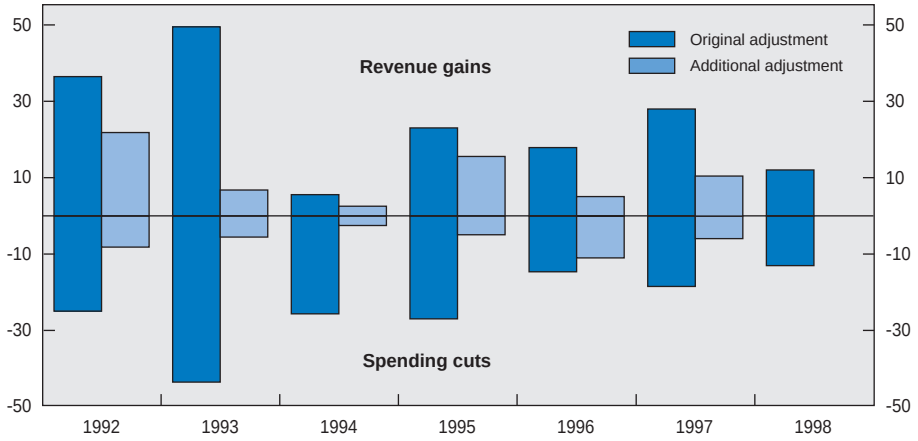
	1993	1994	1995	1996	1997
Revenues					
Direct taxes	16.2	14.9	14.7	15.2	15.9
Household direct taxes	13.2	11.7	11.5	12.0	12.3
Corporate direct taxes	3.0	3.2	3.2	3.2	3.6
Indirect taxes	12.0	11.7	11.8	11.8	12.2
Social security contributions	15.5	14.9	14.8	15.1	15.5
Other current transfers received	2.4	2.4	2.5	2.6	2.6
Property and entrepreneurial income	1.3	1.2	1.3	1.3	1.8
Total current receipts	**47.4**	**45.2**	**45.0**	**46.0**	**47.9**
Expenditures					
Government consumption	17.6	17.1	16.1	16.3	16.3
Subsidies	2.2	2.0	1.6	1.6	1.4
Social security outlays	19.5	19.5	18.9	19.2	19.6
Other current transfers paid	1.4	1.1	1.0	1.2	1.2
Interest on public debt	12.1	11.0	11.3	10.8	9.5
Total current disbursements	**52.9**	**50.7**	**48.9**	**49.2**	**48.0**
Saving	**–5.4**	**–5.5**	**–3.9**	**–3.2**	**–0.1**
Gross investment	2.7	2.3	2.2	2.3	2.3
Consumption of fixed capital	0.5	0.5	0.6	0.6	0.5
Net capital transfers received	–2.4	–2.4	–2.2	–1.8	–0.7
Net capital outlays	**4.5**	**4.1**	**3.8**	**3.5**	**2.5**
Total expenditures	**57.4**	**54.9**	**52.7**	**52.7**	**50.6**
Net lending	**–10.0**	**–9.6**	**–7.7**	**–6.7**	**–2.7**

Source: OECD.

(the *Eurotax*, whose revenue-raising effects amounted to around 1 per cent of GDP). The government debt/GDP ratio fell to 121.6 per cent – more than 3 percentage points lower than its 1994 peak. The budget correction resulted in an increase in the gross primary surplus from 4.1 to 6.8 per cent of GDP. Debt reduction was assisted by privatisation revenues, which, at L 38.1 trillion in 1997, were higher than the cumulative total between 1994 and 1996 (L 24.6 trillion).

In contrast to the fiscal progress in the period 1993 to 1996, when the deficit cut was dominated by expenditure restraint, rising government revenues accounted for the greater part of fiscal improvement in 1997 (Figure 16).[11] Primary current spending actually increased, social security benefit payments rising by 0.4 points, reflecting higher pension payments, while higher rates for direct and indirect taxes pushed current receipts to 48.0 per cent of GDP – a record figure and 2.2 percentage points higher than the EU average. The most dynamic revenue categories were direct taxes, which rose more than twice as fast as nominal GDP

Figure 16. **Fiscal adjustments**[1]
Trillions of lire



1. Revenue gains and spending cuts relative to trend level based upon unchanged tax and spending provisions in the state sector.
Source: OECD.

growth as a result of the rapid growth in earnings associated with the implementation of the 1996 wage agreements. Receipts of indirect taxes and social security contributions also performed more strongly than nominal GDP, mainly reflecting rate increases.

The 1998 budget and the medium-term plan

The three-year plan (*Documento di Programmazione Economico-Finanziaria, DPEF*) of May 1997 envisaged a net borrowing requirement for the general government of 2.8 per cent of GDP for 1998 and a primary surplus of 5.8 per cent of GDP (Table 9). The 1998 budget proposals announced at the end of September 1997 reaffirmed these objectives, the Parliament approving L 13 trillion of spending cuts and L 12 trillion of revenue increases (Table 10). The greater part of the fiscal adjustment consists of structural measures. Main elements in the anticipated revenue gains are the rise in the VAT rates (L 5.7 trillion), reduced tax and contribution evasion (L 3 trillion) and changes in direct taxation (1.4 trillion).[12] Expenditure cuts mainly reflected savings in the social security system (L 5.3 trillion) and lower transfers to regions, local administrations and public services (L 3.5 trillion).

Table 9. **General government medium-term fiscal targets**

	1996[1]	1997	1998	1999	2000	2001
Fiscal targets						
(in trillion lire, ratios to GDP in brackets)						
Borrowing requirements						
1995 plan	110.7	86.8	55.0	..	..	..
	(5.9)	(4.4)	(2.6)	..	..	..
1996 plan	125.0	106.0	57.5	60.3	..	..
	(6.7)	(5.5)	(2.8)	(2.8)	..	..
Revised 1996 plan (September)		(3.0)	(2.8)	(2.7)	..	..
1997 plan	126.3	58.7	56.9	50.8	39.7	..
	(6.7)	(3.0)	(2.8)	(2.4)	(1.8)	..
1998 plan	125.1	52.2	52.5	43.6	33.1	24.0
	(6.7)	(2.7)	(2.6)	(2.0)	(1.5)	(1.0)
Primary surplus						
1995 plan	80.6	108.0	135.4	..	..	..
	(4.3)	(5.4)	(6.5)	..	..	..
1996 plan	72.6	90.7	128.9	132.5	..	..
	(3.9)	(4.7)	(6.3)	(6.2)	..	..
Revised 1996 plan (September)		(6.7)				
1997 plan	75.4	130.9	117.1	126.7	134.1	..
	(4.2)	(6.7)	(5.8)	(6.0)	(6.1)	..
1998 plan	77.2	132.9	111.4	116.4	122.0	128.0
	(4.1)	(6.8)	(5.5)	(5.5)	(5.5)	(5.5)
Gross financial liabilities (in per cent of GDP)						
1996 plan	124.3	123.9	121.0	117.8	..	..
1997 plan	123.8	122.6	121.1	119.1	116.4	..
1998 plan	..	121.6	118.2	114.6	110.9	107.0
Macroeconomic assumptions						
(percentage change)						
Real GDP						
1995 plan	3.0	3.1	3.1	..	..	..
1996 plan	..	2.0	2.8	2.9	..	..
1997 plan	..	1.2	2.0	2.5	2.7	..
1998 plan	..	..	2.5	2.7	2.9	2.9
Consumer price inflation						
1995 plan	3.5	3.0	2.5	..	..	..
1996 plan	3.9	2.5	2.0	2.0	..	..
1997 plan	4.0	2.5	1.8	1.5	1.5	..
1998 plan	4.0	1.9	1.8	1.5	1.5	1.5

1. Excluding reclassification of expenditure endorsed by EUROSTAT in February 1997.
Source: Data submitted by the Italian authorities.

The three-year plan for 1999-2001, announced in April 1998 and approved by Parliament several weeks ahead of schedule, tightened the deficit target for 1998 to 2.6 per cent of GDP, envisaging further cuts in the budget deficit to 2 per

Table 10. **The 1998 general government budget**

Fiscal adjustment relative to trend, trillions of lire

A. Reduction in expenditure	
Health system	0.79
Civil servants	1.11
Transfers to local authorities	2.50
Social security[1]	4.55
Transfers to public utilities and enterprise financing	2.00
Reduction of cash financing	1.25
Purchase of goods and services	1.00
Measures for employment	–1.44
Other primary spending	1.12
Total spending cuts	**12.88**
B. Increase in revenue	
Tax revenue	
VAT measures	5.73
Administrative measures	2.50
Withholding tax on incomes of self-employed	0.83
Measures to combat tax evasion	0.55
Other tax revenue	1.51
Other revenue	
Increase in health contributions	0.90
Other	0.10
Total revenue gains	**12.12**
Total fiscal adjustment	**25.00**

1. Taking into account the effects of higher contribution rates for the self-employed, 0.90 trillions.
Source: Data submitted by the Italian authorities.

cent of GDP in 1999, 1.5 per cent in 2000 and 1 per cent in 2001 (Table 9). The plan contains more ambitious targets than the 1997 DPEF, accelerating the planned decline of public debt relative to GDP. It quantifies targets for privatisation revenues (a total of 45 trillion, or 2.1 per cent of GDP), which would allow government debt to fall to 107 per cent by 2001. However, the tightening of the deficit targets is more than accounted for by a substantial downward revision of interest payments. Indeed, the primary surplus has been revised downwards. The government is committed to finding resources to enhance infrastructure investment in the south,[13] and under the new plan these will be partially provided by faster real GDP growth. Consumer price inflation is projected to fall to 1.5 per cent in 1999 and to stabilise thereafter, with 12-month Treasury bill rates declining to 4.5 per cent in 1999.

Notwithstanding a L 11.6 trillion concomitant rise in development spending in the south (0.5 per cent of GDP), reducing the deficit to 1 per cent of GDP in

2001 requires a cumulative fiscal adjustment of only L 19.5 trillion (0.9 per cent of GDP). Overall, this would be the smallest fiscal adjustment planned in several years, and reflects the fact that fiscal consolidation during the 1990s has been substantially based on structural measures with longer-term effects. The budget proposal for 1999, which at the time of writing was under discussion in Parliament, reaffirms the target for the general government deficit set out in the medium-term plan (2 per cent of GDP).

Considering the commitment to the Stability and Growth Pact (Box 1) it is of interest to assess the responsiveness of the general government deficit to

Box 1. The Stability and Growth Pact

The European Union's Pact for Stability and Growth, finalised at the Amsterdam Summit in June 1997, clarifies the Maastricht Treaty's provision for dealing with "excessive deficits" and provides an institutional framework for its enforcement, in part through strengthened surveillance and co-ordination of economic policies via the annual review of national stability programmes. The Pact also calls on participants in the Economic and Monetary Union (EMU) to adopt budgetary balance (or even a surplus) as a medium term objective.

For countries participating in EMU, the Pact considers a general government deficit above 3 per cent as excessive unless the European Commission judges it to be temporary or there are special circumstances. By temporary is meant that, according to the projections of the Commission, the deficit would fall beneath the 3 per cent threshold in the following year. In the case of an excessive deficit, the Council of Ministers will, on the recommendation of the Commission, propose a course of action for the country which should be followed by effective measures within four months. The Council will monitor the measures, and if they are found to be inappropriate they will make further more detailed proposals, which will be published. If corrective measures have not been implemented within ten months, sanctions will be imposed. These would initially take the form of non-remunerated deposits, with a fixed component equal to 0.2 per cent of GDP and a variable component rising in line with the size of the excessive deficit. Such deposits are limited to a maximum of 0.5 per cent of GDP per year, but would accumulate each year until the excessive deficit is eliminated. Provided the excessive deficit is corrected within two years the deposits are returned to the country, otherwise the deposits will become non-refundable (*i.e.* a fine). In the event that the measures taken by a country are ineffective, the whole process will be restarted but sanctions will be imposed within three months.

When a country is judged to be in recession, which is defined as an annual fall in real output (GDP) of at least 0.75 per cent, the Pact will be enforced in a differentiated manner. If economic output in a member country declines by 2 per cent or more – and provided the deficit is temporary – exemption from the procedure is granted automatically. In the event of GDP falling by between 0.75 per cent and 2 per cent, exemption can be granted in special circumstances by the Council of Ministers. The country would need to convince the Council that the economic decline was "exceptional" in terms of its abruptness or in relation to past experience.

unexpected shocks. Table 11 presents three scenarios, the first assuming a larger output gap, the second a higher effective interest rate on public debt and the third a combination of both. The OECD calculations indicate that a 1 per cent point wider GDP output gap translates into a higher general government deficit of about 0.3 per cent of GDP per annum, with the implication that the deficit would come near the 3 per cent ceiling in 1998, before descending to below 2.5 in the following years. Under the assumption of a 1 per cent point higher short-term interest rate, interest payments would rise by about 0.4 per cent point of GDP in the first year, reaching 0.7 per cent in the second year. The sensitivity analysis of the joint effects of a 1-point wider output gap and 1-point higher short-term interest rate confirms that budget outcomes would still be in line with the requirements of the Growth and Stability Pact.

Table 11. **Response of the budget deficit to output and interest-rate shocks**

	1999	2000	2001
The 1998 three-year budget plan:[1]			
General government balance (per cent of GDP)	–2.0	–1.5	–1.0
Interest payments (per cent of GDP)	7.5	7.0	6.5
Primary balance (per cent of GDP)	5.5	5.5	5.5
Underlying assumptions:			
Real GDP growth rate[1]	2.7	2.9	2.9
Estimated implicit output gap	–0.9	–0.3	–0.1
Consumer price inflation rate	1.5	1.5	1.5
Effective interest rate on public debt[2]	6.6	6.3	6.1
First scenario			
Hypothetical rise in output gap	1.0	1.0	1.0
Resulting output gap	–1.9	–1.3	–1.1
Implied rise in general government deficit (per cent of GDP)	0.3	0.3	0.3
Resulting general government balance (per cent of GDP)	–2.3	–1.8	–1.3
Resulting general government primary balance (per cent of GDP)	5.2	5.2	5.2
Second scenario			
Hypothetical percentage rise in short-term interest rate	1.0	1.0	1.0
Implied rise in interest payments (per cent of GDP)	0.4	0.7	0.7
Resulting general government balance (per cent of GDP)	–2.4	–2.2	–1.7
Third scenario			
Combined effect on the general government deficit of the first and second scenarios (per cent of GDP)	0.7	1.0	1.0
Resulting general government balance (per cent of GDP)	–2.7	–2.5	–2.0

1. Official projections (April 1998).
2. Defined as the percentage share of interest payments in one year relative to the stock of the general government debt in the previous year.

Source: Ministero del Tesoro (1998), ''Documento di programmazione economico-finanziara per gli anni 1999-2001'', April, and OECD estimates using Interlink.

Public debt reduction, asset sales and debt management

As noted, government debt has been falling relative to GDP since 1994, but at 121.6 per cent, the ratio is far above the Maastricht ceiling (Table 12). Looking ahead, under the Italian long-term debt reduction plan, as presented in the three-year budget plan of April 1998, public debt should decline by more than 3 per cent of GDP per year from 1998 onwards, falling to 100 per cent in 2003 and meeting the Maastricht requirement of 60 per cent in 2016. These projections are based on the assumptions of an annual growth rate of nominal GDP of approximately 4.5 per cent in the period 1998 to 2001 and 4 per cent thereafter, as well as an interest rate on public debt averaging 6.0 per cent, and a primary

Table 12. **Sustainability of debt trends**

	Government debt ratio in 1997	Actual primary balance in 1997 (1)	Debt stabilising primary balance in 1997 (2)	Debt stability gap[1] in 1997 (3) = (2) – (1)	European Commission estimates of number of years needed to bring the debt ratio below 60 per cent of GDP[2]
	As a per cent of GDP				
Italy	**121.6**	**6.8**	**4.5**	**–2.3**	**19**
Germany	61.3	1.1	2.1	1.0	4
France	58.0	0.6	1.8	1.2	n.a.[3]
United Kingdom	53.4	1.6	0.3	–1.3	n.a.[3]
Austria	66.1	1.6	1.5	–0.1	7
Belgium	122.2	5.8	2.7	–3.1	14
Denmark	65.1	6.5	1.9	–4.6	1
Finland	55.8	4.5	1.6	–2.9	n.a.[3]
Greece	108.7	5.6	–1.0	–6.6	10
Ireland	66.3	5.2	–2.4	–7.6	1
Luxembourg	6.7	2.1	–0.1	–2.2	n.a.[3]
Netherlands	72.1	3.9	1.3	–2.6	5
Portugal	62.0	1.9	0.8	–1.1	1
Spain	68.8	1.9	0.7	–1.2	6
Sweden	76.6	5.4	4.2	–1.2	4
European Union	72.1	2.6	1.3	–1.3	7

1. A negative sign means that the actual primary balance is sufficiently large to bring down the debt ratio in 1997. The stock-flow adjustment is not taken into account for these calculations.
2. Calculations based on short-term projections which were prepared by the European Commission in the Spring 1998. Interest rates on government debt are fixed at a common level of 6 per cent, inflation rates at 2 per cent, stock-flow adjustments at zero. Real GDP trend growth rates and primary balances are kept constant at the levels forecast for each member country in 1999.
3. n.a. signifies that the debt ratio level is already below 60 per cent.

Source: European Monetary Institute (1998), *Convergence Report.*

surplus of 5.5 per cent of GDP.[14] In their reports of March 1998 the European Monetary Institute and the Bundesbank quantified the additional consolidation efforts needed to meet the Maastricht debt requirement earlier. Under the EMI calculations, achieving the 60 per cent target would take 19 years under current primary balance projections (Table 12) and achieving the target by the year 2007 would require an overall surplus of 3.1 per cent of GDP per year from 1999 and a primary surplus of 8.4 per cent of GDP per year. Bundesbank calculations are close to these estimates.

Debt management has continued to be geared towards lengthening the average maturity of public debt, the climate of moderate inflation expectations assisting this strategy. The revision of the monthly calendar, associated with the

Table 13. **Public debt**[1]

	1993	1994	1995	1996	1997
	Trillions of lire				
State sector[2]	1 765.4	1 931.7	2 072.6	2 204.1	2 247.8
(Per cent of GDP)	(113.9)	(117.9)	(116.9)	(117.7)	(115.2)
General government[3]	1 846.4	2 047.2	2 201.0	2 321.8	2 372.7
(Per cent of GDP)	(119.1)	(124.9)	(124.2)	(124.0)	(121.6)
Public sector[4]	1 815.8	1 984.1	2 129.3	2 267.4	2 316.0
(Per cent of GDP)	(117.1)	(121.1)	(120.1)	(121.1)	(118.7)
	Percentage shares				
Composition of public debt					
Medium and long-term securities	51.9	54.0	54.7	58.8	63.2
ECU and lira Treasury bills	21.6	19.4	18.5	16.4	12.1
Post Office funds	6.2	6.6	6.9	7.1	7.4
Lending by banks	5.8	5.2	5.1	4.7	4.6
Other domestic debts	0.2	0.2	0.2	0.2	0.2
Foreign debts	4.6	4.7	5.4	5.4	5.9
Borrowing from the Bank of Italy	9.6	9.9	9.3	7.4	6.5
Memorandum items:					
Average maturity of the debt	3.3	4.7	4.5	4.5	4.7
Effective interest rate paid on the debt[5]	11.5	9.7	9.8	9.2	8.0

1. Excluding incorporation into public debt of railways' and other autonomous public companies' liabilities.
2. The State sector (*settore statale, nuova definizione*) covers the state, other bodies included in the central administration, and autonomous national companies.
3. The General government (*amministrazioni pubbliche*) covers part of the State sector (it excludes autonomous companies and bodies in the market sector), the local government and social security institutions.
4. The public sector (*settore pubblico*) covers the general government and autonomous government companies and bodies in the market sector.
5. Defined as the percentage share of interest payments in one year relative to the stock of the general government debt in the previous year.

Source: Bank of Italy (1998), *Statistical Annex of Annual Report 1997,* Tables aC3-aC6; Ministero del Tesoro (1998), "Documento di programmazione economico-finanziaria per gli anni 1999-2001", April.

Table 14. **Comparative structural features of general government gross debt**

1997

	Composition by maturity[1] Per cent of total		
	Short-term[2] < 1 year	Medium- and long-term > 1 year	*of which*: Long-term > 5 years
Italy	**49.4**	**50.6**	**24.8**
Germany[3]	18.5[3]	81.5[3]	..
France	29.4	70.6	41.1
United Kingdom	26.8[4]	73.2	..
Austria	10.7[5]	89.3[5]	49.1[5]
Belgium	24.6[6]	75.4	39.7[6]
Denmark	8.1	91.9	..
Finland	19.1	80.9	32.8
Greece	13.3[7]	86.7[7]	..
Ireland	8.9	91.1	46.3
Luxembourg	0.1[8]	99.9[8]	89.9[8]
Netherlands	6.7[8]	93.3[8]	63.0[8]
Portugal	33.1	66.9	28.9
Spain	30.6	69.4	32.1
Sweden	34.0	66.0	..

1. Residual maturity.
2. Including short-term debt and debt linked to short-term interest rates.
3. 1996.
4. The proportion of short-term debt sensitive to interest rate changes is distorted by the current statistical treatment which includes notes and coins and medium-term national savings instruments as having a residual maturity of less than one year. In 1997, only 9.8 per cent of debt is actually sensitive to interest rate changes.
5. Federal government debt only.
6. Treasury debt only.
7. Original maturity.
8. Central government debt only.

Source: European Monetary Institute (1998), *Convergence Report*.

introduction of measures to ease secondary trading of medium- and long-term securities, helped to ensure greater efficiency and transparency in the market. The share of medium- and long-term components rose to 63.2 per cent of public debt, eleven points higher than in 1993 (Table 13). The average life of public debt, after stabilising in 1995 and 1996, rose to 5 years in September 1998, making interest expenditures less sensitive to variations in short term interest rates. Debt placements have met with buoyant demand, the cover ratio remaining high in spite of the range of security instruments available to households having become more differentiated. Like all major components of state borrowing, financing through securities of medium- and long-term maturity declined in 1997. Despite

these developments, the share of borrowing through securities at the longer end of the capital market continued to rise, reinforcing a trend observed since 1996 when the yield curve became inverted. Overall, though, expressing the debt structure in terms of residual maturity shows Italy as a country with a significantly smaller fraction of medium- and long- term securities than all other EMU participants (Table 14).

Structural policies for a more efficient public sector

Towards more effective public spending control

The 1997 OECD *Economic Survey of Italy* reviewed the major issues involved in improving public expenditure control. In that context, inadequate accountability, lack of transparency in current budget procedures, insufficient *ex post* controls on expenditure outcomes and excessive disaggregation of budgetary items were identified among the major factors contributing to deficit overruns. In its conclusions, the *Survey* stressed the need for Italy to move from a system of expenditure management based on legal and procedural compliance to one relying on specification of objectives and assessment of performance. The *Survey* called for urgent improvements in several areas, including the introduction of binding deficit targets for the general government; the reorganisation of the budget document so as to match programme areas with management responsibilities; the imposition of effective controls on the fungibility of funds between spending programmes and on automatic carry-overs for current spending and the increase of financial responsibility at the local level.

Significant progress towards better planning and control has been achieved in many of the areas covered by these recommendations. Restrictions on appropriations and spending authorisations for certain types of local authority expenditure, together with close scrutiny of withdrawals by non-state public bodies from their centralised Treasury accounts, helped to contain expenditure in 1997. In addition, measures were taken to block budget transfers from these accounts if the balances exceeded given thresholds, thereby sharply reducing the amounts immediately spendable. Restricting cash outlays implied a rise in expenditure arrears (*residui passivi*)[15] for the state sector and possibly for non-state bodies. The government has recently adopted measures aimed at reducing such arrears by modifying the mechanisms governing both their formation and their transferability from one financial year to the other.

The budgetary outcomes of 1997 were also assisted by the reform of the central government budget which was approved by Parliament in April 1997 and which will simplify and streamline the budget process permanently. The old breakdown of the budget into 5 000 chapters and items was regrouped into

1 000 budgetary units, each one of which was endorsed with administrative responsibility. By making the relationship between spending targets and allocated resources easily recognisable, this simplification will favour the overall transparency of the budget process. Other sizeable gains could also be achieved from the abandonment of the incremental budget allocation criterion, according to which an additional request for resources has to be commensurate to the amount effectively spent in the previous budget, a clear incentive to pursue high spending programmes. Under the newly introduced zero-budget approach, future spending will have to be decided following a cost-benefit approach, thereby leaving way to making the allocation of resources more efficient and the monitoring of public spending more effective. Finally, the objectives outlined by the *DPEF* will represent a commitment for the following budget documents.

Managing the pensions problem and introducing a social safety net

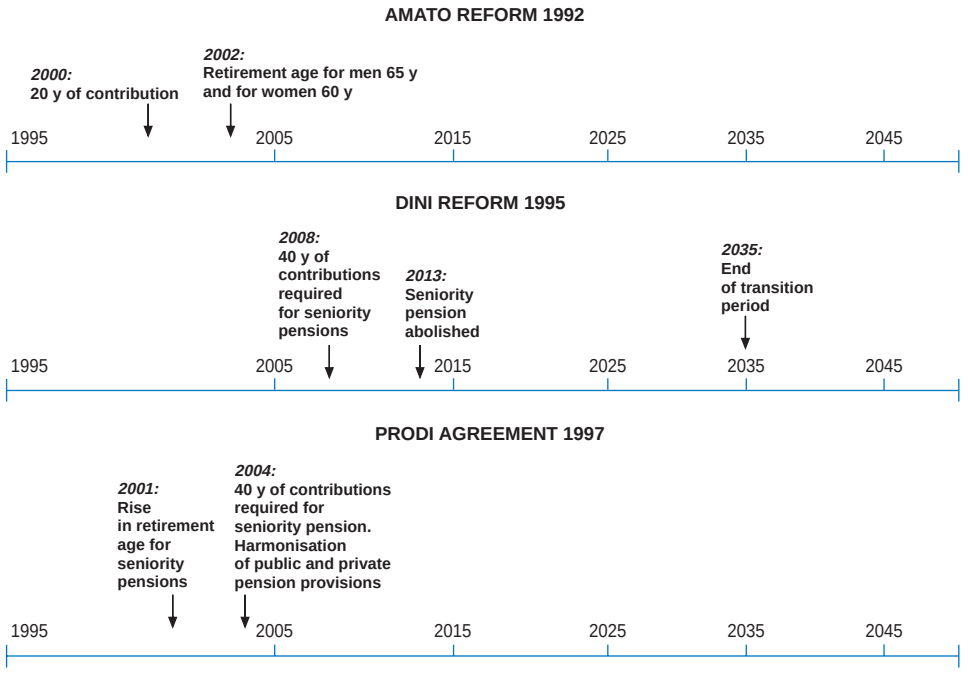
Progress in pension reform

The speed of future debt decline will depend in part upon the dynamics of pension payments. Reflecting a low effective age of retirement and generous pension provisions, pension expenditures have reached 14.8 per cent of GDP in 1997, a comparatively high ratio by international standards. Without the pension reforms of the 1990s, projected demographic changes combined with institutional characteristics relating to early-retirement patterns and seniority pensions (*pensioni di anzianità*, *i.e.* pensions taken at the early retirement age) would have implied sharp increases in the decades ahead.[16] Despite the reforms, Italy's pension system is still unusually complex, given diverse pension regimes for different employment categories and overlapping pension legislation, a consequence of rapid institutional change over the last few years (Figure 17).

Pension reforms started in 1992 (*Amato reform*) and continued in 1995 with the adoption of a contribution based regime (*Dini reform*), aiming at ensuring financial viability of the pension system.[17] Responding to the fact that pension expenditures were continuing to rise more rapidly than expected, the *Prodi Agreement* of 1997 accelerated the increase in the early retirement age, brought forward the harmonisation of public and private pension regimes and increased pension contributions paid by the self-employed. The harmonisation is to be phased in gradually between 1998 and 2004, *i.e.* four years more rapidly than foreseen by the *Dini reform*. Temporary measures have also been introduced to postpone access to early retirement benefits and to suspend inflation adjustment for high pensions.

Recent government estimates, which take into account the latest reforms, point to pension expenditures falling by around 1.2 per cent of GDP in 1998 relative to trend, reflecting the joint effects of the revision of the indexation scheme and of the new retirement requirements.[18] Over the long run, savings on pension expenditures would amount to 8.8 per cent of GDP by the year 2045.

Figure 17. **Calendar of pension reforms**



Source: OECD.

These expenditures would reach the peak of 15.8 per cent of GDP by the year 2032, broadly in line with other projections recently made by ISTAT,[19] and around 7.5 points below the peak that would have been reached in the absence of reforms.

The 1996 and 1997 *OECD Economic Surveys of Italy* concluded that the 1995 pension reform was widely seen as being inadequate by providing for an excessively long transition period and applying a higher notional rate for the calculation of benefits (*aliquota di calcolo*) than for the actual contribution rate paid (*aliquota contributiva*). In addition, by granting a favourable treatment to workers with more than 18 years of contributions the reform implied an arbitrary shift of income among generations. The recent *Prodi Agreement* represents an important step towards correcting the above problems by providing for a shorter transition period, a more stringent requirement for access to seniority pensions as well as

reducing the difference between the notional rate for the calculation of benefits (*aliquota di computo*) and the contribution rate paid by self-employers (*aliquota di finanziamento*) (Table 15). Despite these actions, however, recent government and ISTAT projections point to pension spending increasing moderately between 2003 and 2015, before the expenditure share stabilises in the range between 15 and 16 per cent of GDP.

More effective social welfare

Reducing the pressure of pension spending is all the more crucial because the system of protection is skewed towards pensioners and recipients of invalidity pensions, less than a quarter of welfare spending accruing to families in need.[20] At less than 4 per cent of GDP in 1997, Italy's social expenditure for families and those without income (excluding pension and health expenditure) are low by EU standards. This mainly reflected low unemployment insurance benefits as well as the absence of social assistance payments, Italy being one of the few OECD countries without an efficient and transparent social safety net. The 1998 budget law introduced a minimum income scheme (*reddito minimo di inserimento*) aimed at helping individuals and families in distress to find gainful occupation. The standard minimum income, set at L 600 000 a month or $350, varies with family status and employment income. To stimulate job search, newly employed persons (on the minimum income) are entitled to keep part of their employment income, while the financial assistance is suspended in the event of persons refusing new job offers. A limited number of municipalities, most of which are located in the south, will apply the new scheme to 50 000 families during an initial experimental phase (until December 2000). The expenditure for the new safety net will be offset by savings from the 1997 pension measures (*Prodi agreement*).

The government has also submitted to Parliament draft legislation to improve the quality of social services through an integrated system of social services. Embracing both private and public agencies, such a system would cover health, education, job-integration and training of the labour force (*Disposizioni per la realizzazione del sistema integrato di interventi e servizi sociali*). The draft legislation also streamlines procedures under which assistance is given to disabled persons (reduction from 16 to 4 of disability categories). Furthermore, in line with other OECD countries, the bill aims at increasing expenditure for professional requalification and the introduction of a "social identity card" (*Carta dei servizi sociali*). As part of overall decentralisation, the bill gives local governments an important role in the design and execution of social policies. Regions would be given all the responsibilities for planning and co-ordination, while managerial tasks would be performed by municipalities. The central government, on the other hand, would remain responsible for laying out the broad policy guidelines to be revised every three years in the context of the national social plan.

Table 15. **Eligibility criteria for seniority pensions**

For workers with at least 18 years of contributions at end-1995

	1995 Reform					1997 Agreement			
	With a full pension			With less than a full pension		With a full pension			
	Private and public employees		Self-employed	Public employees only		Employees			Self-employed
						Private	Public	Private and public	
	35 years of contribution and minimum age of:	or Any age and minimum number of years of contribution	40 years of contribution or 35 and a minimum age of:	Any number of years of contribution and minimum age of:	Any age and minimum number of years of contribution:	35 years of contribution and minimum age of:	or Any age and minimum number of years of contribution		40 years of contribution or 35 and a minimum age of:
1998	53	36	57	53	30	54	53	36	57
1999	53	37	57	53	30	55	53	37	57
2000	54	37	57	54	30	55	54	37	57
2001	54	37	57	54	30	56	55	37	57
2002	55	37	57	55	30	57	55	37	57
2003	55	37	57	55	30	57	56	37	57
2004	56	38	57	56	30	57	57	38	57
2005	56	38	57	56	30	57	57	38	57
2006	57	39	57	57	30	57	57	39	57
2007	57	39	57	57	30	57	57	39	57
2008	57	40	57	57	30	57	57	40	57

Source: A. Javier Hamann (1997), "The Reform of the Pension System in Italy", *IMF Working Paper, WP/97/18*; M. Mira d'Ercole and F. Terribile (1998), "Pension spending: developments in 1996 and 1997", in L. Bardi and M. Rhodes (eds.), *Italian Politics: Mapping the Future,* Westview Press.

Decentralisation and the reform of the public administration

The reform of the public administration is closely linked to the process of decentralisation. Based upon special powers conferred on the government by Parliament in October 1992 (*Legge Delega*),[21] administrative reform began in 1993 with the adoption of a new pay determination system, new collective bargaining rules and the reform of the status of civil servants, aimed at separating politicians' responsibilities from those of administrators. The same decree set the stage for introducing techniques of private sector management into public administration (Box 2). The year 1994 also saw the introduction of service charters, defining standards of quality of service rendered by all government agencies at central and local level. Under this policy, each agency is free to design its own standards based upon the quality indicators defined at national level. By June 1997, almost 7 000 government agencies, including those delivering gas, electricity, mail, health care, school and pensions services, had drawn up their own service charters. The reform of public administration gained strong momentum in 1997 with

Box 2. **Highlights of public sector reform**

1990: Law 241/90 defines the general principles (openness, transparency, predictability and consumer participation) which govern the activity and functioning of public administration.

1992: Parliament gives government special powers to reform public administration (framework law)

1993: New rules for collective bargaining in the public sector are introduced (Decree 29/93). Delegislation and simplification of administrative procedures become effective (Law 537/93).

1994: Law 20/94 simplifies control procedures to be followed by the Audit Court; ARAN, a special agency, conducts wage negotiations on behalf of the government.

1997: The framework law 59/97 (*Bassanini 1*) gives government the power to devolve executive powers to local governments and to restructure the central government. Law 127/97 (*Bassanini 2*) simplifies administrative procedures

1998: Decree 80/98 separates responsibilities of politicians and those of managers. Decree 112/98 identifies tasks and functions to be decentralised. Law 119/98 (*Bassanini 3*) issues rules to increase labour mobility in the public sector.

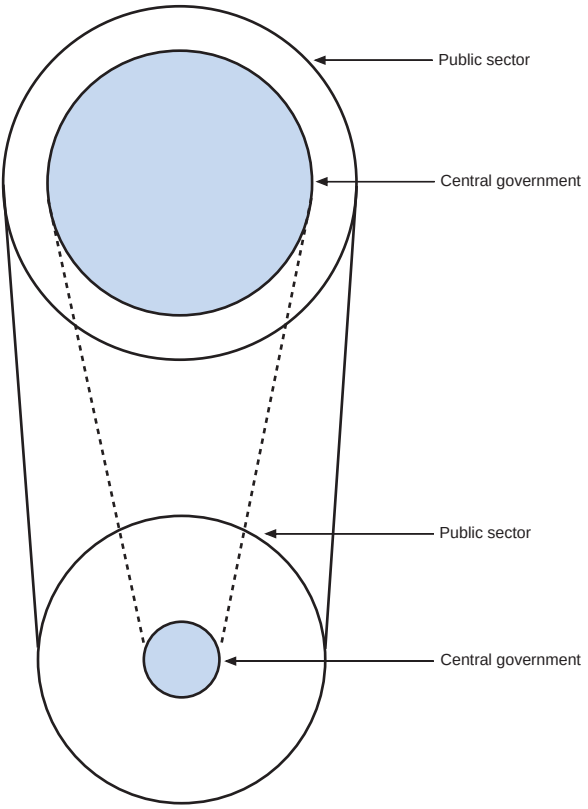
the adoption of a framework law (59/97, *Bassanini 1*), which, by gradually devolving state functions and activities to local governments, will radically change the distribution of powers (administrative functions and tasks) among the central, regional and local governments.[22]

For the purpose of implementing the devolution reform, the government has been given discretionary powers (delegation), *i.e.* the government is free to issue decrees which require no formal approval by Parliament. These decrees must respect a set of well-defined principles. These include, other than the principle of subsidiarity, the principle of wholeness, efficiency and economy, co-operation, responsibility and uniqueness of the administration, uniformity, autonomy of local governments and adequacy. Thus, while the decrees based upon Law 59/97 (*Bassanini 1*) necessarily involve the downsizing of certain government functions (principle of subsidiarity), they also ensure that the decentralisation process will not impair Italy's ability to respect its EMU commitments (principle of co-operation). The same law also makes it possible to change previous decrees if the evidence from monitoring reforms calls for better modes of implementation.

The new law is based upon the principle of subsidiarity, transferring to regions and local councils over a three-year period functions in all relevant areas hitherto carried out by the State. Excluded from the power transfer are those specifically stated and for which the central government will retain jurisdiction.[23] These latter functions include the relations with the European Union and the formulation of national policy objectives in areas including agriculture, public housing, motorways and national routes, labour market services and training policies. The responsibilities to be transferred to regions comprise the provision of health services and education; the allocation of industrial incentives; urban planning; the cadastre (property registry); public works; roads (except highways and national routes); cultural heritage; mining concessions and environmental protection. The central government can exercise substitutive powers in the event of regions failing to fulfil their obligations in the domain of transportation, electric power, mining land management and environmental policies.

The transfer of executive powers is intimately linked to the planned downsizing of the public sector as a whole. As a consequence, the central government is set to shrink by more than the public sector as a whole (Figure 18). For many central government employees, this will inevitably imply a change in the *de jure* status of employment, with regions, provinces and municipalities becoming their employers. Under the reform, the structure of the central government has begun to be reshaped. The number of ministries will be reduced further and organisational models (agencies, departments, independent regulatory agencies, etc.) adapted to types of government functions.

Figure 18. **Decentralisation and the shrinking of the public sector**
An illustration of the Bassanini reform



Source: OECD.

Tax reform

Although administrative and pension reform has not so far brought any reduction in Italy's rather high tax burden, the 1998 Budget contained measures remodelling the tax system, as part of a wide-ranging, revenue-neutral, tax reform started in 1997. Tax reform was the special issue of the 1996 OECD *Economic Survey of Italy* which also proposed a range of structural measures to improve the Italian tax system. The conjunction of above-average statutory tax rates, relatively low tax yields and high public sector deficits was interpreted to indicate the need for

greater efficiency in tax assessment and collection and for an economically more efficient tax structure. The *Survey's* recommendations to the Italian authorities included stepping up efforts to reinforce investigations into the income situation of specific sectors; accelerating the programmed reform of the tax administration, including the devolution of substantial taxing power from the State to the regions; reducing the number of taxes; intensifying training programmes of skilled administrators as a means to ease tax official redeployment. Regarding the tax structure, the *Survey* emphasised the need to shift the tax burden away from income to consumption taxes, Italy's revenues from goods and services and property taxes being low by EU standards.

The 1997-98 tax reform is the most important since the early 1970s and affects all categories of taxation (Box 3). The salient features of the reform are: *a)* the introduction of a new regional tax on production activities (*Imposta regionale sulle attività produttive, IRAP*) with the abolition of a number of excise duties, capital taxes and health contributions; *b)* the revision of the personal income tax (*Imposta sui redditi delle persone fisiche, IRPEF*); *c)* the reorganisation of the rules governing the taxation of capital gains; *d)* the introduction of a two-tier system for corporate taxation (*Dual income tax, DIT*); *e)* the change in the VAT regime. Overall, the reform has been designed to introduce greater fairness and efficiency into the tax system through rationalisation and simplification. By broadening of the tax base and at the same time transferring the financing of part of social security expenditure from contributions to general taxation, the aim is to reduce the tax component of labour costs. It is also to make taxation more neutral as regards its impact on companies' decisions on sources of finance and on the mix of production factors.

An important feature of the reforms is the objective of increasing the fiscal autonomy of lower levels of government, which should increase local choice and accountability. The introduction of IRAP, a tax on business activities, is part of this move towards fiscal federalism. It increases the regions' fiscal autonomy, offsetting losses in transfer receipts from the central government. *IRAP* supplants employers' compulsory health contributions, the local income tax on profits (a *de facto* central government levy), the tax on companies' net worth and other municipal taxes on business start-ups. The tax base is proportional, the normal rate, set by the central government, being 4.25 per cent, and is levied on value added, net of depreciation, but including interest payments. Once fully operational, *IRAP* revenues will total 40 per cent of regions' current spending and the regions will eventually have discretion to vary rates, within narrow limits. Initially, however, the uses to which revenue can be put will be largely fixed: 90 per cent will be earmarked to finance the National Health Service, which accounts for the bulk of regional expenditure. The reorganisation of the personal income tax also increases tax autonomy, insofar as the regions will be allowed to levy a ½ point surtax, while simplifying the tax process and enhancing equity.

Box 3. Tax reform

The salient features of the 1997-98 tax reform are: *a)* the introduction of a new regional tax on production activities (*Imposta regionale sulle attività produttive, IRAP*) with the abolition of a number of excise duties, capital taxes and health contributions; *b)* The revision of the personal income tax (*Imposta sui redditi delle persone fisiche, IRPEF*); *c)* The reorganisation of the rules governing the taxation of capital income; *d)* The introduction of a two-tier system for corporate taxation (*Dual income tax, DIT*); *e)* The change in the VAT regime.

Regional tax, IRAP, replaces employers' compulsory health contributions, the local income tax on profits (a *de facto* central government levy), the tax on companies' net worth and other municipal taxes on business start-ups. *IRAP*'s tax base is the value added, net of depreciation, but including interest payments. The tax is proportional, the normal rate, set by the government, being 4.25 per cent. Special transition arrangements apply to agriculture (2.5 per cent in 1998, the standard rate being achieved gradually by 2002) and to the banking and insurance sector (5.4 per cent, declining to 4.25 per cent in 2001). *IRAP* is paid twice a year beginning in July 1998. After the second payment (December), regions will be entitled to increase the standard rate by up to 1 percentage point, and to apply varying rates for different categories of taxpayers and sectors.

Direct taxation.

- *Personal income taxation (Imposta sui redditi delle persone fisiche, IRPEF).* The number of income brackets has been reduced from 7 to 5, the minimum tax rate raising from 10 to 19 per cent, while the top rate has been lowered from 51 to 46 per cent (January 1998). The structure of the tax credits for employees and the self-employed has been revised to lower the tax burden for medium- and low income earners. As part of the ongoing process of fiscal decentralisation, a special provision allows the regions to introduce a regional surtax (half a percentage point of the total *IRPEF* tax base until the year 2000). After the initial phase, the regional surtax will vary between 0.5 and 1.0 per cent. Tax credits for large families are also provided for by the new *IRPEF*.
- *Taxation of capital income.* Existing tax rates have been reduced to two (12.5 per cent and 27 per cent), while the tax base has been broadened by making capital gains and incomes from derivatives trading taxable. Capital gains are taxable on an accrual basis. The tax regime for individuals investing through institutional investors has been simplified.
- *The dual income tax (DIT).* A two tier system has been introduced whereby income gains attributable to increases in own capital are subject to a lower tax rate of 19 per cent,[1] while the ordinary 37 per cent corporate tax rate (*Imposte sui redditi delle persone giuridiche, IRPEG*) continues to apply to residual profits. Under the new rules, a floor is set for the average tax rate (27 per cent). Special temporary tax concessions have been granted to companies admitted to the stock exchange.

1. This income is calculated applying an imputed official yield to the capital accumulated by the firm since September 1996.

(continued on next page)

(continued)

The VAT regime. The VAT increase, introduced by decree, took effect in October 1997. In line with EU rules, the number of VAT rates was reduced from four to three, leaving the floor rate unchanged at 4 per cent, raising the top rate from 19 to 20 per cent and abolishing the intermediate rates of 16 per cent. Most goods and services, previously covered by the 16 per cent rate became subject to the new top rate of 20 per cent, the remainder being covered by the intermediate rate of 10 per cent.

Other tax initiatives. Since January 1999 the reform will also affect the municipalities and the provinces, mainly through the reorganisation and simplification of taxes on real estate transactions and the circulation of motor-vehicles. Measures to simplify tax procedures have also been taken in 1998, including the introduction of a unified scheme of payment for *IVA*, *IRPEF*, *IRPEG*, *IRAP* and other contributions.

Revenue neutrality. An implicit requirement of the reform is that the new value added tax should generate the same volume of revenue as the taxes it replaces. According to government estimates, the elimination of National Health Service contributions, local income tax, the tax on companies' net worth, the VAT registration tax, the municipal tax on businesses and the self-employed and certain other municipal taxes is likely to lead to a loss of revenue of about L 70.6 trillion. The expected yield from IRAP is estimated at about L 52.3 trillion. The difference will be offset by the increase in the yield from IRPEF and corporate income tax (IRPEG) as a result of the abolition of the various contributions and duties, which were deductible (L 10.7 trillion in total), and by the adjustments in IRPEF tax brackets and credits (around L 7.6 trillion).

Tax neutrality. The broadening of the tax base is meant to reduce the interference from the tax system on corporate decisions. Under the previous system, relative factor costs were distorted because of the different impact of taxation on factor costs. In particular the local income tax and the tax on companies' net worth affected the cost of capital, while health contributions raised labour costs. The new tax is designed to have a uniform effect on labour and capital costs. The old system also discriminated between the sources of corporate finance, because taxes were levied on all income from equity capital, whereas interest on debt was excluded. IRAP subjects both income from capital and interest on debt to taxation. The overall tax burden arising from the previous system depended on the structure of the firm's profit and loss account and on the chosen method of financing, while IRAP gives rise to a tax liability irrespective of the combination of production factors used and the structure of liabilities.

According to the assessment of the Bank of Italy, the redistribution of the tax burden as a result of the changeover to the new system will bring relative advantages for firms which are highly capitalised (in view of the relative weight of the tax on net worth in the old system) and have relatively low interest expenses (since interest payments are not deductible for the purposes of IRAP). It also favours firms which have high overall profits in relation to value added and those which did not enjoy relief from health contributions and therefore suffered higher tax on labour costs.

The reform of capital income taxation, which came into effect in July 1998, is designed to enhance fiscal neutrality for taxation on different sources of capital incomes, accruing from financial assets and business activities. The dual income

tax improves the tax on business profits (*Imposta sui redditi delle persone giuridiche, IRPEG*) and aims at removing a number of tax biases favouring resort to debt over equity financing.

Overall, the 1997-98 tax reform appears to be consistent with the general recommendations brought forward by the OECD in its 1994 *Jobs Study*. The most important tax reform since the early 1970s, it makes for a reduction of personal and corporate income taxes as well as the employers' social security contributions, while raising indirect taxes. In perspective, it will cause work disincentives to diminish, while also lowering tax evasion and reducing labour costs. Thus, the job-creating effects of the reform are potentially large, particularly in the depressed south where the effects on the supply price of labour will be more pronounced. Another element of the reform is the devolution of large taxing powers from the State to the regions, implying that the reform will probably lead to a rise in the share of tax receipts accruing to local authority. At present, the degree of centralisation of government receipts is abnormally high by OECD standards. While wider regional tax autonomy is a necessary condition to enhance local efficiency, some regions may not be prepared to adapt rapidly to the new regime. As reported in the earlier 1996 *Survey of Italy*, two conditions need to be met in order to ensure an effective shifting of taxing powers from the centre to the periphery. One is the development of proper budgeting procedures at the local level, the other the creation of efficient local tax administrations.

III. Policies for the transport sector

Introduction

The provision of an efficient transport infrastructure is recognised as critical element determining a country's growth capacity. Transport costs are an increasingly important determinant of competitiveness,[24] and the EU integration process places an increasing emphasis on distributional efficiency in underpinning economic convergence. However, as is almost uniformly the case internationally, the Italian transport system is the product of state intervention and regulations. Due to state ownership and control, pricing and budget structures have been insulated from market influences. This has resulted in low productivity, subsidisation and mounting budgetary costs. At the same time, infrastructure decisions have taken little account of the negative "externalities" associated with pollution and congestion, leading to distortions in the pattern of supply and demand for transport services. In recognition of these inefficiencies, transport policy in Italy has been moving away from the traditional approach of direct public transport provision, towards a more market-based strategy. The single market, and now the establishment of the EMU, have given added impetus to the liberalisation of transport and the application of competition rules. Establishing effective management, financing and regulatory mechanisms for the industry, is creating difficult adjustment problems and poses one of the most important challenges for the Italian economy.

The chapter reviews trends in the supply and demand for transportation services in Italy, gauges the effectiveness of the system in providing for the needs of the economy and assesses current policy requirements in Italy. Its structure is as follows. The first section gives an overview of the transport sector, in terms of its size and general characteristics. The following section then describes the regulatory and institutional background to the individual transportation modes, discussing the implications for efficiency. The final sections describe recent policy initiatives and the requirements for further reform.

Main features of the Italian transport sector

A fast-growing sector saddled with inefficiencies

Italy's transport sector has been relatively fast-growing. In the period 1980 to 1996, the output of the transport sector increased by 50 per cent (national accounts basis), or more than twice as fast as industrial production (Table 16). This rapid expansion concealed different trends for individual transport activities, the value added of total inland transport surging by 77 per cent, as against 14 per cent for maritime and air transportation and 20 per cent for ancillary activities related to transportation. The expansion of transport sector output, which was particularly strong in the second half of the 1980s, was largely stimulated by the growing trade integration with European markets. During the 1990s, the expansion of transport output lost some momentum under the effect of decelerating real GDP growth (Table 17). But the output share in GDP still rose from 4.3 per cent in 1990 to 4.7 per cent in 1997 (Figure 19). In many other European countries, the output share remained stable.

The transport sector accounts for almost 5 per cent of GDP (Table 18) and just over 5 per cent of total employment (1.1 million persons). Transport outlays also matter directly for private households, such expenditures accounting for 11 per cent of private consumption, or 20 per cent taking account of car purchases and maintenance. While the output- and employment shares of the transport sector are similar to those of other European countries, the level of labour productivity (measured by value added per head of transport employment expressed in a common currency) has been low, the shortfall *vis-à-vis* an

Table 16. **Value added at constant market prices**

Cumulative percentage change

	1980-1997	1980-1985	1985-1990	1990-1997
Total transport	**50.7**	**5.3**	**24.2**	**15.3**
Inland	79.3	13.5	31.1	20.5
Maritime and air	16.8	–1.8	11.3	6.8
Ancillary activities	16.7	–5.5	15.7	6.7
GDP	**34.7**	**7.7**	**15.7**	**8.0**
Memorandum items:				
Agriculture	8.4	–0.3	–2.7	11.7
Industry	25.4	0.2	18.3	5.8
Services	42.8	13.2	15.3	9.4

Source: Ministero dei Trasporti e della Navigazione (1998), *Conto nazionale dei trasporti;* ECMT (1998), *Statistical Trends in Transport.*

Table 17. **Transport and trade performances**

Per cent of GDP

	1980	1985	1990	1991	1992	1993	1994	1995	1996	1997
Transport value added	4.7	4.0	4.3	4.4	4.4	4.6	4.7	4.8	4.7	4.7
Exports	16.8	18.0	15.7	14.9	14.9	17.5	19.1	21.9	21.1	21.2
Imports	22.1	20.8	16.8	16.0	15.7	15.3	16.8	19.2	17.4	18.4

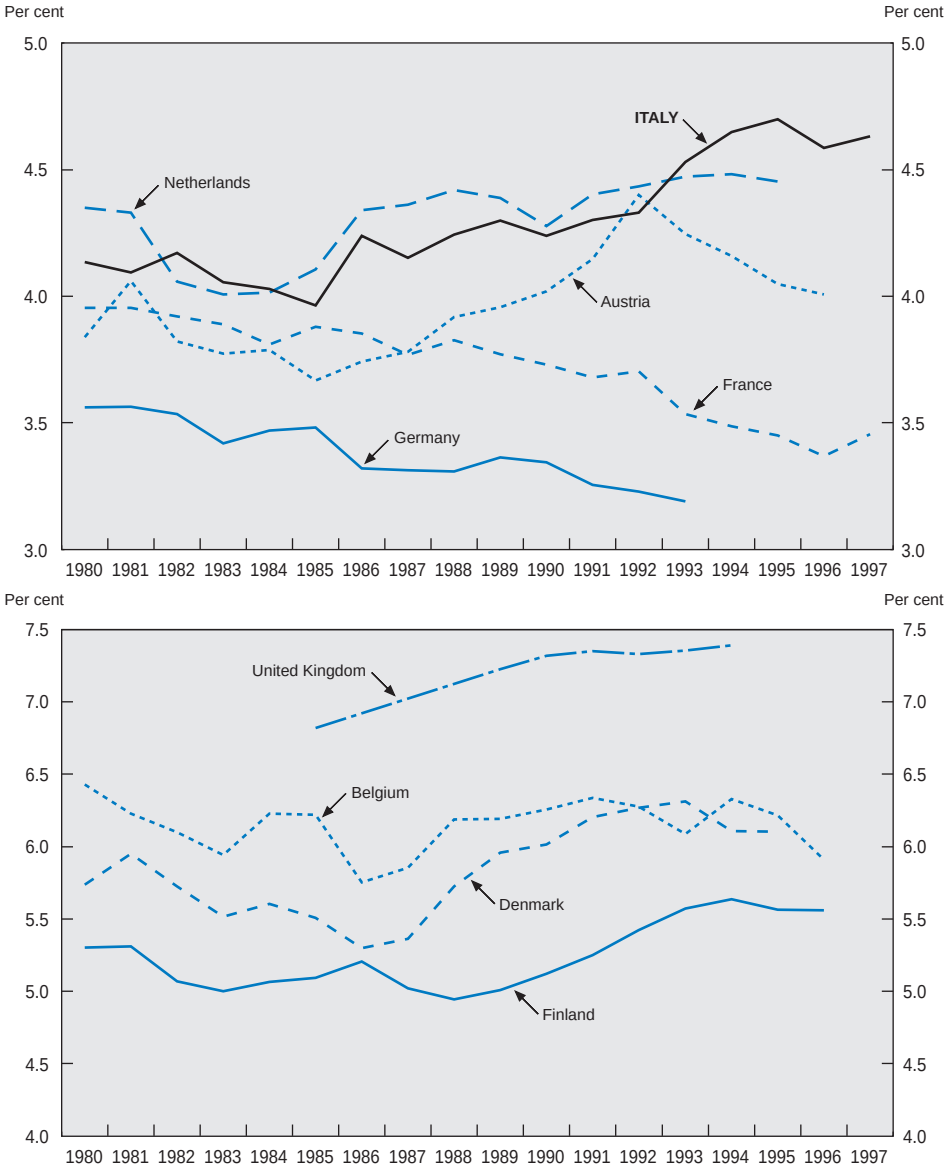
Source: OECD; Ministero dei Trasporti e della Navigazione (1997), *Conto nazionale dei trasporti*; ECMT (1998), *Statistical Trends in Transport.*

unweighted average of the selected European countries shown in Table 18 exceeding 40 per cent.

Within the transport sector, production efficiency has varied strongly, with some companies recording profits and others financial deficits, but nearly all large transport companies under direct or indirect government control have posted chronic financial losses. Underlying the financial losses have been low levels of total factor productivity, reflecting low work intensity, obsolete capital equipment, low transport fares and inflated labour costs, which have been a consequence of trade union pressure, lack of budget constraint and, more recently, favourable arrangements for early retirement. Financial deficits have also to some extent reflected dubious legal practices, which, for many years, have distorted the design and execution of transport projects.[25]

Fares have been kept artificially low as a consequence of price controls, overall transport prices being around 10 per cent lower than the EU average, with larger gaps for long distance transports (including railways) and local public transport (Figure 20). Low tariffs for most public transport services reflect political priorities, taxes and subsidies, based upon social considerations. At about $11 000, subsidies per employed person in the transport sector in 1993 were large by international comparison (Table 19). In contrast, prices of motor fuels, oils and greases are substantially higher than the EU average (35 per cent in 1993), a consequence of high road fuel taxes. These characteristics still persist despite attempts to correct them: developments over time show the public urban transport component of the consumer price index rising by 70 per cent over the 1990s, twice as much the total index (Figure 21). This has reflected price adjustments required to improve the cost-recovery ratio for local public transport companies. Real fare increases have also been noted for air services and maritime transport. In contrast, and notwithstanding large financial losses, real rail tariffs have fallen.

Figure 19. **Transport sector output**[1]
Per cent of GDP



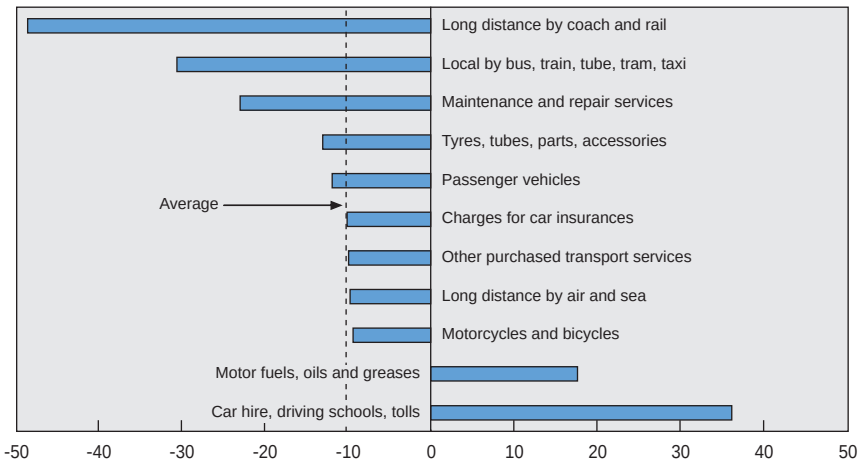
1. At current prices.
Source: OECD (1997), *National Accounts;* ECMT (1998), *Statistical Trends in Transport.*

Table 18. **Value added and employment in transport**

	Value added (Per cent of GDP)	Employment (Per cent of total employment)	Value added per head of transport employment[1] (Index)
Italy	**4.7**	**5.1**	**100**
Austria	4.1	5.1	121.8
Belgium	6.2	4.5	228.0
Denmark	6.1	5.3	175.8
Finland	5.6	5.5	147.2
France	3.5	3.9	136.7
Luxembourg	4.0	5.8	122.4
Netherlands	4.5	5.3	137.5
Unweighted average	4.8	5.1	146.2

1. Expressed in a common currency.
Source: OECD (1997), *National Accounts*; ECMT (1998), *Statistical Trends in Transport.*

Figure 20. **Relative price levels in the transport sector[1]**



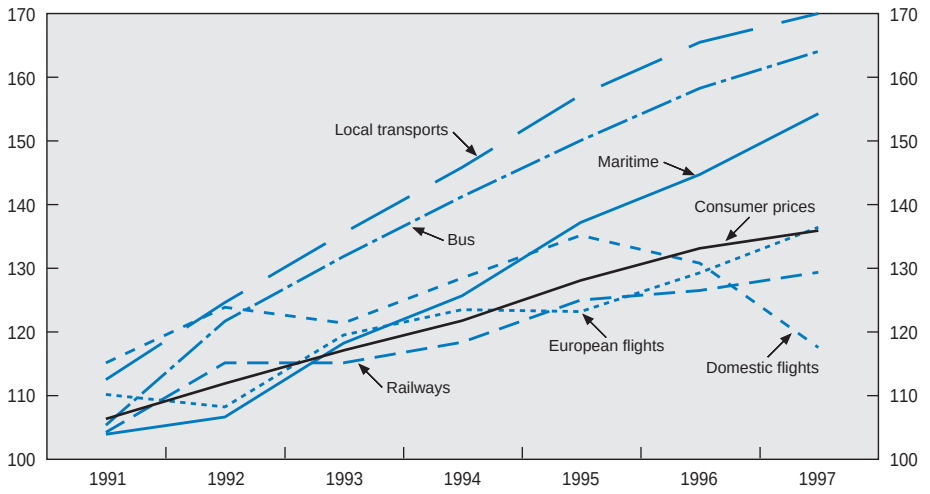
1. Difference between transport price levels in Italy and EU countries in 1993.
Source: OECD (1995), *Purchasing Power Parities and Real Expenditure.*

Table 19. **Transport subsidies per head of transport employment**[1]

	Levels in dollars	Index
Italy	**11 138**	**100**
Netherlands	7 244.6	63.6
Sweden	7 062.0	62.0
Portugal	1 589.7	13.9
Finland	374.9	3.3
United States	295.8	2.6

1. In 1993.
Source: OECD (1997), *National Accounts.*

Figure 21. **Transportation fares and consumer prices**
1990 = 100

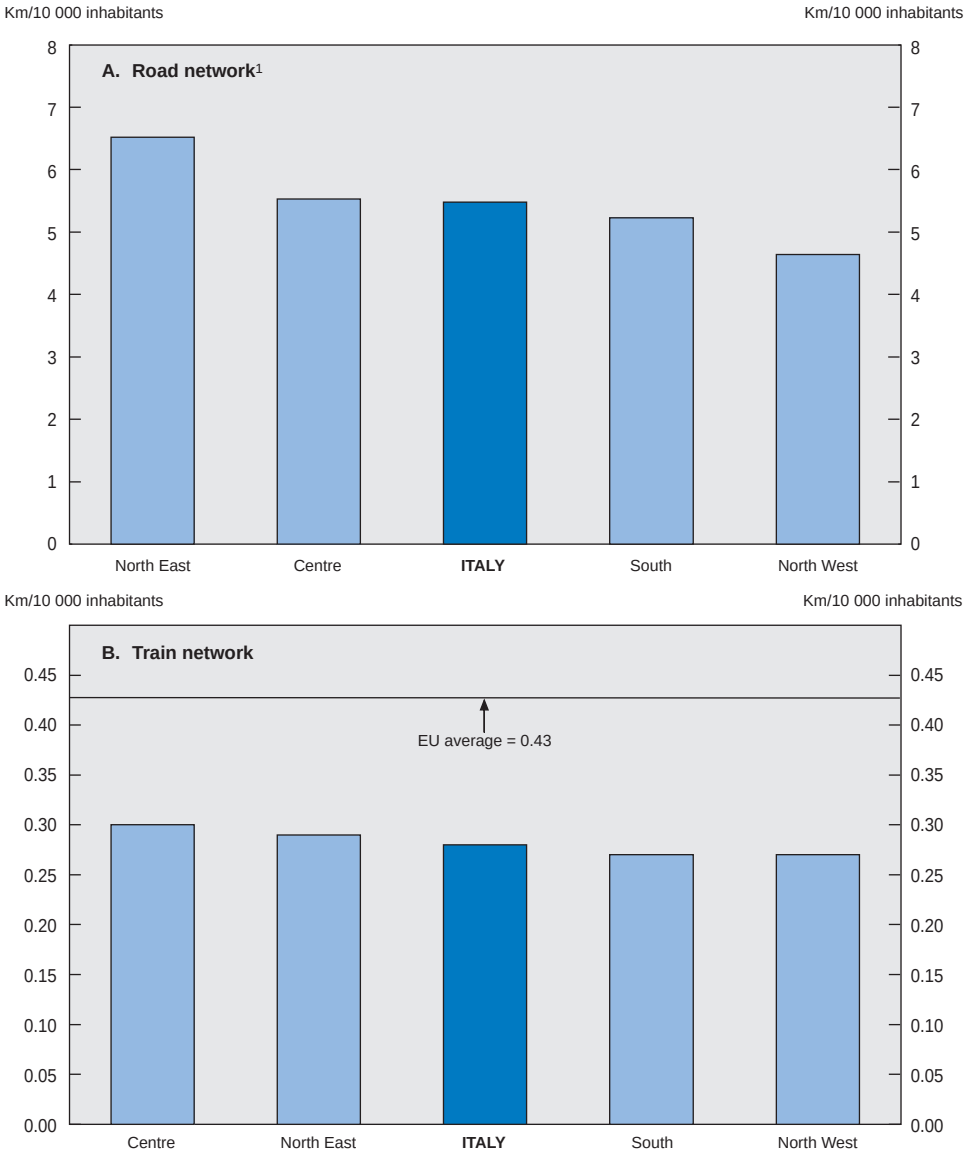


Source: ISTAT, OECD.

Regional imbalances

Overall transport supply data scaled by population reveal no major differences between northern and southern regions (Figure 22). However, scaling the networks by the physical size of the region reveals a gap in transport endowment between the north and the south (Figure 23). Network data related to

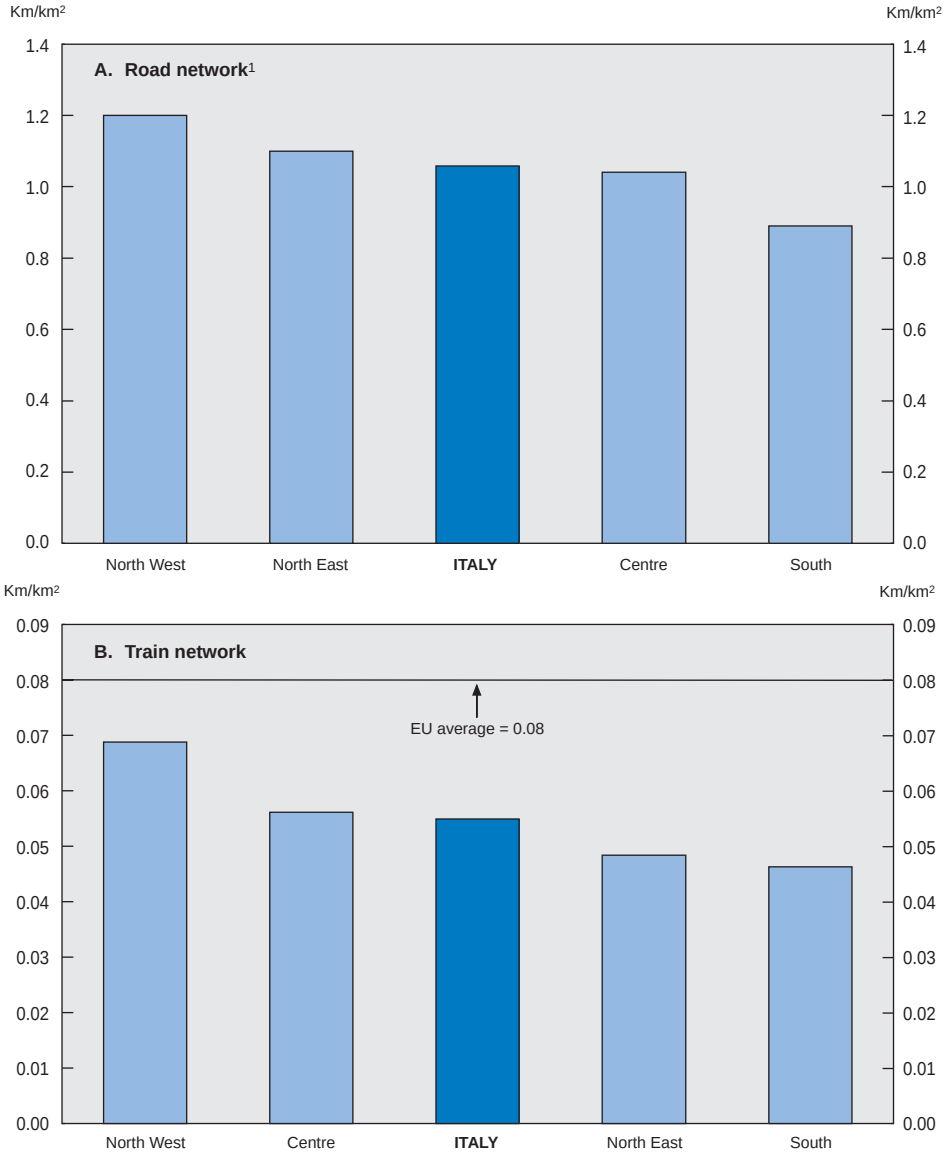
Figure 22. **Regional network intensity**
1995



1. Due to a lack of data consistency the road network cannot be compared with the EU average as reported in Figures 26 and 27.

Source: Ministero dei Trasporti e della Navigazione (1997), *Conto nazionale dei trasporti.*

Figure 23. **Regional network density**
1995



1. Due to a lack of data consistency the road network cannot be compared with the EU average as reported in Figures 26 and 27.

Source: Ministero dei Trasporti e della Navigazione (1997), *Conto nazionale dei trasporti*.

population size show a relatively balanced distribution of the railway infrastructure across regions (Figure 22, lower panel) although no region has a railway intensity as high as the average of the European countries. However, the intensity of the road network varies within northern regions, being high in the north-east, a region with a low population density, and low in the highly populated north-west. Both the centre and the *Mezzogiorno* have a road intensity close to the national average. The opening of Gioia Tauro, a new port in the south, together with the improvement of other southern harbour facilities (Naples and Salerno) have virtually closed the gap between maritime infrastructures in the north and the south. But links between the ports and the road and train networks are still inadequate, hindering the competitiveness of some southern ports.

On the demand side, there are large regional gaps in the use of the networks. The north, which contributes 55 per cent of GDP and nearly three quarters of exports, accounts for nearly two thirds of total demand for rail and road freight transport. Road utilisation is much higher in the north than in the south, where 36 per cent of the population owns 30 per cent of the cars circulating in Italy. These differences reflect high income disparities, the northern per capita income exceeding the southern equivalent by 84 per cent (Table 20). The heavy use of northern roads also reflects transit traffic, both national and international.

A 1998 ISTAT survey showed that the quality of public passenger transport services was generally low, varying significantly across regions of Italy.[26] As regards rail services, the most important factors underlying the comparatively low satisfaction of southern citizens were low train-frequency, unpunctuality and inad-

Table 20. **Regional indicators and transport demand**

	North-west	North-east	Centre	Mezzogiorno	**Italy**
Regional GDP (as a percentage of total GDP)	32.3	22.7	20.6	24.4	**100**
Exports (as a percentage of total exports)	44.8	30.4	15.8	9.0	**100**
Population (million)	15.0	10.4	11.0	20.9	**57.3**
Per capita income (Index)	123.6	124.2	107.4	67.0	**100**
Population density	258.7	168.8	188.4	169.7	**190.3**
Rail freight traffic (as a percentage of total rail freight traffic in tonnes)	40.5	26.5	19.5	13.5	**100**
Road freight traffic (as a percentage of total road freight traffic in tonnes)	34.4	30.5	16.9	18.2	**100**

1. In 1996.

Source: ISTAT (1997), *Conti economici regionali;* Ministero dei Trasporti e della Navigazione (1998), *Conto nazionale dei trasporti.*

equate train schedules. Concerning inter-urban transport, another important factor distinguishing the south from the north and the centre was the insufficient extension of links, while lack of comfort was also reported to be a problem. Difficulties stemming from inadequate local transport systems appear to be particularly pronounced in larger cities like Naples and Palermo, where certain zones are inaccessible using public transport. As for extra-urban bus transport, southern citizens tend to complain about the lack of information regarding the route coverage, schedules and frequency.

Individual transport modes

A small rail network

The weakest link of the transport system has been the railways, which have long been burdened by overstaffing, comparatively high pay, deficient signalling systems, obsolete rolling stock and old tracks. The state railway network is small in terms of rail route kilometres per capita relative to other countries.[27] Its size has changed little over the past twenty years, and no significant restructuring has taken place to reflect population shifts into urban areas, or developments of other transport modes. The network use is uneven, with one-fifth of the network absorbing 80 per cent of the traffic. For the privately-run network, which makes up around a quarter of the total, more than 90 per cent consists of one-track lines, about one third being electrified.[28] Increased bus services and rapid motorisation were prime factors reducing this network by 1 000 kilometres over the 30 years to 1996. At 39 per cent in 1995, train occupancy was low. In 1998, the state railways company (*Ferrovie dello Stato, FS*) launched a new investment plan intended to improve the maintenance of infrastructures, expand the network, and enhance safety conditions. A rise in train accidents occurred in early 1998.

Complex investment procedures

Notwithstanding its transformation into a corporation in 1992, the board of FS lacks management autonomy, notably in the domain of investment and pricing policies for passenger fares. Political interference has been pervasive. There has also been a lack of accountability, with inefficient managerial choices escaping penalisation. At times, the quality of management has suffered from inadequate law enforcement. Investment decisions are subject to lengthy and cumbersome procedures. Investment projects are designed by the *FS*, subsequently negotiated with both the Ministry of Transport and the Treasury and eventually codified in the form of a programme contract *(Contratto di programma, C.d.p)*. This contract is signed by the *FS* and the Ministry of Transport after prior approval by the Inter-ministerial Committee for Economic Planning *(Comitato*

Interministeriale per la Programmazione Economica, CIPE) representing seven ministries) and two transport commissions of parliament (Chamber of Deputies and Senate). In addition, regions have a veto right over proposals seeking to close down low-traffic railway links. The lack of management autonomy has been intensified by employment restrictions imposed by organised labour whose role in *FS* has been likened to a hidden shareholder.[29]

The normal time elapsing between the design of investments and the beginning of their execution is 20 months,[30] a long lead time, considering the short average tenure of governments (about one year since World War II). Thus, approved investment decisions have, at times, been overturned by new governments, delaying restructuring and compounding the effects of complex procedures. In the period 1988 to 1995, real public capital spending for *FS* fell by 42 per cent, partly reflecting the corruption scandal and the need for fiscal rigour at the government level. Railway investment in 1995 was equal to 0.2 per cent of GDP.

Sub-optimal pricing policies

Passenger fares for local traffic and medium- to long-distance train journeys are set by *CIPE*, an interministerial committee, taking into account the proposal of the Ministry of Transport. Under the current pricing system, which is scheduled to be modified in 1999, fares are largely a function of distance, ignoring the density of routes and other marketing criteria. There is no price differentiation for frequent travellers, week-end trips or families. For a long time, adjustments of passenger tariffs have reflected considerations of social policy, and, more recently, anti-inflation policies. Some elements of pricing flexibility are, however, present, fares varying with comfort (first and second class) and speed (inter-city or ETR trains). In 1996, train fares were, on average, 50 per cent lower than elsewhere in Europe.[31]

Although fares have risen sharply in relation to costs over the six years to 1996, the cost-recovery ratio (receipts from passenger fares and freight as a percentage of costs) is still much lower than in other European countries (Table 21, first panel). In contrast to investment and pricing decisions for passenger fares, *FS* has some freedom over freight fares and employment. For freight, it uses non-uniform pricing, extending quantity discounts and applying price discrimination according to the density of routes.[32] Over the years, real freight fares have fallen, mainly reflecting keener competition from the trucking industry, which benefits from various direct and indirect state aids. Thus, in 1996, *FS* carried only 11.3 per cent of the national freight volume, down from 13.2 per cent in 1980, with road freight accounting for the lion's share (66.2 per cent). More recently, freight traffic has recovered in response to better marketing.

Table 21. **Selected indicators of railway efficiency**

	1990	1996	1996/1990 Percentage change
	Fares as a percentage of costs		
Italy (FS)	18.0	25.3	40.6
United Kingdom (BR)	67.6	77.3[1]	14.3[2]
Germany (DBAG)[3]	40.5	53.0	30.8
Spain (RENFE)	34.9	41.1	17.8
France (SNCF)	48.8	48.7	–0.2
	Operating costs per unit of traffic[4]		
Italy (FS)	294.7	272.0	–7.7
United Kingdom (BR)	204.1	206.2[1]	1.0[2]
Germany (DBAG)[3]	187.0	191.6	2.5
Spain (RENFE)	160.9	191.8	19.2
France (SNCF)	133.9	192.0	43.3
	Labour costs per unit of traffic[4]		
Italy (FS)	153.0	153.0	0.0
United Kingdom (BR)	110.0	130.0[1]	18.2[2]
Germany (DBAG)[3]	116.0	111.0	–4.3
Spain (RENFE)	86.0	87.0	1.2
France (SNCF)	77.0	100.0	29.9
	Labour costs per employee[5]		
Italy (FS)	49.5	87.4	76.6
United Kingdom (BR)	39.9	53.7[1]	34.6[2]
Germany (DBAG)[3]	39.0	55.0	41.0
Spain (RENFE)	45.3	59.4	31.1
France (SNCF)	43.5	61.0	40.2

1. 1995.
2. 1995/1990.
3. The data for 1990 include the East German railway which at that time was a separate entity.
4. Operating costs per V-Km and T-Km in lira purchasing power parity.
5. In millions of lira purchasing power parity.

Source: FS, *Direzione Strategica, Analisi di benchmarking sulle principali ferrovie europee,* various issues.

Limited flexibility of employment conditions

FS appears to have some freedom over employment decisions, given the drastic reduction in the number of people employed (from 220 000 in 1990 to an estimated in 120 000 in mid-1998). But about three quarters of job cuts reflected departures under early retirement and other incentive schemes as well as normal quits into retirement. Even so, *FS* is still overstaffed, and is Europe's last railway

with two drivers per train. While labour costs per unit of rail traffic have not increased in absolute terms, the 1996 level of labour costs, whether related to units of traffic or employees, were the highest among European countries (Table 21, second and third panels).[33] This comparative cost disadvantage is still present.[34] Multi-annual wage and labour contracts are normally concluded with occupation-specific trade unions able to impose rigid work practices. Relative to private railways and industry, *FS* employees have enjoyed generous wage premia (Table 22).

Even though the first half of the 1990s saw rapid progress, in 1996 all indicators of labour productivity still pointed to significant efficiency gaps with other European railways (Table 23). These gaps were especially large for train crews and travelling staff, reflecting low load factors on low density routes, old capital equipment and rigid working schedules. In addition, the average age of trains is 25 years and much of the signalling system appears to be outdated (with a lack of computerisation). In 1997 and 1998, most of the train accidents (a total of 104 in 1997) took place in the "overheated" segments of the network.[35] The reasons most often cited include track obsolescence and human errors induced by deficiencies of the signalling system.

As a result of low passenger fares, high labour costs and low labour productivity, *FS* has suffered from large financial losses averaging close to 1.5 per cent of GDP a year in 1995-97 (excluding government transfers). Even though government transfers have been substantial, (L 20 trillion per year or more than 1 per cent of GDP, the highest railway subsidy per capita in Europe[36]), they have not been large enough for *FS* to avoid financial losses. Thus, despite rapid gains in labour productivity in the 1990s, financial losses (including government transfers) more than tripled between 1995 and 1997, rising from L 1.6 trillion to an estimated L 5.7 trillion (0.3 per cent of GDP).

Table 22. **Contractual wages and salaries per employee**

April 1996, industry = 100

	Blue-collar employee	White-collar employee	Total
Services	99	103	107
Transport	118	125	121
State railways	134	136	136
Private railways	111	108	109
Private bus	115	107	112
Aziende speciali	119	105	114
Air transport	136	164	168
Maritime transport	88	147	118

Source: CER (1997), *Rapporto No. 2,* p. 84.

Table 23. **Indicators of railway labour productivity**

	1990	1996	1996/1990 Percentage change
	Drivers (1 000 train-kilometres per employee)		
Italy (FS)	12.2	16.2	32.8
United Kingdom (BR)	26.3	28.8[1]	9.5[2]
Germany (DBAG)[3]	20.7	27.9	34.8
Spain (RENFE)	22.2	25.8	16.2
France (SNCF)	24.5	25.5	4.1
	Travelling staff (1 000 train-kilometres per employee)		
Italy (FS)	5.3	8.7	64.2
United Kingdom (BR)	12.1	12.6[1]	4.1[2]
Germany (DBAG)[3]	5.7	6.8	19.3
Spain (RENFE)	12.5	14.4	15.2
France (SNCF)	7.5	10.1	34.7
	Train crew (1 000 train-kilometres per employee)		
Italy (FS)	16.2	27.5	69.8
United Kingdom (BR)	56.0	62.4[1]	11.4[2]
Germany (DBAG)[3]	54.4	52.2	–4.0
Spain (RENFE)	80.7	77.5	–4.0
France (SNCF)	46.2	47.4	2.6
	Network maintenance staff (network kilometres per employee)		
Italy (FS)	0.5	0.8	60.0
United Kingdom (BR)	0.5	0.6[1]	20.0[2]
Germany (DBAG)[3]	0.5	0.7[4]	40.0[5]
Spain (RENFE)	1.5	2.1	40.0
France (SNCF)	1.0	1.0	0

1. 1994.
2. 1994/1990.
3. The data for 1990 include the East German railway which at that time was a separate entity.
4. 1995.
5. 1995/1990.

Source: FS, *Direzione Strategica, Analisi di benchmarking sulle principali ferrovie europee,* various issues.

Private railway companies are also subject to procedures governing the setting of passenger fares, and investment and employment policies, subject to approval of local authorities. Investment projects require approval and firing restrictions impede employment adjustments. Until 1996, there was no budget constraint, financial losses having been automatically covered by the state budget. The cost recovery ratio has been low, with large variations across regions: 3.6 per cent for the islands and 18 per cent in the north-western regions (in

Table 24. **Public sector transport expenditure**

Per cent of GDP

	1990	1991	1992	1993	1994
	Transport modes				
Railways					
State railways	0.9	0.8	0.7	1.1	0.9
Private railways	0.1	0.1	0.1	0.1	0.1
Roads					
Motorways and other roads	1.3	1.1	0.9	1.1	1.0
Police	0.2	0.2	0.2	0.2	0.2
Urban transport (Tpl)[1]	0.5	0.5	0.5	0.6	0.5
Maritime transport	0.2	0.2	0.2	0.1	0.1
Air transport[2]	0.1	0.1	0.1	0.0	0.0
Total	**3.2**	**3.0**	**2.6**	**3.2**	**2.8**
	Level of government				
State[3]					
Current expenditure	1.4	1.2	1.1	1.1	0.9
Capital expenditure	0.8	0.6	0.6	0.8	0.7
Total	**2.2**	**1.8**	**1.7**	**1.9**	**1.6**
Local authorities					
Current expenditure	0.6	0.8	0.6	1.0	0.9
Capital expenditure	0.4	0.4	0.3	0.3	0.3
Total	**1.0**	**1.2**	**0.9**	**1.3**	**1.2**

1. Including urban and inter-urban bus transport, subways, tramways and taxis.
2. Including airport flight control and contributions to public services.
3. Including central administration and agencies not providing market services.

Source: CER (1997), *Rapporto No. 2,* p. 76.

1995).[37] In all cases, it has been lower than for the *FS*. State transfers exceed 80 per cent of overall receipts. Overall, public expenditure for private railways averaged 0.1 per cent of GDP in the first half of the 1990s (Table 24). Nevertheless, relative to the length of the network, these transfers have been below those for the *FS*.

Ageing local public transport

Urban transport has also been beset by structural weaknesses, including overstaffing, industrial unrest and obsolete capital stock.[38] The resulting financial losses have been huge, implying large subsidisation. The fleet comprises a large

share of old vehicles, the average age of buses being 12 years. Public transport capacity is chronically underused, with the under-utilisation increasing over the ten years to the mid-1990s. The number of passengers transported by companies belonging to *Federtrasporti* dropped by 16 per cent in the first half of the 1990s, reflecting stronger reliance on private motor vehicles and, perhaps, consumer discontent. Bus lines have suffered increasingly from urban congestion.

Underground networks are still small (at 105 kilometres in total at the end of 1995 compared to 25 in 1966), such lines functioning in Milan, Naples, Rome and, since 1990, in Genoa. Local transport prices are set by regional and municipal councils. Fares are again low by international comparison (Table 25), accounting, along with high labour costs and fare-dodging, for low cost-recovery ratios. Reflecting job cuts, these ratios have generally improved in the first half of the 1990s. The workforce of local transport companies belonging to *Federtrasporti* fell from 101 500 in 1990 to 80 785 in 1996. Cost-recovery ratios continue to vary with the means of transport, being high for subways and low for bus lines (Table 26).

Table 25. **Urban transport fares**[1]

January 1996

Lisbon (subway)	33
Rome	**72**
Milan	**72**
Madrid	74
Barcelona	74
Hamburg	76
Paris	111
Vienna	114
London[2]	133
Munich	156
Berlin	185

1. Single ticket in lire at exchange rates of 27 January 1996 relative to the average fare of the cities under consideration.
2. First zone.

Source: CER (1997), *Rapporto,* No. 2, p. 81.

Table 26. **Cost-recovery ratios for local public transport**

	1975	1990	1995	1996
Urban and inter-urban bus lines	37	23	29	30
Tramway	20	26	32	37
Subway	37	30	46	43
Private railways	18	12	18	18

Source: Ministero dei Trasporti e della Navigazione (1998), *I trasporti in Italia.*

Until 1995 financial losses incurred by local transport companies were automatically covered by transfers from state and regional governments as well as by excise duties on petrol. Public expenditure on urban transport averaged 0.5 per cent of GDP per year in the first half of the 1990s. Investment for urban transport in the largest cities resumed in 1997.

An atomistic road haulage industry

Italy's trucking industry is highly fragmented, comprising 200 000 enterprises (with an average of 1.5 trucks per firm, which is low by international comparison). Its development partly reflects the flexibility as regards time, relative speed and capacity to adapt to changes in volumes to be delivered. The average distance of road haulage is low and reflecting enlarged facilities, combined freight transport (using trucks and railways) has risen rapidly during the 1990s, albeit from low levels. Intra-Italian deliveries, most of which are "door-to-door", are restricted by licences (*Albo degli autotrasportatori*) issued by the truckers' commission, a professional association. Economies of scale remain unexploited, although subsidies are given in the case of mergers.

Overall, the sector has been the object of significant government intervention. Trucking enterprises benefit from preferential tax treatment. The setting of prices is not free, maximum and minimum freight rates being fixed by the Ministry of Transport. The difference between maximum and minimum rates is normally 15-20 per cent. The criteria used for adjusting the administered prices are often a proxy for hidden subsidisation. Compared to foreign rates, minimum prices are high, and, in some instances, competition has driven effective freight rates below the official minimum price. A law-decree of 1993 abolished exemptions to these pricing rules, thereby reducing the role of market conditions in determining prices. For this reason, the decree was criticised by the Anti-trust Authority which issued a negative opinion. A new trucking law went into effect in early 1998 (see below).

A concentrated and partly congested air transport system

Air traffic is concentrated in a few airports,[39] the airport systems of Rome (Ciampino and Fiumicino airports) and Milan (Linate and Malpensa airports) being responsible for around 60 per cent of the overall air traffic for passengers and 70 per cent of the freight equivalent (Table 27). Only three airports (Fiumicino, Linate and Malpensa) have a traffic volume above 3 million passengers per year, normally viewed as a minimum requirement for long run profitability.[40] Roma Fiumicino is the only Italian airport ranking among the first forty major world airports. The airport companies, which belong to public sector, are placed under company-based management (*gestione totale*) and have exhibited improving

Table 27. **Traffic volumes of major Italian airports**[1]

Ranked by number of passengers

	Passengers (millions)	Percentage share	Freight (thousands of tonnes)	Percentage share
1. Roma Fiumicino	24.6	33.9	243.1	40.9
2. Milano Linate	14.3	19.7	61.2	10.3
3. Milano Malpensa	3.5	4.8	123.0	20.7
4. Napoli	3.1	4.3	3.9	0.7
5. Venezia	2.9	4.0	8.5	1.4
6. Catania	2.9	4.0	5.3	0.9
7. Palermo	2.6	3.6	4.3	0.7
8. Bologna	2.5	3.4	10.4	1.7
9. Torino	2.4	3.3	29.6	5.0
10. Cagliari	1.6	2.2	2.9	0.5
Total of above	**60.4**	**83.3**	**492.2**	**82.8**
Other airports	12.1	16.7	102.5	17.2
National total	**72.5**	**100.0**	**594.7**	**100.0**

1. In 1997.

Source: Ministero dei trasporti e della navigazione (1998), *Civilavia Statistica* and *Conto nazionale dei trasporti.*

cost-recovery ratios during the 1990s. Even so, the labour productivity gap *vis-à-vis* the major European airports has remained large.

Three airports, Malpensa, Linate (Milan) and Fiumicino (Rome) are classified as "officially congested". Under an original government decree, the totality of Milan's international traffic would have been shifted from Linate (5 kilometres away from the centre of Milan) to Malpensa (50 kilometres away) in October 1998, while restricting the use of Linate to the Milan-Rome traffic. In this situation, most of the Milan-Rome flights would have been provided by Alitalia, which dominates the domestic market and which has the greater part of its own passenger volume concentrated in Rome.[41] Foreign airline companies would no longer have been able to use both airports in Milan. Since commuting links between Malpensa and Milan will not be completed before 2001, the original government decree would have increased the attractiveness of Rome as a hub for intercontinental flights and has therefore been opposed by the EU Commission. In early October 1998, the Government issued a new decree, providing for a gradual transfer of the international traffic from Linate to Malpensa. The provision of gradual transfer is restricted to EU air companies, thus discriminating against competition outside the EU.

While competition on domestic routes has increased, the number of rivals rising from 2 in 1990 to 10 in 1997, Alitalia's position has remained dominant. In 1997 Alitalia accounted for 83 per cent of total departures within Italy executed by

Italian companies. Moreover, new entrants have experienced difficulties in obtaining traffic rights, Alitalia controlling about 70 per cent of the slots available in Rome Fiumicino and more than 50 per cent of those in Linate, a privilege with no equal elsewhere in Europe.[42] The Anti-trust Authority has therefore issued rulings against Alitalia for abuse of its dominant position as a co-ordinator of slot allocation for domestic flights[43] and for enjoying a monopoly position over domestic flights between Milan-Linate and Rome. The Authority has also opposed some activities of the Roman airport company (baggage-handling and catering services), which has a concession until 2045.[44] Mainly because of state-financed investments, airport charges at Rome airport have been 30 per cent below the European average. New rules call for co-financing until 2000 when the airport company will begin to finance all investments with its own funds. As a prelude to this, the Roman company was partially privatised in 1997 with the sale of 45 per cent of the capital. The Alitalia group has suffered from chronic financial losses from 1987 to 1997. Financial weakness stemmed from under-capitalisation, overstaffing, pay premia (Table 22) and industrial strife. Efficiency gaps have been evident in relatively low, albeit rising, ratios of traffic unit-kilometres per employee and below-average capacity utilisation (Table 28). In-depth restructuring had restored profitability by the closing months of 1997. Alitalia has also entered into a partnership agreement with KLM, Europe's seventh largest air carrier (1997), a strategic initiative designed to help the company diversify its international transport routes.

Table 28. **Air transport indicators**[1]

	Passenger traffic (millions)	Capacity utilisation[2]
Lufthansa	35.3	72.5
British Airways	34.2	72.1
Air France	32.7	75.0
Alitalia	**24.6**	**71.7**
SAS	20.6	64.9
Iberia	15.4	73.2
KLM	14.4	78.6
Swissair	10.7	70.6
Total Europe	**245.2**	**71.9**

1. In 1997.
2. Ratio of actual passenger-kilometres to potential passenger-kilometres.

Source: Ministero dei Trasporti e della Navigazione *(1998), Conto nazionale dei trasporti.*

An under-exploited maritime transport sector

In 1996 Italy was host to six among the thirty major EU ports ranked by volume of freight traffic. Measured according to the volume of container traffic Italy's performance was strong, the northern cities of La Spezia and Genoa being the two largest Mediterranean ports. An important feature of the 1990s was the expansion of transhipment, *i.e.* the activity of removing containers from large cargoes into ships of smaller size (feeders) before being carried to the final destination. Since 1996 a major contribution to these developments was provided by Gioia Tauro, a new southern port. Nevertheless, given Italy's large coastline, the potential for expanding the maritime transport sector is large.

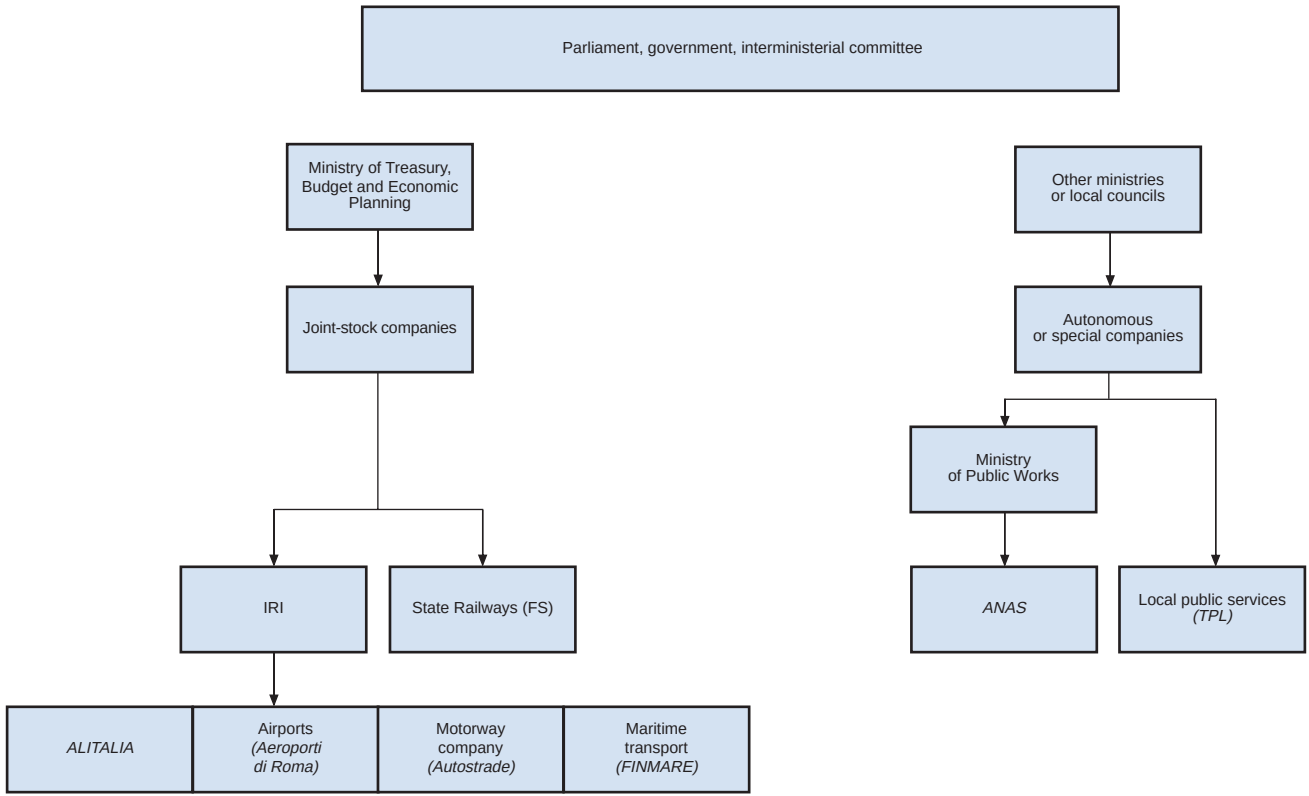
The state presence is also important in maritime transport, with *Finmare*, a joint stock company and subholding of IRI (Figure 24), originally controlling nine maritime companies, each having the status of a joint stock company. Two liner and bulk companies have been privatised recently. Investment plans as well as pricing policies of the other seven enterprises require government approval. Reflecting the low pay of blue-collar workers, average contractual wages and salaries in maritime transport have been lower than those for the transport sector as a whole (Table 22). At the same time, the pay of white-collar employees has been the highest after air transport, making maritime transport the sector with the steepest pay differentiation within the transport sector. Unlike other transport subsectors, labour relations have rarely been burdened by industrial unrest. IRI plans to privatise all companies owned by *Finmare* (see below).

Until the mid-1990s port facilities were run by the port authorities – of which there were twelve in Italy – with power over the appointment of the companies in charge of port services (*compagnie portuali*). Fees were the highest in Europe, while ports were beset by overstaffing. Both work and recruitment practices were under strong influence from the dockers (layoffs were almost impossible). Given such a rigid framework, Italian ports lost market share over the ten years from 1985, while also restraining the expansion of combined transport (using ships and trucks). The situation has changed with the introduction of greater competition. Early retirement schemes have lowered the harbour workforce since 1994, port fees have fallen as a consequence,[45] and the competitive position of Italian ports has started to improve.

An intensive road network

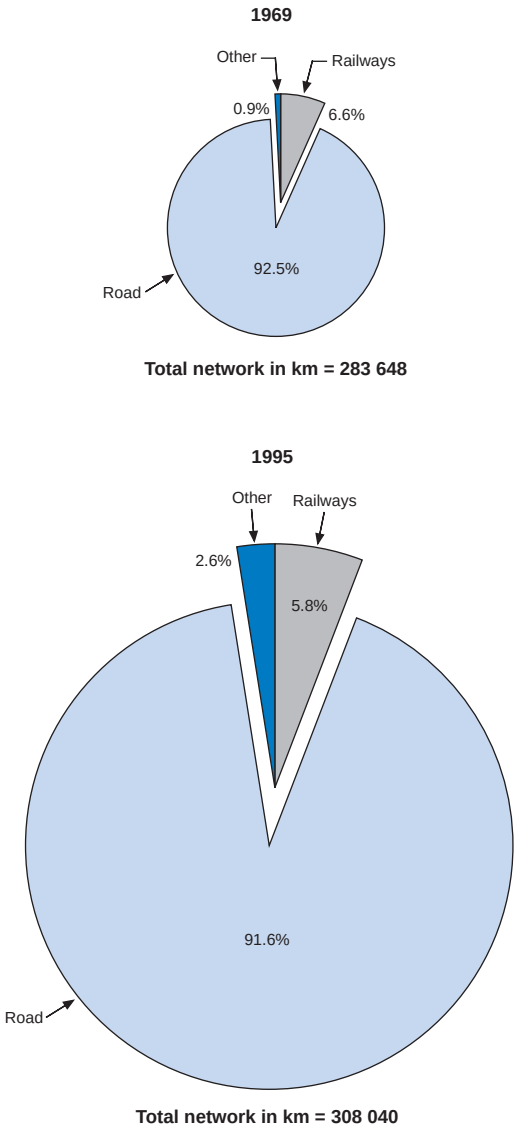
Road and motorways dominate Italy's transport network. Already at the end of the 1960s roads and motorways accounted for 92 per cent of the total network (Figure 25). Italy has the largest overall road network in Europe after France and the third largest motorway network after Germany and France. Relating the road network to population and to the surface of the country, on both counts Italy is shown to be a country with a road endowment exceeding the

Figure 24. **Ownership linkages in transport, 1997**



Source: OECD.

Figure 25. **The transport network: comparison between 1969 and 1995**



Source: Ministero dei Trasporti e della Navigazione (1997), *I trasporti in Italia*; ECMT (1998), *Statistical Trends in Transport*.

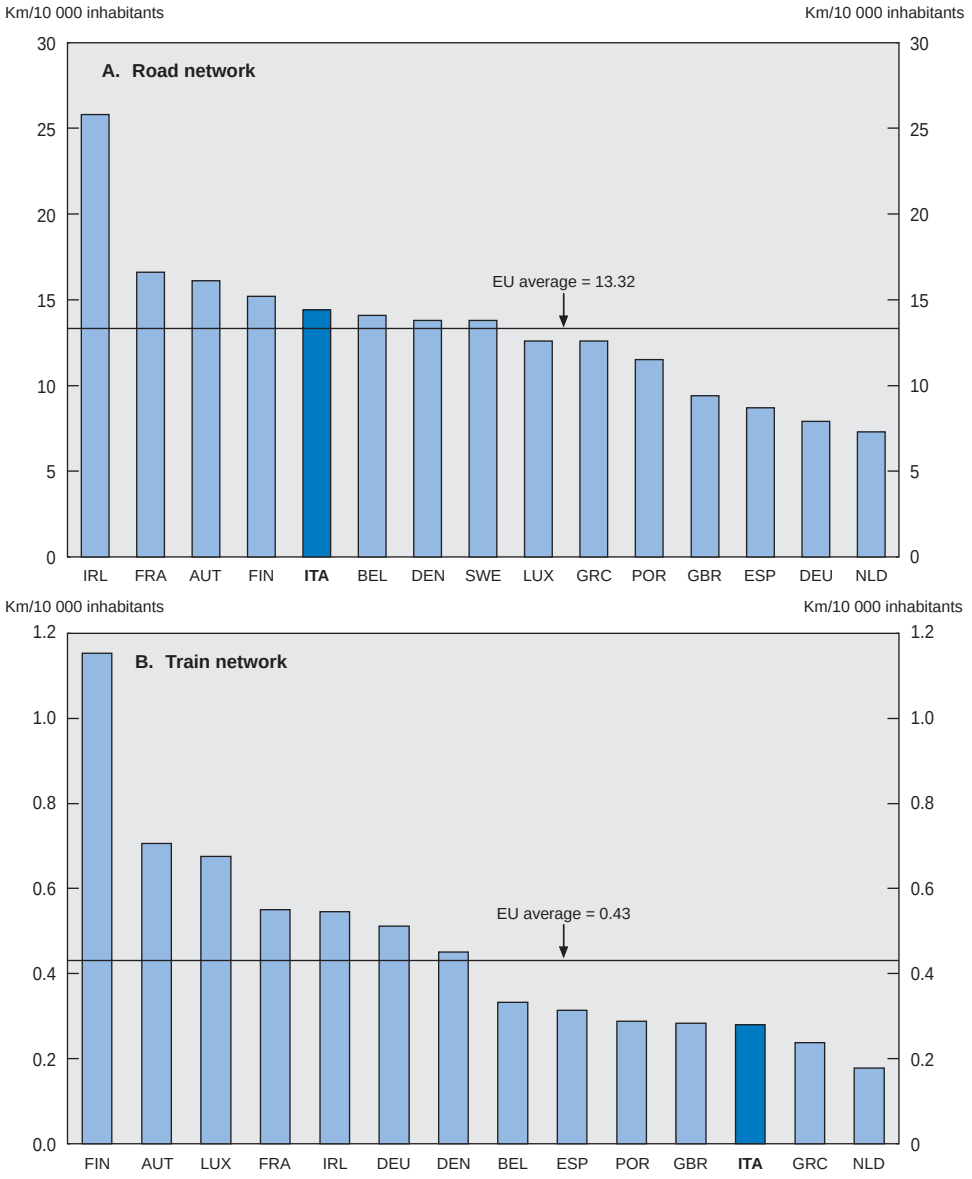
European average (Figures 26 and 27). Germany, a country with broadly the same population density as Italy, has a less intensive road network than Italy. Within the road network, Italy has the largest share of motorways in the OECD (at 2 per cent). Of the overall motorway network of 6 440 kilometres, 5 380 kilometres are toll motorways.[46] Most of the toll-free motorways are located in the south.

The predominance of the road network has been associated with geographical and structural factors. Distances between urban agglomerations with more than 100 000 inhabitants are significantly smaller than in other large European countries. Among the structural factors have been the atomistic production structure and its concentration in industrial districts, which have required an intensive network of transportation, which only roads can provide.[47] However, political factors have also been at work. The combined interests of small firms, small-sized transport units and the strength of the domestic car industry seem to have formed an important constituency for creating a highly intensive road network.[48] At the same time, the quality and quantity of services provided by the railways and maritime transport have suffered from strong trade union power,[49] reinforcing the relative superiority of the road network. Taken together, all these different factors have been so powerful as to dominate the effects which high taxes on car purchases and petrol normally have on road transport demand. Italy's car ownership per person is among the highest in the OECD.

The toll motorways are run by twenty-five concessionaries, of which *Autostrade SpA*, a subholding of IRI (Figure 24) is by far the largest controlling nearly 3 000 kilometres. All the remaining concessionaires are private companies endowed with capital participation from regions and municipalities. They have direct access to capital markets and are profitable. Until 1998, when competitive bidding was introduced, the concessionaires provided for ancillary services (restaurants and recovery services), impeding access of new service companies and making for some cross-subsidisation. Toll rates are regulated by law and have traditionally been largely based upon distance and geographical conditions (mountains or flat territory), rather than allowing price differentiation to attract customers during hours of low traffic intensity. The dispersion of toll rates narrowed in the first half of the 1990s, facilitating the design of a standard contract for concessionaires. From 1996, a price-cap formula began to be phased in under new concession agreements. Under the formula, changes in toll rates are set to equal the official target rate of consumer-price inflation, reduced by expected productivity gains at the firm level, but augmented by the improvement of the quality of service at the firm level. The level of toll rates is no longer a fixed price, but subject to a ceiling: concessionaires are free to apply lower fees so as to attract more customers.

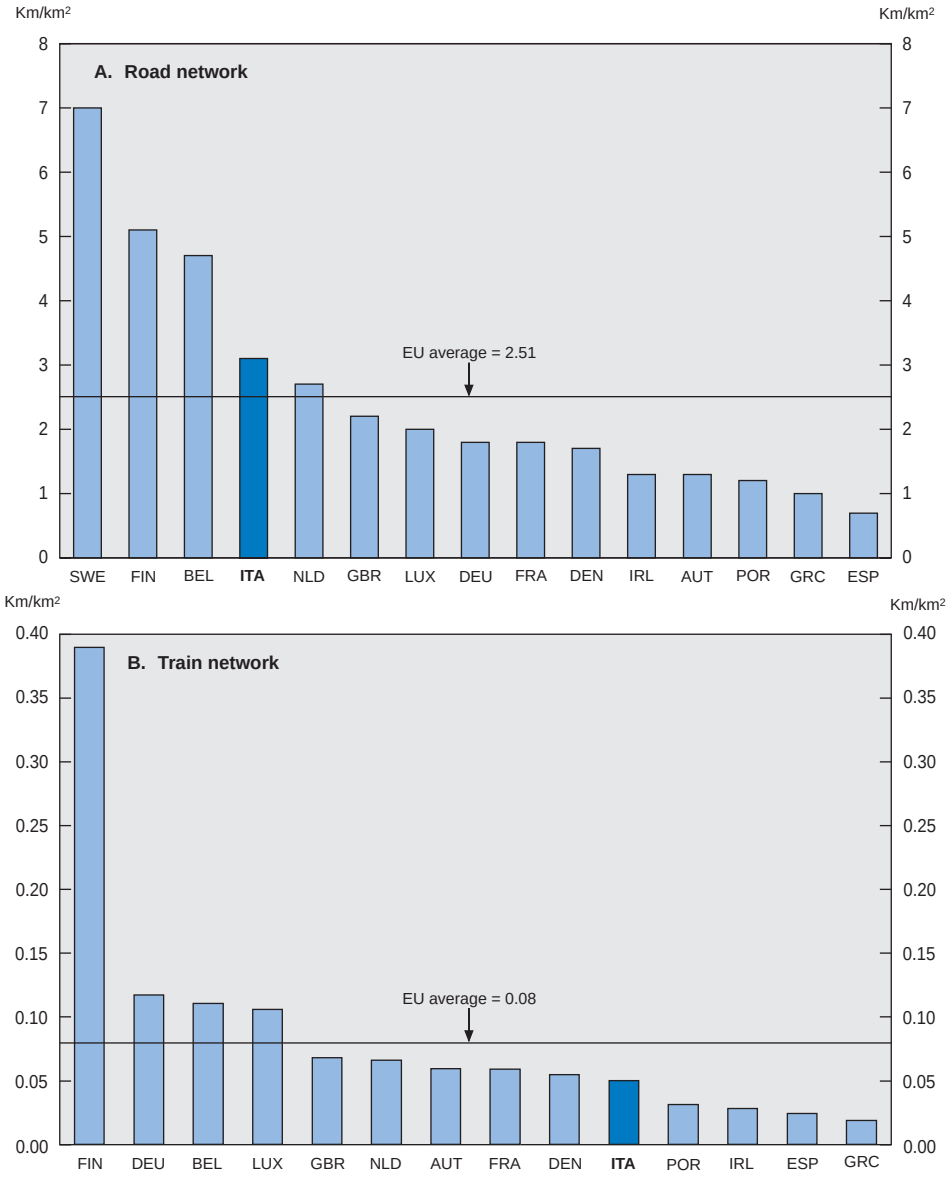
Overall, public expenditure for motorways and other roads averaged 1.1 per cent of GDP per year in 1990-1994 (Table 24). The system has produced a

Figure 26. **International network intensity**
1995



Source: Ministero dei Trasporti e della Navigazione (1997), *Conto nazionale dei trasporti*; ECMT (1998), *Statistical Trends in Transport.*

Figure 27. **International network density**
1995



Source: Ministero dei Trasporti e della Navigazione (1997), *Conto nazionale dei trasporti*; ECMT (1998), *Statistical Trends in Transport.*

network where the average quality of national roads is good, but the northern regions suffer from a lack of road capacity and this shortage has been increasing in recent years. The southern regions suffer from a lack of road maintenance. Over the past few years, the pace of road expansion slowed, as fiscal discipline demanded cuts in primary spending and many public works projects were delayed by the need to revise work procedures – a consequence of the corruption scandal. Environmental considerations and complex administrative procedures also played a part.

Overall impact of sectoral trends

The modal split has become more uneven

With the passage of time, the modal split has strongly changed in favour of road transport, the share of domestic freight carried by trucks in total domestic freight traffic surging to 73 per cent in 1995 from 52 per cent in 1970. This was by far the most important shift in the structure of transport demand. For domestic passenger traffic, the corresponding share for cars increased to 74 per cent from 69 per cent. As a result, the overall share of road transport in the total transport volume is now among the highest in the OECD. The advance in road traffic was mirrored in market share losses for railways, coastal shipping and urban public transportation (Tables 29 and 30). Facilities for combined freight transport are still limited. In 1997, there were 7 interports in Italy, one-third of the target specified by the general transportation plan of 1986 and its subsequent revisions. All

Table 29. **Domestic passenger traffic**

Percentage of total

	Cars	Bus	Motorcycles	Urban	Railways[1]	Air	Ships
1970	68.9	7.1	7.3	4.5	11.4	0.5	0.3
1975	70.5	7.0	6.8	4.8	10.0	0.6	0.3
1980	70.2	9.1	5.8	4.5	9.4	0.6	0.4
1985	70.8	9.9	6.6	3.8	7.7	0.8	0.4
1990	71.7	9.9	8.3	2.2	6.7	0.9	0.3
1991	72.3	9.9	7.7	2.3	6.6	0.8	0.4
1992	74.3	9.2	6.7	2.1	6.4	0.9	0.3
1993	74.3	8.9	7.2	2.0	6.3	0.9	0.3
1994	73.7	9.3	7.3	2.0	6.5	0.9	0.3
1995	74.2	9.1	7.3	1.9	6.3	0.9	0.3

1. Including railways under concession.

Source: Ministero dei Trasporti e della Navigazione (1997), *Conto nazionale dei trasporti.*

Table 30. **Domestic freight traffic**

Percentage of total

	Trucks	Cabotage	Railways	Oil pipelines	Maritime	Air
1970	51.8	23.1	16.8	8.0	0.3	0.0
1975	53.6	22.9	13.5	9.8	0.2	0.0
1980	65.8	17.1	10.5	6.5	0.1	0.0
1985	71.2	14.9	9.3	4.5	0.1	0.0
1990	72.0	14.4	8.9	4.7	0.1	0.0
1991	71.9	14.6	8.8	4.6	0.0	0.0
1992	72.7	13.7	8.8	4.8	0.0	0.0
1993	72.8	13.8	8.4	5.0	0.0	0.0
1994	72.6	13.5	9.1	4.9	0.0	0.0
1995	72.8	13.2	9.2	4.7	0.1	0.0

Source: Ministero dei Trasporti e della Navigazione (1997), *Conto nazionale dei trasporti.*

operational interports are located in the north. Of the twenty-five under construction, expected to become operational by 1999, only six are located in the south.

Congestion and environmental costs are rising

Traffic congestion is endemic to large urban areas, located mainly in the north where traffic and car ownership is concentrated.[50] In the mid-1990s, car ownership, at 1.9 inhabitants per car, was the highest in Europe and second only to that of the USA. In recent years, traffic congestion has spread to suburban areas, reflecting the shift of population from city centres to suburbs and the accompanying increase in commuter transport flows. Overall, the direct and indirect annual costs of congestion have risen to an estimated 0.8 per cent of GDP in the mid 1990s.[51]

The greater use of the road infrastructure has also put pressure on the environment,[52] transport emissions being a major air pollutant. At the national level, the effect of transport emissions is estimated to account for 50 per cent of total nitrogen oxides emissions (NO_x), 47 per cent of volatile organic compounds (VOC) emissions, 79 per cent of carbon monoxide (CO) and 27 per cent of carbon dioxide (CO_2). While road transports is responsible for the greatest proportion of these emissions, a considerable share of NO_x emission stems from heavy freight vehicles. Lead emissions have been on a declining trend since 1989, when legislation imposing lower lead content of gasoline came into force. Another environmental aspect of particular importance for Italy is the consumption of land by transport infrastructure. Facilities usually expand in plains areas or along valleys

where they interfere with other activities or impacts on the landscape leading to negative reactions from the public.

Health and safety issues have also become more important. Recent surveys show high noise levels with no difference between major and smaller urban areas.[53] Italy is one of the few European countries with a rising number of non-fatal road accidents during the 1990s. While most transport accidents occur in urban areas (around three-quarters of the total, of which 90 per cent involve passenger cars), the majority of fatal accidents happen on extra-urban roads and highways (58 per cent). This suggests that congestion and high speed are major factors explaining road accidents. The cost of car accidents is high, totalling L 44 trillion or 2.2 per cent of GDP.[54] In addition, the transport of hazardous substances by road and sea poses a problem. In some crime-ridden regions of the south, illegal shipments of toxic substances appear to have risen, a development which defies control given the length of the coastline.

Correcting the deficiencies

In its efforts to improve the efficiency of the transport system and to reduce its negative externalities, the government has been pursuing a three-pronged strategy, based upon liberalisation, privatisation and decentralisation (regionalisation or fiscal federalism). The traditional theory of regulation justifies government intervention on the basis of the need to correct for market failure, the fact that the transport sector is characterised by natural monopolies being seen as requiring government intervention to prevent resource misallocation. However, experience has shown that in practice legal and regulatory intervention may amplify, or even create, inefficiencies when market discipline is absent. Administered prices may push the private costs of transport below the social cost, encouraging over-use, under-investment and congestion. Perhaps most importantly, entry restraints mean that potential efficiency gains from competition may be lost where a contestable market exists for services attached to the network (basic and ancillary) or where technical progress has increased the possibilities of inter-modal competition. Reforms increasingly emphasise the need to distinguish networks, where monopoly power requires continued regulation, from the services provided through them, where competition can be enhanced.

Liberalisation

Deregulation of the transport sector in Italy started in the early 1990s, since which period pressure to expose Italy's transport sector to greater competition has arisen from two main sources, EU directives and interventions of the Antitrust Authority. The single market, and now the establishment of the EMU,

have given added impetus to the liberalisation of European transport and the application of competition rules. The most important EU directives have set out a range of policies that could promote competition, particularly in the area of airlines, railways and trucking (see below for details). While acknowledging the role of the government in establishing the ground rules, the key elements of the EU approach have been:

- the liberalisation of the transport services, accelerating the introduction of competition policy rules in international transport;
- privatisation and the lowering of existing barriers to foreign ownership;
- diminished recourse to public financial support;
- the more efficient use of transport infrastructure.

The intervention of the Italian Antitrust Authority in the transport sector has mainly been concentrated on assessing and evaluating the conduct of the companies responsible for running the infrastructures and/or for providing the services. With transportation companies having a widespread presence in vertically- and horizontally-related markets, the investigating activity of the Authority has concentrated on the identification of various attempts to monopolise, as well as on cases of vertical restraints and discriminatory behaviour (see below for details). Other competition concerns have arisen from the relationships between transport companies and their suppliers. The Anti-trust Authority's power with regard to transport policy has usually taken the form of proceedings against irregular company actions and opinions directly submitted to Parliament or to the government.

Air transport

Until 1997, reform measures mainly focused on air, maritime and road transport, the de-restriction of railway and urban transport services lagging behind. In air transport, highlights of liberalisation have been the EU-imposed freedom of setting air fares (July 1997) and the opening of internal routes to domestic and foreign companies competing with Alitalia (1994). A number of decisions have also been taken by the Anti-trust authority since 1993 aimed at dismantling restrictive practices at the airports in Rome and Milan. As a result, competition in baggage handling and other ancillary airport-related services such as catering have improved, as has the allocation of slots for domestic flights at the Roman airports. Liberalisation of air transport will continue with the issuing of new efficiency-oriented regulations in 1998, allowing airports to opt for the system of company-based management *(gestione totale*). A new regulatory authority for air transport *(Enac)* will begin operations in 1999.

Maritime transport

In maritime transport, EU directives and rulings by the Anti-trust authority have also been instrumental in introducing greater competition. In 1995, following

rulings by the EU Court of Justice and Italy's Anti-trust Authority, a reform of the ports' statute was implemented, intended to end the triple role of harbour authorities in setting fees, issuing permits and owning companies which render services.[55] The reform established the separation between port authorities and *compagnie portuali*, which were turned into competing private companies operating under concession. Under the reform, the responsibilities of the port authorities are restricted to supervision and co-ordination, whereas the concessionaires are responsible, *inter alia* for infrastructure developments, fee determination and terminal assistance. Another relevant aspect of the reform was the introduction of self-handling rights, whereby a maritime company can be authorised to execute a large number of terminal operations using its own manpower. By early 1997 all port authorities had announced procedures to divest themselves of their port activities. Major steps in this direction include the removal of barriers to entry for companies providing harbour services (*e.g.* tug-boat services). Law 84/1994 obliged all Italian ports to privatise any service companies owned by them. Other facets of the liberalisation process have included the introduction of an international register, the harmonisation of fiscal provisions and employment conditions for sea-bound personnel and the freedom for EU members (from 1998) to transport Italian goods in Italy's territorial waters. In January 1999 restrictions on cabotage between the mainland and islands will be lifted in the EU.

Road transport

In road transport, liberalisation has largely taken the form of more flexible pricing and a shift from concession to licensing for motorway companies, including competitive bidding among service firms which seek to provide ancillary services on motorways, *e.g.* restaurants and pick-up services. ANAS, the state road agency, has begun to use a standard contract for all 25 motorway companies in 1998. For motorway tolls, a price-cap formula has been introduced in concession agreements from 1996 (see above), making adjustments a function of consumer-price inflation, company-specific productivity gains and changes in the quality of service. The level of toll rates is no longer fixed, but represents a ceiling, allowing price differentiation to attract customers during hours of low traffic intensity.

Railways

Major liberalisation measures have begun to be implemented for the railways, the trucking industry and local and urban transportation. In March 1998, the government finalised a reorganisation plan for the railways, dividing the state railway company into four separate businesses. Of these, two are to be privatised (freight and medium- and long distance inter-city travel), allowing private (domestic and foreign) companies to use the rail network. In line with EU directives, access to the network would be based upon licences rather than concessions. The other two divisions (infrastructure and local transport) will be run by

the government, the state being responsible for the railway infrastructure and the regions for local transportation (see below). In July 1998, the infrastructure or network division (*divisione della rete*) was established, retaining 40 per cent of the *FS* workforce (41 600). The other three divisions will become operational in January 1999.[56] The planned reorganisation of the railways is based upon the government initiative of January 1997, which goes beyond the EU directive which only calls for separate accounting operations for track, passenger and local services.[57] In the summer of 1998, the government examined proposals for a new fare structure based upon demand and quality criteria.

Trucking

As regards trucking, in March 1998 Parliament approved two laws aimed at completing the liberalisation of the trucking industry by January 2001. The first law simplifies the issuing of licences which are to be assigned at the level of the company and no longer according to truck-ownership. In this way, the law seeks to encourage mergers, a rise in the average company size being needed to meet the competitive challenges posed by the opening to European-wide competition from July 1998. The second law ensures that the criteria establishing access to the profession are harmonised with EU norms. However, in order to compensate for a mandatory payment imposed by the European Court of Justice, to be made by truckers, the government reduced the excise tax on diesel for truckers. In 1992 truckers had enjoyed an *una tantum* fiscal privilege in the form of tax credits which was declared illegal by the European Court of Justice.

Privatisation

Privatisation initially concentrated on ports (from 1994) and, more recently, on some of the transport segments where IRI, the state holding company, still holds major stakes. As noted, IRI has sold just under a half of the Rome airport company under public offer procedures. In mid-1998, Alitalia employees and private investors acquired 25 per cent of Alitalia, reducing IRI's share from 85 per cent to 60 per cent. Partial privatisation took place after intensive restructuring, a subsequent return to profitability in late 1997 and a partnership agreement with the KLM Royal Dutch Airlines, a privatised company. Under the agreement, KLM and Alitalia intend to integrate flight networks, redistributing routes to take advantage of a multi-hub system encompassing Amsterdam, Rome and the new airport in Milan (Malpensa). Alitalia will also join KLM's strategic partnership with Northwest, providing for better connections to US destinations from Italy. Adopting a step-wise approach, IRI plans to fully privatise *Aeroporti di Roma* by 1998, Alitalia by 1999 and the remaining companies owned by *Finmare* by 2000. Partial privatisation of *Autostrade SpA* also got under way in 1998, with IRI planning to sell its stake completely before the end of 1999.

Greater regional and local autonomy

In urban and local transportation, the programme of liberalisation is linked to the transfer of both tax autonomy and spending responsibilities from the level of the state to that of regions (see section on fiscal federalism). Under the Bassanini law of March 1997, local transport will be gradually regionalised over the two years to 2000, giving regions full financial responsibility by 1 January 2000 (Decree 422/97).[58] Competition in local transportation will be introduced by replacing concessions by licences, by extending a new public service contract[59] and by privatising all public companies (members of *Federtrasporti*) before the end of 1999. However, regions will remain the owners of the infrastructure (hangars and stations). The Bassanini law also requires regions to adopt regional laws (*leggi regionali attuative*) by June 1998, defining the role of provinces and municipalities (other levels of local government) in local transportation. Regions will also establish their own regulatory authority, and they will have responsibility for the environment.

Under the decentralisation process, which requires constitutional changes, regions would be in charge of the whole range of local transportation services, including local railways. Each region would choose its own preferred split between road and railway transport, covering the full cost of costly local railway links. To this end, each region would enter into a contract with the state (the owner of local railway tracks) and set targets for regional transportation up to 2001. From 2000, receipts from local transportation will have to cover no less than 35 per cent of cost (net of infrastructure cost and depreciation), the projected rise in recovery ratios reflecting gradual increases in fares and productivity gains.

The devolution of transport responsibilities will be accompanied by efforts to improve the coordination of transport policies within the central government. To this end, the competencies of three ministries (transport, public works and environment) will be unified (*Bassanini* 1).

Improving transport linkages

In line with the national transport plan of 1984-86, the network during the 1990s has seen some rebalancing with the creation of new port facilities in the south (Gioia Tauro, Naples and Salerno), expanded links between ports and land corridors, *interporti* for combined rail and road freight transport and a new airport outside Milan. Equipment has also been introduced to ensure high-speed cabotage and to use high-speed trains for freight. Together, these supply adjustments amount to some rebalancing of the overall transportation network. Further important investment in the transport system will be made under the new three year stabilisation plan (*DPEF*) of April 1998, which favours railways and the upgrading of southern motorways.

Consolidating the reform process

Stimulating intermodal competition

Overall, progress made in introducing greater competition has been uneven across transport modes and hence rather modest. Until 1997, liberalisation moves were mainly concentrated in maritime and air transport and, to a smaller extent, in motorway transport (flexible pricing policies). In these areas, liberalisation has triggered price declines and cost reductions, improving the financial positions of enterprises. The scale of privatisations, mostly concentrated in ports and airport-related services, has also been small. The reform process has now gained greater momentum, several legislative initiatives being aimed at liberalising the railways and transferring responsibilities for local transport systems from the state to regions. The new proposals also include gradual adjustments of underpriced fares for urban transport and regional railway services as well as the introduction of greater competition into the trucking industry. Privatisation is either to begin (railways and urban transport) or to gather speed (motorways, maritime and air transport). Taken together, the above initiatives represent a broadly-based approach towards rebalancing the transport system.

Among the proposed reform measures, the liberalisation of railways is the most important. Going beyond EU directives, the recent government initiative combines partial privatisation with an upgrading of tracks, rolling stock and signalling systems, involving substantial investment, spread out over several years. More facilities for combined rail- and road freight transport and high-speed trains will also be created. Overall, the liberalisation of railways, by stimulating intermodal competition, is the key to lowering effective transport costs, reducing road congestion and minimising environmental damage.

Gaps in the reform programme

By not offering the full range of opportunities for stimulating competition, the reform programme is incomplete. In urban transportation, the transition period for introducing competitive forces is five years, giving incumbents undue advantages.[60] For the state railways, reductions in the workforce may continue to depend partly on early retirement schemes, increasing pension payments. In the domain of trucking, new legislation (1998) creates scope for greater competition only from 2001, three years after EU-wide liberalisation. The law also maintains maximum and minimum pricing and contains a backward step from environmentally-conscious taxation in the form of diesel tax privileges for truckers. For motorways, privatisation, planned by IRI, grants too long a franchise period (20 years). This could reduce the number of applicants, preventing the emergence of competition.

A major issue is the sequencing of railway restructuring. Priority should be given to maintenance and replacement investments. The quality of train services should be swiftly improved by upgrading tracks, rolling stock and signalling systems. Similarly, consumer and producer convenience should be enhanced by strengthening the links between railways, harbours, motorways, and airports (*corridoi intermodali*).[61] The improvement of train and other transport services, thus induced, is certain to generate market signals, making it easier to assess proposals for expanding or reducing the railway network. Such investment projects are typically costly and subject to long lead times. Apart from avoiding over-investment, correct sequencing could also help balance environmental concerns[62] and reduce the danger of illegal practices. On the other hand, under the concomitant process of regionalisation, railway links which are currently unprofitable might be prematurely scrapped. These links could become profitable with the modernisation of railways and the internalisation of environmental costs in road pricing.[63] In the domain of air traffic, the transfer of activities from Linate to the new Malpensa facility in Milan from October 1998 also represents a reason for concern. The planned reduction of the volume of traffic at Linate prior to the completion of the road and train links between Milan and Malpensa is bound to add to the strain on the north-west road axis, which is already one of the most congested in the country.

Designing an integrated transport system

The new reform programme also suffers from grey areas and possible contradictions. The grey areas include the criteria used for setting train passenger fares (where higher tariffs would be instrumental in improving the quality of the service),[64] the determination of access fees for using the state-owned railway tracks (an area still uncovered by EU directives); the remaining scale of government presence in urban and local transportation (ownership rights of rolling stock and buses); the scope and extent of co-financing transport investment with private capital; and the nature of privatisation procedures for local transport companies (competitive bidding as against direct allocation of licences). Competitive bidding and extensive privatisation of buses and trains should be used to strengthen competition (Box 4). Aside from grey areas, there is a possible conflict between decentralising government powers and being able to meet nation-wide targets for the environment set in Kyoto. While regionalisation may be desirable from the point of view of local efficiency, it may not be consistent with the achievement of national environmental objectives. To avoid this conflict regions should be required to regularly submit reports to the central and lower level of government data on the state of their environment. Such information is increasingly needed for the purpose of effectively using the price mechanism (road pricing, city-entry fees, carbon taxes, etc.) in the fight against congestion and pollution.[65] The 1999 budget proposal, introducing a tax on harmful energy

Box 4. Recommendations for reforming the Italian transport system

Based on the analysis presented in the Chapter, policy initiatives are needed to remove gross inefficiencies in some segments of the transport system. Restructuring requires initiatives to stimulate competition further and to broaden the scope of privatisation. The sequencing of investment should be consistent with an integrated transport strategy, based upon a co-ordinated policy approach.

Strengthen competition in labour and service markets

Strengthen competition in railways, trucking, motorways, local transportation, and air transport. In the railway domain, labour privileges in terms of pay, work efforts and access to early retirement schemes should be abolished. In trucking, the system of maximum and minimum prices and the tax privilege for diesel should be removed and the transition period to full liberalisation shortened. In local transportation, the transition period for liberalisation should be cut while also establishing clear rules, defining maximum ownership rights for private entrants or incumbents. In air transportation, the allocation of slots should be made more equal, possibly based on competitive bidding.

Modify pricing policies. Make pricing policies more flexible to reflect demand conditions. Upward revisions of railway and local transport fares, which are low by international comparison, should be made contingent upon quality improvements.

Allow private capital to co-finance investment for projects under state ownership. Given misguided investment in the past, infrastructure investment should be co-financed with private or public capital from both national and international sources to enhance the efficiency of investment planning and execution.

Go for a rational sequencing of investment

Catch up with urgent maintenance requirements for railways, including the upgrading of tracks and signalling systems, especially on high-density routes. Given the sharp decline in real railway investment, investment should initially focus on enhancing the quality of the existing capital stock (tracks, rolling stock and signalling systems).

Evaluate large capacity-expanding investment in transport networks in the light of expected results of increased competition, decentralisation and more market-based policies. Projects providing large additions to the networks are costly and subject to long lead times, especially for railways. To avoid over-investment, corruption and environmental damage, such plans should be scrutinised thoroughly, making use of information flowing from earlier maintenance investment, improved modal links and effective pricing.

Establish and strengthen links between ports, railways, roads and airports to favour intermodal transport. Opportunities for system-wide efficiency gains should be exploited by establishing or improving links between terminals of various transportation modes. Road congestion would fall as a consequence.

Improve the co-ordination of transport policies

Make it a requirement for regions to supply data on the state of their environment. Given rising environmental challenges and new international commitments (Kyoto agreement), the

(continued on next page)

(continued)

design of an integrated national transport strategy demands regular information about the state of the regional environment.

Allocate a stronger role to environmental analysis. Information assembled and evaluated by the environment ministry could enhance the effectiveness of economic instruments for pollution abatement.

emissions (carbon tax), is a welcome step in the direction of internalising costs. At the local level, greater attention should be devoted to urban road pricing, parking fees and more flexible signalling traffic systems as a means of curbing car congestion and pollution.

Making the transport system more efficient also requires a better co-ordination within the government. Until recently, responsibilities have been dispersed across four ministries within the central government, the Treasury being directly responsible for *FS*, the state railways, and indirectly, through IRI, for maritime transport, toll motorways, the Roman airports and Alitalia. The Ministry of public works has been responsible for state roads, while the responsibility for overall planning and regulations has resided with the Ministry of Transport. The fourth ministry (Environment) was created in 1987, one year after the presentation of the last national transport plan. Although the Ministry of the Environment plays a stronger role in transport policies, its position is not yet commensurate with the dimension of environmental challenges. While the benefits of a truly integrated transport system are potentially large,[66] some observers believe that these may not be forthcoming unless a transport regulatory authority is established.

IV. Implementing structural reform: a review of progress

Introduction

The previous *OECD Economic Survey of Italy* noted that, given the high structural unemployment, the pace of structural reform needed to be stepped up, notably in the domain of privatisation, the restructuring of public enterprises and public administration. Since then, an impressive range of legislation and initiatives has been introduced covering product and factor markets, as well as the institutional framework. Both the tax reform and the move towards fiscal federalism, coupled with attempts to reduce the overall size of general government, should improve supply-side conditions. Labour markets, however, have so far failed to reflect the full benefits of structural reform, which normally take time to surface. The unemployment rate, after rising for four years into the economic expansion, eased to 11.9 per cent in July 1998 down from the record high of 12.5 per cent in April 1998 (Table 31), although slightly up from a year earlier. The improvement during 1998 concealed divergent regional trends, labour-market conditions tightening in the north and weakening further in the south. As a consequence, the gap between the northern and the southern unemployment rates widened to around 16 percentage points in the second quarter of 1998. In contrast, all regions shared in the decline in youth unemployment.

Increased north-south dichotomy

Although OECD projections show falling unemployment in 1999 and 2000, there is as yet no evidence of Italy's rate of structural unemployment having begun to decrease. On the contrary, recent OECD calculations, published in *Economic Outlook 64*,[67] point to a deterioration of structural labour market conditions during the 1990s, the estimated structural rate having increased to 11 per cent in 1998 from 9.7 per cent in 1990 (Table 31). This finding is consistent with continued increases in long-duration unemployment from 1994. It is also compatible with the evidence of a changed relationship between unemployment and

Table 31. **Labour market indicators**

	1990	1993	1994	1995	1996	1997	1998[1]
Employment population ratio[2]							
Total	53.9 |	51.8	50.9	50.5	50.6	50.5	..
Men	72.0 |	68.1	66.5	65.7	65.3	65.0	..
Women	36.4 |	36.0	35.6	35.6	36.1	36.2	..
Participation rate							
Total	59.8 |	57.9	57.5	57.3	57.7	57.7	..
Men	77.0 |	74.0	73.1	72.4	72.3	72.2	..
Women	43.2 |	42.2	42.2	42.5	43.3	43.6	..
Unemployment rate							
Total[3]	9.1	10.3	11.4	11.9	12.0	12.2	11.9
Men	6.5 |	7.6	8.7	9.2	9.4	9.5	9.2
Women	15.8 |	14.8	15.6	16.7	16.6	16.8	16.3
North	5.1 |	6.2	6.8	6.8	6.6	6.6	5.9
Centre	9.8 |	8.6	9.6	10.3	10.3	10.2	9.5
South	19.7 |	17.5	19.2	21.0	21.7	22.2	22.5
Youth unemployment rate (15-24)	31.3 |	30.4	32.4	33.9	38.8	33.5	31.8
Long-duration unemployment[4]							
(12 months and over)	69.8 |	..	61.5	63.6	65.6	66.3	..
Men	68.6 |	..	59.6	62.7	64.1	66.5	..
Women	70.7 |	..	63.3	64.4	67.1	66.2	..
Structural unemployment rate[5]	9.7	..	..	..	..	..	11.0

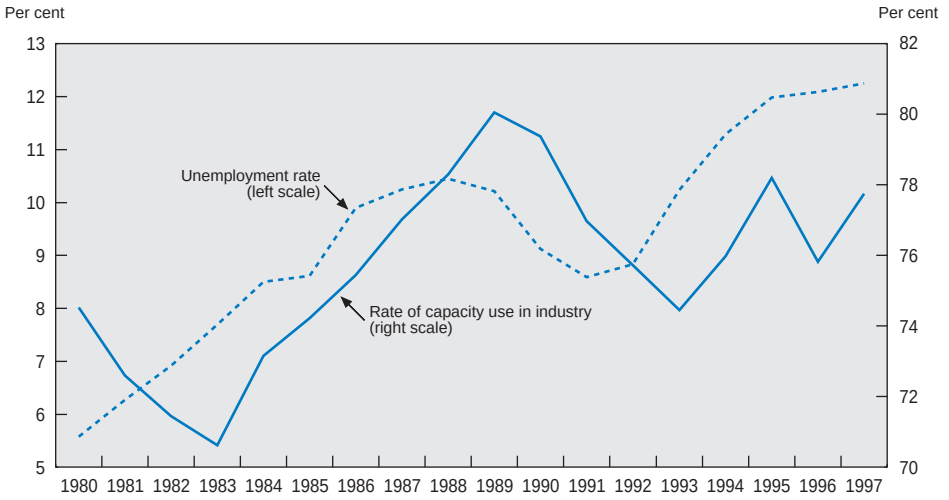
Note: The bar "|" denotes a break in series.
1. July.
2. Defined as total employment divided by the working-age population (15-64).
3. Standardised rate.
4. As a percentage of total unemployment (survey-based).
5. OECD estimate.

Source: OECD (1997), *Employment Outlook, Statistical Annex*; OECD (1998), *Economic Outlook,* December.

capacity use (Okun curve). This indicator points to an even stronger deterioration of labour market performance, the 1997 rate of unemployment having been about 2 points higher than in 1988, a year of similar capacity use in industry (Figure 28).

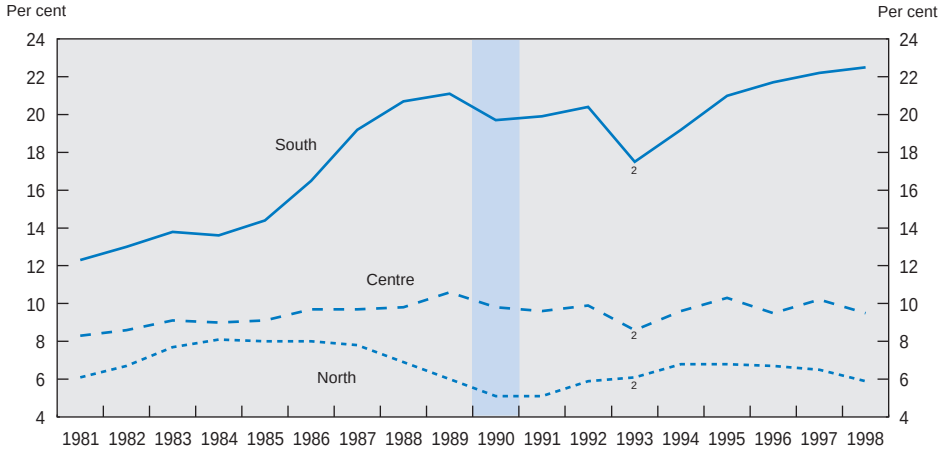
Examining regional unemployment trends over the past ten years suggests that higher structural unemployment and the upward shift in the Okun curve have been mainly confined to the south. In the centre-north, the relationship between industrial capacity use and unemployment has hardly changed: at 6.9 per cent in July 1998, the unemployment rate of the centre-north was close to that observed 10 years earlier (Figure 29). Moreover, the male employment rate in the export-oriented north is high, and the rate of unemployment low by EU standards. In contrast, the southern rate far exceeded 1988 levels, especially allowing for the effects of new statistical methods used for measuring unemployment[68] (Table 32).[69] The south has traditionally been plagued by low employ-

Figure 28. **Unemployment and rate of capacity utilisation**



Source: OECD.

Figure 29. **Regional unemployment rates**[1]



1. Data available until July 1998.
2. Break in series.

Note: Shaded area denotes last cyclical peak.
Source: ISTAT, *Rapporto annuale* (various issues).

Table 32. **Indicators of regional labour markets**[1]

South		
Labour force	7.3 (millions)	
Participation rate[2]	35.0	
Male	47.9	
Female	22.7	
Employment rate[3]	27.3	
Male	39.3	
Female	15.7	
Employment	5.6 (millions)	(100.0 per cent)
Agriculture	0.7	(12.5)
Industry	0.8	(14.3)
Construction	0.6	(10.7)
Services	3.6	(64.3)
Self-employment	1.7 (millions)	
Agriculture	0.4	
Industry / Construction	0.3	
Services	1.0	
Centre-North		
Labour force	15.6 (millions)	
Participation rate[2]	43.2	
Male	53.3	
Female	33.8	
Employment rate[3]	39.9	
Male	50.6	
Female	29.9	
Employment	14.4 (millions)	(100.0 per cent)
Agriculture	0.7	(4.9)
Industry	4.1	(24.4)
Construction	1.0	(6.9)
Services	8.6	(59.7)
Self-employment	4.0 (millions)	
Agriculture	0.5	
Industry / Construction	0.9	
Services	2.6	

1. In 1997.
2. Labour force in per cent of working-age population (15-64).
3. Employment in per cent of working-age population (15-64).

Source: Ministero del Tesoro (1998), *Quaderno strutturale dell' economia italiana,* May, p. 49.

ment and low participation rates, especially for women and the young (Table 32). The structure of its output, marked by under-industrialisation and excessive reliance upon non-marketable services (public sector-services), is strikingly different from that of the centre-north. During the 1990s, job creation has continued to lag behind the growth in labour supply, pushing up unemployment. Moreover, in terms of standard deviation, the dispersion of regional unemployment rates within the south is about twice as large as in the centre-north (Table 33). Underlying the deterioration of structural labour market conditions in many areas of the south has been the habitual set of adverse forces, including the chronic lack of infrastructure (mainly in the area of electricity, telecommunication and water), excess of administrative rules and regulations (red tape), a highly inefficient public administration and the presence of organised crime.[70] The 1990s saw a decline in public investment brought about by the need for fiscal rigour, the corruption scandal and a lack of policy co-ordination in the use of EU structural funds. The insufficient regional differentiation of wage and labour costs (Table 34) may also have played a role in deterring inflows of private capital. Empirical evidence points to southern unemployment having no effect upon the growth of southern nominal wages.[71]

Recent developments suggest that the important measures of labour market reform adopted in the early 1990s[72] have so far mainly borne fruit in the centre-north. Here, the rate of structural unemployment has stabilised under the effect of rising labour market flexibility. Atypical work contracts have grown in importance, labour has been used more flexibly as an input of production[73] (week-end work and a greater number of daily shifts), and geographical labour mobility has begun to rise from low levels. Moreover, the dispersion of regional unemployment rates within the centre-north has decreased (Table 33). Some signs of greater labour market flexibility are also visible in the unexpectedly marked nominal wage moderation from 1995.[74] The centre-north accounted for 76 per cent of Italy's GDP in 1997, for 90 per cent of exports, for 87 per cent of foreign tourist flows and for 72 per cent of employment. Its per capita income was about 65 per cent higher than in the south. The most notable weakness of labour markets in the centre-north is that female participation rates continue to be low by international comparison.

Within the overall bleak picture in the south, some hopeful signals have, nevertheless, recently become discernible.[75] The pace of gross and net firm creation in the south increased during 1997, rising above the national average, notably in the northern parts of the south, where new industrial districts have been established.[76] Youth unemployment has begun to decline from high levels. Such districts have been defined as an agglomeration of small and medium-sized firms which, through cultural affinity and networks of local institutions – both competitive and co-operative – tend to create and exploit external economies of scale.[77] Southern exports have shown greater dynamism in 1997 than those from

Table 33. **Regional unemployment rates**

	1992 (October)	1996	1997
South	16.3	21.7	22.2
Abruzzo	7.6	9.6	9.6
Molise	7.9	16.7	16.5
Campania	17.7	25.5	25.8
Puglia	14.0	17.7	19.2
Basilicata	14.1	18.1	19.1
Calabria	18.5	25.2	24.3
Sicilia	18.7	23.6	24.3
Sardegna	16.7	21.0	20.9
Standard deviation	4.5	5.3	5.3
Coefficient of variation	0.3	0.3	0.3
Centre-North	..	7.7	7.6
Piemonte	..	8.3	8.6
Valle d'Aosta	..	5.6	5.5
Lombardia	..	6.1	6.0
Trentino-Alto Adige	..	3.9	4.1
Veneto	..	5.6	5.3
Friuli-Venezia Giulia	..	7.1	7.0
Liguria	..	11.7	11.4
Emilia-Romagna	..	5.6	6.0
Toscana	..	8.4	8.5
Umbria	..	10.2	9.1
Marche	..	6.5	7.4
Lazio	..	12.8	12.5
Standard deviation		2.7	2.5
Coefficient of variation		0.4	0.3

Source: G. Bodo and G. Viesti (1997), *La Grande Svolta, Il Mezzogiorno nell'Italia degli anni novanta,* Donzelli, p. 76; SVIMEZ (1998), *Informazioni,* January-March.

Table 34. **Indicators of regional disparity**[1]

Data for the south in per cent of data for the centre-north

Per capita income	56.4
Total labour costs[2]	77.3
Gross wages[2]	90.9
Output	32.3
Employment	39.1
Level of labour productivity in industry	80.6
Exports	10.4

1. In 1997.
2. Per employee in industry.

Source: SVIMEZ (1988), *Informazioni,* January – March; ISTAT (1998), *Rapporto Annuale, La Situazione del Paese nel 1997*; *Ministero del Tesoro* (1998), *Documento di Programmazione Economico-Finanziaria, per gli anni 1999-2001,* April, p. 82; L.F. Signorini and I. Visco (1997), *L'economia italiana,* il Mulino, p. 89.

the north, raising the share of southern exports in the national export total. Investment in the south has accelerated, including foreign direct investment, and following several years of steep decline, industrial employment in the south began to rise in 1997. This development continued into 1998. There is also some evidence of increased wage differentiation inside the south, partly induced by contracts between local authorities and social partners (*patti territoriali* and *contratti d'area*, 1997).

Progress in structural reform

The scattered signs of an economic revival in the south may owe something to spillover effects from buoyant conjunctural trends in the north. In a strengthening macroeconomic environment, some parts of the centre-north have suffered from growing labour shortages, rising traffic congestion (see Part III) and lack of space for firm creation. These saturation effects have naturally directed investment efforts towards the south.[78] However, underlying institutional reforms, including changes to the system of both public-sector and enterprise governance, seem to have had beneficial effects. The new electoral system of 1993-1995 has enhanced local autonomy, mayoral integrity and accountability, improving the quality of government at the local level.[79] Transfer cuts associated with the EU-imposed abolition of special assistance for the south in 1993[80] appears to have changed entrepreneurial attitudes, while prospects of early EMU membership have strengthened investors' confidence. Core-periphery models typically emphasise the importance of geo-economical factors within a given region and the related potential of positive contagion.[81] Coinciding with a shift in regional policies and more general progress in structural reform towards an emphasis on markets and local initiative, the signs of economic revival in some parts of the south may portend an easing of labour market disequilibrium over the medium run.

In addressing its major policy challenge, namely to bring the economy of the south closer to parity with the north, the government has emphasised a comprehensive and focused approach. As a first step, this has involved taking stock of and screening all existing incentives given by both central and local governments. This screening has begun to be carried out by the newly-created Treasury department (*Dipartimento per le politiche di sviluppo e di coesione*). Its main function is to co-ordinate development efforts made by central and local governments, the EU and the private sector. The department will be assisted by a new public entity for public companies which have already invested in the south. Its major functions would be to increase the role of private capital in southern investment projects (merchant bank, intermediation) and to diffuse information about southern investment opportunities (marketing).

Increasing wage and labour cost flexibility

Rise in atypical work contracts

Since the previous *OECD Economic Survey of Italy* was prepared, several steps have been taken to increase the flexibility of wage and labour costs. Many provisions of the labour agreement of September 1996 signed by the social partners and the government[82] were transcribed into law in June 1997. The use of atypical labour contracts has been stimulated by adjusting social security contributions and pension provisions for part-time work and by discontinuing the automatic transformation of fixed-term contracts into indefinite work contracts. Sanctions have been eased for non-observance of rules regarding the transformation of fixed-term contracts into permanent ones. And from January 1998 the establishment of private-employment and temporary work agencies has been allowed.

In response to these initiatives, the extension of non-traditional work contracts has risen sharply, albeit from low levels. Temporary work is more prevalent in the south than in the north, perhaps reflecting the greater incidence of the underground economy. The north makes greater use of part-time work. While the use of temporary-work contracts is still regulated by law, effective limits have been set by collective agreements. Such constraints, however, have diminished over time.[83] Exploiting the new scope for non-traditional forms of work has also been influenced by firing restrictions which, in effective terms, can be quite stringent in the case of individual dismissals (with uncertainty about the length of the judicial process).[84] Thus, overall, non-traditional forms of employment are still less important than in other European countries.

Small widening of wage and labour cost differentials from low levels

In line with the labour agreement of September 1996, social partners and local authorities in economically depressed regions have concluded special contracts (*patti territoriali* and *contratti d'area*) aimed at fostering job and firm creation. Under these schemes, covering 7 300 employees by mid-1998, employers undertake to stimulate investment and employment at the local level in return for a temporary derogation from national wage agreements and more flexible working arrangements. As a result, entry wages have fallen significantly relative to average emoluments. At the same time, non-wage labour costs for newly hired young persons have been reduced by 30 per cent over a 3-year period.

A more general cut in non-wage labour costs has come with the 1997-98 tax reform, which instituted IRAP, a new regional tax on business activity, which has replaced a variety of taxes and contributions, including the local income tax (ILOR), the tax on companies' net worth, municipal taxes and employers' contributions to the national health system (see Part II). When fully operational, IRAP is projected to reduce national labour costs by about 1 per cent. Labour intensive

enterprises, which enjoyed little or no relief under the old regime of health contributions, are likely to benefit from larger cuts in labour costs. Until 2000, manufacturing firms in the south will benefit from a low effective IRAP rate.[85] The provisions of the new regional tax also give full tax deductibility for expenditure on apprentices. A deduction of 70 per cent is granted in the case of staff hired on work training contracts.[86] The 1998 tax reform also lowers the user cost of capital for firms which finance investments with their own capital or equity issues (see Chapter II). Overall, the tax reform is likely to strengthen employment.

A risk: the planned legislated introduction of a 35-hour working week

In March 1998, the government presented draft legislation reducing by 2001 the standard working week to 35 hours for firms with more than 15 employees and placing sanctions on the use of overtime. The legislation establishes a legal framework, leaving it up to the social partners to decide how the reduction in working hours would be implemented, allowing for conditions specific of firms and sectors. The government reserves the right to introduce amendments within two years of the approval of the law to remedy any distortions to which it might give rise. Even so, there is a risk of unit labour costs rising as a result of a reduced working week. The labour agreement for the Civil Service (*Contratto dei ministeriali*) of July 1998 cut weekly working hours from 36 to 35 for certain categories of civil servants. It also increased the flexibility of working time and the mobility of labour,[87] while giving each Ministry the right to make merit-based payments (decentralised wage contracts).

Derestricting the public labour market

Since the adoption of the 1997 framework law (*Bassanini 1*), two decrees have been issued, drawing a clear line between the responsibilities of politicians (ministers, mayors, local government councillors, chairmen and boards of directors of public bodies) and those of managers and civil servants and trade unions. Both decrees are based upon a management model borrowed from private enterprise, aimed at ending political interference in administrative activity.[88] Under the decree 80/98 based on *Bassanini 1*, the employment of top public managers is regulated by contract and general labour legislation, with the central government's new system of selecting, appointing and employing top managers serving as a benchmark for the public administration as a whole.

Reflecting reduced administrative constraints and the greater use of flexible forms of labour (fixed-term contracts, training contracts, and temporary employment and tele-work), senior managers who have been appointed under the new system have the autonomy of private-sector employers. The redeployment of labour from one government agency to another is governed by the same regulations which apply to the private sector. This implies that the principle of a specific job guaranteed for life is no longer maintained. The reform provides for

increased mobility under two categories, the first resulting from the shift of administrative powers from the central government to the periphery; and the second implying the redeployment of personnel from overstaffed to understaffed administrations. Public managers are given only a fixed-term contract (running from 2 to 7 years), with dismissal ensuing in the event of incompetence or redundancy. The contracts are renewable. Managers' emoluments partly depend upon performance, and, from the autumn of 1998, cost savings, the difference between budget appropriations and outlays, can be reinvested in the same department. Funds set aside for incentive schemes total 2 per cent of the total public wage bill.

Accompanying the process of decentralising government functions and applying private labour rules in the public sector has been a change in collective bargaining within the public sector. In analogy with the labour accord of July 1993, contracts have begun to be negotiated at two levels, one being the national level for collective agreements applicable to sectors (ministries; regional and city governments; schools; health care agencies; State enterprises; universities; research institutes, etc.). ARAN represents the central government, regions as well as local authorities and agencies in collective bargaining. A second level of negotiation can take place in each body within a given sector, subject to guidelines set in sector-level contracts. The reform also introduces new rules regarding trade union representation, which is high and fragmented (there are 102 unions). In each government agency, a single body representing employees is elected from a list of candidates presented by the trade union associations. The civil service reform is expected to be fully implemented before the end of 1998.

The privatisation of employment conditions has also advanced in the public health sector, where local health units (*Unità Sanitarie Locali*, USLs), of which there are 228, have been transformed into companies. Their heads, endowed with managerial responsibilities, have fixed-term work contracts, with pay partly related to performance. The USLs are required to draw up their own budget, setting out targets and monitoring budget developments. Overall, better organisation in the health sector has slowed the rise in health spending. New reform measures introduced in 1998 include means-testing, a greater use of cost-sharing provisions and modified pricing policies for drugs.

Improvements in labour force skills and competencies

Until recently, Italy's education system has been marked by a low leaving age for compulsory schooling (14 years, the lowest with Turkey of all OECD countries) and large numbers of students opting out of secondary school and University. Moreover, the capacity of secondary schools and universities to provide technical training has been limited, adding to skill shortages in the private sector. As a result, Italy has come low internationally for the total number of

degrees for those aged between 18 and 64. Responding to these weaknesses, the government has started a wide-ranging reform of school education, making school attendance compulsory from the ages of five to 15, thereby raising the minimum number of years at school from eight to ten. It also plans to take special action to reduce drop-outs from secondary schools, increasing teachers' training, tightening the standards of the *esame di maturità* and giving schools and universities greater autonomy in managing budgets and curricula (Autonomy law of December 1997).[89] The reform proposals also include independent quality checks of teachers, with new degree training requirements for those in primary schools.

Italy is also a country where the transition from education into the labour market is particularly difficult, as indicated by the level of the youth unemployment rate, which at close to 33 per cent in 1997 is significantly higher than the EU average. A particularly large fraction of labour market participants looking for their first job can be identified in the depressed *Mezzogiorno*. Implementing part of the labour agreement of September 1996,[90] the government in June and December 1997 increased the opportunities for training and apprenticeship contracts for young persons, with special provisions for the south ("Treu package" or *Pacchetto Treu*).

The "Treu package" eases regulations for new apprenticeship (*nuovo apprendistato*) and work-training contracts (*contratto di formazione-lavoro*) and sets incentives for on-the-job training (*stages*), temporary work via private agencies (*lavoro interinale*) and intra-regional labour mobility (*assegni per la mobilità geografica*). As an innovation, it introduces in public employment offices personalised and targeted counselling for young unemployed persons in the south. Regions and other local authorities will be responsible for the implementation of most of these measures.[91]

Increasing product market competition

Reducing the burden of regulation

Among major obstacles impeding the efficient functioning of product markets have been over-regulation and an organisation of public administration that insisted upon formal compliance rather than *ex post* assessment of results. Over time, laws and administrative rules have proliferated, leading to the creation of external technical bodies and greater fragmentation of public administration. The excessive number of laws and administrative acts has inevitably given rise to disputes, long planning delays, structural rigidities and uncertainties about the legal situation. The compliance costs for firms and citizens, measured by the number of days lost for contacts with the public administration, have been substantial, estimated at 1.2 per cent of GDP in 1996.

Reducing the "hidden administrative tax" had been the object of reform initiatives taken in 1993.[92] Under the framework law 59/97 (*Bassanini 1*), adopted in March 1997, the approach towards improving the quality of both regulations and administrative-decision making has been broadened and deepened.[93] Three principles underlie the strategy of cutting back red tape: *delegislation*[94] is a transformation of legislative power, making procedures less rigid; *simplification* implies removing unnecessary administrative steps, thereby serving users more quickly and cutting administrative costs; and *codification* means conceiving a unified, consistent set of regulations. A detailed screening process identifies procedures which are in need of simplification. Such procedures are automatic candidates for "delegislation". Under legislation passed in 1997 the screening process will become a permanent feature of structural reform.[95]

In application of the above principles, about 100 procedures have so far been removed, including licensing requirements for simple service jobs, and 378 laws simplified. Many licences have been replaced by a notification requirement. Procedures for setting up new industrial plants have been simplified, partly through the creation of "one-stop shops" for business. These shops represent a single authority at local government level, responsible for issuing licences, subject to time limits, and receiving notifications.

Liberalisation of non-financial service sectors

One segment of the service sector due to be liberalised under the effect of simplified procedures is the retail sector. Based upon the framework law 59/97 (*Bassanini 1*), the decree of March 1998 abolished city regulations for retail shops, including ceilings placed on the number of shops.[96] Under the new rules, which replace legislation dating from 1971, the categories of shops have been reduced from 14 to 2, the remaining distinction being one between food- and non-food stores. There are no longer restrictions governing the creation of non-food-shops with a surface of less than 250 square metres in towns with more than 10 000 inhabitants. Shops are now allowed to bundle goods. They can be opened for 13 hours per day within a time range from 6 a.m. to 10 p.m. (excluding Sundays). Sunday openings are restricted to 12 Sundays per year, including the December Sundays prior to Christmas. From March 1999, regions are required to submit plans for urban development and issue rules for opening up large shops. Until then, no large shop can be set up. Compared with other European countries, Italy has many small grocery shops and few hypermarkets.

In the telecommunications sector, the government in February 1998 granted national mobile telephony licences to Wind, a joint venture between the electricity company (ENEL), Deutsche Telekom and France Télécom. The fixed segment of the telephony market was also deregulated by assigning licences to two new companies with foreign participation, Albacom and Infostrada. Increased

competition reduced costs of long-distance calls by 14 per cent and that of international calls by 17 per cent in February 1998. The regulatory authority for telecommunications, which is also responsible for the television sector, became operative in May 1998. In April 1998, parliament approved legislation to liberalise the electricity market, setting the stage for ENEL to be split into three divisions (production, transmission and distribution) in accordance with the EU electricity market directive. A further government initiative in this direction was taken in November 1998. Far-reaching reforms are also being prepared for the transport sector, notably the national railways. They are discussed in Part III. In February 1998, the postal company (*Ente Poste*) was transformed into a corporation (SpA) controlled by the Treasury. A five-year restructuring plan was recently submitted to the government aiming at restoring financial accountability, improving efficiency and widening the range of postal services.

Restructuring the banking sector

Italy's banking sector has long suffered from State dominance and its associated features of overstaffing, high labour costs and fragmentation. Inefficiencies were manifest in low profitability, a huge stock of bad loans, mostly concentrated in the south (Table 35), and large spreads between lending and deposit rates. In the south, non-performing bank loans in 1997 totalled L 8-9 trillion or half a per cent of GDP. However, over the past few years, the pressure to restore profitability has increased with the steep fall in market interest rates and the growing presence of foreign banks in Italy. In 1998, the acceptance of Italy as a founding member of EMU has further enlarged the exposure to foreign competition.

The response to keener competition has mainly taken the form of nominal wage moderation, accelerated privatisation, mergers and acquisitions and diversification. The new wage agreement for the banking sector (February 1998),

Table 35. **Bad loans by region**[1]

	1990	1991	1992	1993	1994	1995	1996
Italy	**5.5**	**5.7**	**5.8**	**6.9**	**8.9**	**10.2**	**11.4**
North-west	3.6	3.5	3.6	4.6	5.7	6.1	6.2
North-east	4.4	4.3	4.4	5.5	6.9	6.9	6.8
Centre	6.0	6.7	6.3	7.4	9.5	10.8	12.0
South	10.1	10.5	11.0	12.7	16.7	22.0	27.2

1. Bad loans as a percentage of total loans.
Source: P. Morelli and G.B. Pittaluga (1998), "Le sofferenze bancarie: tendenze e previsioni", *Centro di economia monetaria e finanziaria Paolo Baffi, Working Paper No. 121,* March.

has provided for a cut in labour costs of 8-9 per cent over a four-year period, the use of more flexible forms of employment, longer opening hours and the creation of a special fund to finance training and early retirement. While overstaffing in the banking sector is still estimated at about 27 000, restructuring has sent banking and insurance stocks to record heights in 1998. The spread between lending and deposit rates narrowed to 5 points in 1997, partly reflecting a reduced stock of non-performing loans (*crediti divenuti inesigibili*).[97]

Highlights of privatisation in the banking sector have been the sale of *Credito Italiano* and *Banca Commerciale Italiana* (1993-94), *Istituto Mobiliare Italiano* (IMI, 1995-96), *Banco di Napoli* (1996), *Banca di Roma*[98] and *Istituto Bancario San Paolo di Torino* (1997). The ailing *Banco di Napoli* was sold to a syndicate composed of the privatised insurer INA (the insurance company) and the almost entirely state-owned *Banca Nazionale del Lavoro* (*BNL*). Tax incentives have also been introduced to speed up the sale of public banks controlled by foundations (*fondazione*, March 1998). Owned by regional and municipal authorities, the foundations were established in 1990, when public-sector banks were changed into joint stock corporations. According to projections of the Bank of Italy, by the end of 1998 the state's presence will have shrunk to 25 per cent of the banking system, compared with 68 per cent at the end of 1992.

A wave of mergers and acquisitions coincided with accelerated privatisation. *Ambrosiano Veneto*, a private bank, and *Cassa di Risparmio delle Province Lombarde* (CARIPLO), a savings bank controlled by a public foundation (*fondazione*), merged to form *Banca Intesa* (1997). In the wake of this merger, CARIPLO was privatised. Thereafter, the privatised *Istituto Bancario San Paolo di Torino*, the country's largest commercial bank, merged with the privatised IMI, a bank specialising in medium- and long-term lending. The privatised *Credito Italiano* intends to merge with three northern savings banks to constitute another strong banking group (*Unicredito*). Partly reflecting mergers, the number of Italian banks has fallen sharply, while the use of the banking network to sell insurance policies, mostly life insurance, multiplied (diversification). At the same time, foreign banks, mainly building societies and merchant banks, have enlarged their presence in the Italian market.

Expanding the private capital market

Italy's private capital market has been smaller and more concentrated than that other major countries. Out of a population of 2 000 potentially eligible companies, only 200 have been listed at the stock exchange, and single majority stakes have, until recently, accounted for about 60 per cent of total stock market capitalisation.[99] In July 1998, the capitalisation of the stock market was still well below the average of the main continental European stock markets. On the demand side, inadequate disclosure requirements, insider trading and neglect of

minority shareholders' rights discouraged financial investments in stocks. On the supply side, small and medium-sized companies, the backbone of Italy's economy, have traditionally shied away from stock market listing (given the immobility of their ownership structure). Securitisation of capital has been hampered by the inefficiency of the stock market, especially with respect to the pricing of new offers, fiscal provisions, and potential conflicts of interest between controlling and other shareholders.[100]

From a financial market perspective, prospects of rapidly declining public debt are expected to enlarge portfolio shifts, stimulating the demand for equities, corporate bonds and other financial assets (see Part II). The prospective switch in the allocation of savings is set to take place in the context of keener competition between financial markets, a consequence of EMU and globalisation. The need for a broad and efficient market for financial services has thus increased. Several reform measures were taken in the early 1990s to invigorate the stock market and make it more effective. These included the 1991 Stock Market Law, which changed the legal framework for the organisation and functioning of the securities markets and created a new legal entity, the multi-functional investment firm (SIM); the 1992 and 1994 Laws on take-over bids (Opas), which strengthened safeguards for minority shareholders and made bids compulsory; the 1993 Banking Law, which removed operational and maturity restrictions placed on credit institutions;[101] and several initiatives to establish private pension funds (1993, 1995, 1996 and 1997).

The institutional framework of capital markets has evolved further with the transformation of the stock exchange and securities markets from public institutions into corporations and the new law on financial markets and investment services (consolidated law on financial intermediation, 58/98). The sale of the shares of *Borsa Italiana S.p.A.* took place in September 1997,[102] banks absorbing 63 per cent of the shares, investment firms 29 per cent and institutional investors the remaining 8 per cent. The new law on financial intermediation of February 1998 has derestricted the managed savings industry[103] and simplified procedures for take-over bids. It has also strengthened the rights of minority shareholders and, in anticipation of the establishment of the European Central Bank, made the Bank of Italy responsible for supervising all markets relevant for monetary policy, including the screen-based wholesale markets in government securities and the interbank deposit markets. The Ministry of the Treasury will be responsible for the definition of investment services and financial instruments in line with EU legislation.

These institutional changes have been accompanied by the 1997-98 tax reform, which, as part of efforts to promote securitisation, has reduced the corporate income tax rate for new issues of share capital (see Part II). The preferential rate for corporate income may also facilitate the transformation of companies'

contingency funds for severance payments into equities owned by employees. These funds have been used as a source of self-finance. With effect from July 1998, the tax reform also modified the taxation of income from capital. It incorporated into the tax base capital gains derived from trading in derivatives, taxing capital gains on an accrual basis and making it possible to pay the income tax on the combined gain of the portfolio value (as distinct from its individual components).[104] Accompanying these measures has been the formal opening in July 1998 of a strips market, which is primarily used by pension funds. A strips market separates trading of registered interest and principal securities.[105] Legislation is also under discussion aimed at stimulating securitisation through sales of asset-backed bonds. Under the bill, banks would be free to sell non-performing loans in asset-backed markets and benefit from an exemption of paying withholding taxes. The main beneficiaries of the latter measure would be southern banks saddled with large amounts of bad debt.

Increasing the pace of privatisation

Over the past few years, issues of equity capital were dominated by sales of State companies. In the period 1992 to 1997, privatisation receipts, *i.e.* proceeds going to both the Treasury and IRI, the major state holding company, totalled L 118 trillion (Table 36). In line with OECD recommendations, the tempo of privatisation gathered strong momentum in 1997, when privatisation revenues surged by L 38 trillion, or nearly 2 per cent of GDP. This makes Italy one of the largest privatisers in the OECD in 1997. In some instances, though, the State has retained a golden share, prolonging State presence in the telecommunications and energy sectors. The special powers associated with the golden share have been found to violate competition rules and to comply with the EU request of July 1998[106] to terminate this practice the law is to be changed. In addition to banks (see above) highlights of privatisations in 1997 included sales of stakes in the energy conglomerate (ENI), the telecoms utility (*Telecom Italia*) and SEAT. In 1998, the fourth tranche of ENI has been sold under public offer, which at L 12 trillion or 0.6 per cent of GDP has been one of the largest operations mounted in Italy. In the process, the Treasury's stake in ENI has been reduced to less than 51 per cent of total share capital.

Under the medium-term economic plan of April 1998,[107] the government plans to sell its 85 per cent stake in the *Banca Nazionale del Lavoro* as well as its remaining shareholdings in the *Banco di Napoli*, IMI (the merchant bank), INA (the insurance company) and *Telecom Italia* (the telecoms utility). IRI, the state holding company, intends to offer its 87 per cent stake in *Autostrade SpA* (the highway concessionaire), *Altitalia* (the national airlines), *Finmare* (the ferry company) and the remainder of its stake in the Rome airport services company and parts of the defence and engineering group (*Finmeccanica*). In August 1997, the EU approved

Table 36. **Major privatisations**

Enterprise	Date	Method	Total gross revenue (billion lire)	Revenues accruing to:
Nuovo Pignone	1993	Private sale	699	ENI
Italgel		Private sale	431	IRI
Cirio-Bertolli-De Rica		Private sale	311	IRI
Credito Italiano		Secondary public offer	1 801	IRI
IMI 1	1994	Initial public offer	1 794	Treasury
Banca Commerciale Italiana		Secondary public offer	2 891	IRI
INA 1		Initial public offer	4 530	Treasury
Ilva Acciai Speciali Terni		Private sale	600	IRI
SME		Private sale	723	IRI
Italtel	1995	Private sale	1 000	STET
Ilva Laminati Piani		Private sale	2 513	IRI
IMI 2		Private placement	913	Treasury
INA 2		Private placement	1 687	Treasury
ENI 1		Public offer	6 299	Treasury
IMI 3	1996	Public offer	501	Treasury
ENI 2		Public offer	8 872	Treasury
INA3		Convertible bonds	3 200	Treasury
ENI3	1997	Public offer	13 230	Treasury
Telecom Italia		Public offer/private placement	22 883	Treasury
SEAT		Competitive bidding	1 643	Treasury
ENI4	1998	Public offer	12 000	Treasury

Source: Ministero del Tesoro (1998); *Documento di Programmazione Economico-Finanziaria per gli anni 1999-2001,* April, p. 74.

the government's proposal to extend the *Autostrade S.p.A.* licence to run the existing motorway network for 20 years to 2018. However, licences for any future motorway projects will have to be awarded by competitive tender.[108] The privatisation of the electricity company (ENEL) is absent from the 1998 privatisation plan, even though the regulatory authority for electricity (*Autorità per l'energia elettrica e il gas* created in June 1996) began operations in April 1997. Moreover, the sale of the State's remaining stake in the Rome Airport Services Company has been delayed as a result of negotiations on the opening of Milan's second airport (Malpensa) as an international hub (see Part III).

Alongside State privatisations, sales of municipality assets have begun to be made, reflecting cuts in state transfers to local authorities as well as simplified procedures for transforming *aziende speciali* into corporations (Law 127/97, *Bassanini 2*). In 1997, the British Airport Authority, which also runs London's Heathrow Airport, bought 70 per cent of the Naples airport. Milan has begun to

prepare sales of its municipal enterprises, including transport, airport, electricity production, waste management and street cleaning companies.[109]

Continued surveillance by the Anti-trust Authority

In its seventh year of activity, the Anti-trust Authority (*Autorità Garante della Concorrenza e del Mercato*) continued to reinforce competitive conditions in product markets directly through decisions (Table 37) and indirectly through investigations, partly conducted in collaboration with the Bank of Italy. The year 1997 saw evidence of horizontal agreements among producers of packaging for food and compact discs, drugs sold by pharmacies and explosives. The abuse of a dominant position was particularly strong in two segments of the financial service sector (assistance to crisis-ridden firms and consultation services) where *Mediobanca*, Italy's only private merchant bank until the reform of the banking law in 1993, still holds a dominant position.

Applying its competition advocacy powers, the Authority also issued reports about laws and regulations which contradict competition principles. Special attention has been devoted to network industries (*industrie a rete*) or previous public monopolies (gas, electricity and telecommunications), which have begun to operate in a new regulatory framework. The Authority detected a lack of competitive conditions in each of these industries.[110] In its first annual report, the regulatory authority for the electricity and gas sector presented evidence of a

Table 37. **Decisions taken by the Anti-Trust Authority**

	Number of decisions						
	1992	1993	1994	1995	1996	1997	1998 January-March
Concentrations	422	501	342	282	357	292	66
Agreements	34	26	25	31	64	64	14
Abuse of a dominant position	21	20	14	31	52	46	3
Misleading advertising	26	166	213	244	423	582	143

	Decisions taken in 1997 by outcome			
	Non-violation of law	Violation of law	Non-applicability of law	Total
Concentrations	259	6	27	292
Agreements	54	9	1	64
Abuse of a dominant position	41	5	0	46
Misleading advertising	195	361	26	582

Source: Autorità Garante della Concorrenza e del Mercato (1998), *Relazione annuale sull'attività svolta,* pp. 28-29.

distorted tariff structure and the related overpricing for household users of gas and electricity.[111]

Assessment and recommendations

Italy's labour market continues to be plagued by deep segmentation, the central-northern regions booming and the south deteriorating. The evidence of rising structural unemployment at the aggregate level mainly reflects adverse developments in the south. In the centre-north, more flexible modes of production (notably shift and Sunday work) have spread, raising the incidence of non-standard work from already high levels. Atypical work contracts have also become more important, and labour mobility is high. On the other hand, there is room for improving labour markets in the centre-north by raising female participation rates from low levels via larger supplies of part-time jobs. More importantly, the school and training system needs improving, school attendance being low and dropout rates high. By contrast, the south has been caught in a bad "equilibrium" marked by insufficient wage differentiation, lack of infrastructure, low quality of public services and the presence of organised crime. There is some circumstantial evidence that trends in southern job and firm creation have recently begun to strengthen in response to greater political stability provided by the new system for local elections, saturation effects in the north and labour-market measures taken in the wake of the labour agreement of September 1996. But within the south, signs of relative improvement are mainly concentrated in the northern part of the south and bringing the economy of the south closer to parity with the north will remain the major policy challenge in Italy for many years to come.

The general progress made towards market liberalisation and decentralisation should help in this regard. In the face of high unemployment and widespread inefficiencies in the public sector, the government in 1996-1998 laid the legislative ground for a market-oriented structural reform, which, in terms of width and depth, has no precedent in Italy's recent history. Based upon decentralisation of government powers, downsizing of the public sector and liberalisation of service sectors, the reform programme also includes tax reform and an overhaul of the public administration. The thrust of the tax reform, which lowers direct taxation, increases indirect taxation and enlarges the tax autonomy of regions, is in accordance with the-tax recommendations contained in the OECD Jobs Study of 1994[112] (Box 5). The reform was fully implemented by mid-1998. Other reform elements (liberalisation and reform of public administration) will be phased in gradually, the implementation process ending in 2001, the end-year of the 3-year plan (*DPEF*) of April 1998.

Box 5. Implementing the OECD Jobs Strategy – an overview

Proposal	Action	Assessment and recommendations
I. Increase wage and labour cost flexibility		
Lower tax and contribution rates	Tax reform 1997-1998	Corresponds to OECD Jobs Study recommendations. Reduce tax wedge further
Reduce obstacles to atypical work contracts	Easier access to apprenticeship and work-training contracts: adjustment in social security and pension provisions (part-time work); introduction of temporary work.	Enlarge scope for atypical work contracts
Ease employment protection legislation	No longer automatic transformation of fixed-term contracts into indefinite-terms contracts	Make further progress in reducing employment protection legislation for permanent employees, notably in the banking system. Ease judicial uncertainty
Link pay to firm profitability	Implementation of the 1993 labour agreement	Seek broader derogation from nation-wide minima set by sectoral wage contracts
Redeploy labour in the public sector	Bassanini reforms	Implement Bassanini reforms; increase marketability of reforms.
II. Improve the efficiency of labour-market policies		
Use modern job-brokering techniques	Creation of private employment agencies; decentralisation of public employment offices	Speed up reform of public employment offices
Intensify monitoring of labour-market programmes	No action	Provide better training through targeting special groups
III. Reduce distortions arising from unemployment insurance and related benefits		
Harmonise replacement ratios and benefit periods and strengthen incentives to job search	Extension of income support by wage supplementation fund to include banks, trade and public utilities. Minimum income schemes combined with job-search incentives	Re-examine income support for redundant employees; unify various programmes; and link benefits to active job search

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(continued)

IV. Improve labour-force skills and competencies		
Raise compulsory schooling age	Increase in compulsory schooling to ten years	Implement the 1996 labour agreement
Increase opportunities for vocational training	Enlarge off- and on-the job training	Increase training content of apprenticeship contracts
V. Increase product-market competition		
Ease policies of public procurement	Liberalisation of procurement policies	Speed up execution of investment projects and step up fight against organised crime
Accelerate privatisation	Accelerated privatisation	Maintain pace of privatisation, complete the process in the banking sector, and establish a corporate government system capable of fostering competition
Deregulate service markets	Limited liberalisation of retail, transport, telecommunication and financial services	Speed up the implementation of reform measures and broaden their scope

The issue of a successful transfer of powers to the regions is intimately linked to the speed and quality of the reform of public administration. Its overhaul (*Bassanini reform*), combining the decentralisation of state powers with the downsizing of the public sector as a whole, implies a sharp contraction of the central government and the number of ministries. The associated rise in *de jure* and *de facto* labour mobility has naturally met with strong resistance of state employees, slowing down the implementation of the reform. The application of private-sector principles in the reorganisation of the public sector is welcome (fixed-term labour contracts for newly appointed general managers; performance-related pay; a top-down approach and the creation of cost centres, etc.). But the marketability of the reform could be enhanced by making the reform process more transparent for citizens and all parties involved (issues of reform calendars, progress reports and press releases), by targeted training of managers, and by accelerating the streamlining of administrative procedures.

The liberalisation of several service sectors (including retail, transport, telecommunications, managed savings and the stock market) is an important example of the benefits of deregulation, lowering service input costs, enhancing consumer welfare and making capital markets more efficient. In some instances,

though, the reform is either absent or narrow. The reform of the retail sector includes a freeze (until March 1999) on the opening of large shops, and the reform of the trucking industry contains an undue tax privilege (see Part III).

The devolution of a wide range of powers to local governments, guided by the principle of subsidiarity, should with time improve the quality of public services. Reducing red tape, corruption and tax evasion as well as the improvement of public employment offices and the infrastructure should generate a business climate conducive to assisting firm and job creation in the south. Two caveats, however, are in order, one being that incomplete implementation may dilute the reform impact, as has often been the case in Italy. The other caveat concerns the possibility that regions may not be equally prepared to exercise the new executive powers in an adequate way (this concerns in particular tax administration, transportation, environment, training and education).

Reaching the government's employment target (a rise in employment of 600 000 over the three years to 2001) also depends upon the pace of deregulating the labour market itself. While this market shows signs of greater labour market flexibility (with an increased proportion of atypical work, resumption of labour mobility and better use of labour inputs), in some domains the institutional reform has been painstakingly slow. Examples of this include education, training, the modernisation of public employment offices and the establishment of private employment agencies. Wage differentials, though widening somewhat from low levels, continue to be insensitive to productivity differentials and cyclical conditions. Moreover, the planned introduction of the 35-hour week through law in 2001 poses a risk of higher unit labour costs, an undesirable outcome, especially considering keener competition from EMU participants and low-labour cost countries. Thus, labour market reform *per se* needs to be adapted and speeded up.

Notes

1. The VAT increase added an estimated 0.5 point to the rise in the consumer-price index.
2. S. Fabiani, A. Locarno, G. Oneto and P. Sestito (1998), "Risultati e problemi di un quinquennio di politica dei redditi: una prima valutazione quantitativa", Banca d'Italia, *Temi di discussione No. 329*, March.
3. Banca d'Italia (1998*a*), *Relazione annuale, Considerazioni finali del Governatore*, p. 15.
4. See A. Fazio (1998), *Italy and Europe in a world global finance*, Address to the conference organised by AIOTE, ASSOBAT, ATIC, FOREX, AIAF, Naples, 24 January 1998. For a recent empirical analysis of the transmission of monetary policy to inflation in Italy, see also E. Gaiotti, A. Gavosto and G. Grande (1997), "Inflation and monetary policy in Italy: some recent evidence", Banca d'Italia, *Temi di discussione*, No. 310, July.
5. The discount rate and the rate on fixed-term advances define a "corridor" for money market rates under normal conditions.
6. For a recent discussion of the role which expectations may have played in triggering the reduction of long-term interest rate differential between EU countries, see I. Angeloni and R. Violi, (1997), "Long-term interest rate convergence in Europe and the probability of EMU", Banca d'Italia, *Temi di discussione* No. 322, November.
7. Banca d'Italia (1998*b*), *Economic Bulletin*, February, p. 46.
8. Over the summer of 1998, the long-term interest rate differential *vis-à-vis* Germany widened temporarily reflecting turbulence on international financial markets, while also under the influence of technical factors, stimulating the demand for German bonds.
9. Cross-country estimates of the responsiveness of the banking sector to monetary policy changes are given in C. Cottarelli and C. Kourelis (1994), "Financial structure, bank lending rates and the transmission mechanism of monetary policy", *IMF Staff Papers*, December.
10. See for a discussion P. Morelli and G.B. Pittaluga (1998), "Le sofferenze bancarie: tendenze e previsioni", Centro di economia monetaria e finanziaria Paolo Baffi, *Working Paper No. 121*, March.
11. The original 1997 budget embodied a fiscal adjustment of L 46.5 trillion relative to trend, of which 28 trillion was in the form of additional revenue. At the beginning of the year, slower than expected output growth put the state sector deficit target at risk, leading to the adoption of supplementary measures amounting to around L 16 trillion at the end of March 1997. Accounting changes led to a further reduction in net borrowing of around L 16 trillion.

12. These receipts are expected in conjunction with the phasing-in of new rules governing personal and corporate income taxation and the revision of the tax rates for vehicles. The revenue-yielding effects of the raise of the withholding tax rate (from 19 to 20 per cent) are estimated to be L 0.8 trillion.
13. According to ISPE, real gross public investment of Italy fell by close to 23 per cent between the year 1990 and 1997. See Istituto di studi per la politica economica (1998), "I conti pubblici nel 1997 e 1998 e le loro prospettive negli anni a venire", *Documenti ufficiali*, No. 3, 1998. For a wide discussion of the requirements for stronger public investment in Italy given the context of fiscal adjustment, see also F. Modigliani and F. Padoa Schioppa Kostoris (1998), *Sostenibilità e solvibilità del debito pubblico in Italia*, Bologna, Il Mulino.
14. A less favourable scenario assuming a higher discrepancy between cost of the debt and nominal GDP growth (at 6 per cent and 3.5 per cent, respectively), implies that the debt ratio would fall below 60 per cent by 2018.
15. *Residui passivi* are the difference between expenditure appropriations and cash outlays. In recent years, the relatively pronounced cut in cash outlays has led to a build-up of *residui passivi* which at the end of 1997 totalled 9 per cent of GDP.
16. During the 1980s, the growing generosity of transfer provisions made it more difficult to reduce the budget deficit. See N. Sartor (1998), *Il risanamento mancato*, Carocci Editore and S. Rossi, *La politica economica italiana 1968-1998*, Bari, Editori Laterza.
17. OECD (1996), *Economic Survey of Italy*, pp. 49-55; OECD (1997*a*), *Economic Survey of Italy*, pp. 82-85.
18. Ministero del Tesoro (1998), *Italy's convergence towards EMU*, pp. 27-29.
19. Istituto Nazionale di Statistica (1998*a*), *Rapporto annuale, la situazione del paese nel 1997*, pp. 87-90.
20. L. Pennacchi (1997), *Lo stato sociale del futuro*, Roma, Donzelli; M.V. Rostagno and F. Utili (1998), "The Italian social protection system: the poverty of welfare", *IMF Working Paper*, May; Commissione per l'analisi delle compatibilità macroeconomiche della spesa sociale (1997), *Relazione finale*, February.
21. For details see *ISTAT* (1998*a*), *op. cit.*, pp. 303-305; OECD (1996), *op. cit.*, pp. 70-71.
22. Law 59/1997 provides a framework for three inter-related reforms: the decentralisation of government functions, the reform of the public administration and the simplification of administrative procedures.
23. The devolution process is different from that of the 1970s, when the central government waived its jurisdiction over specified functions. See F. Bassanini (1998), "Overview of administrative reform and implementation in Italy: organisation, personnel, procedures and delivery of public services" (unpublished draft), p. 4.
24. Ministero dei Trasporti e della Navigazione, Ministero dei Lavori Pubblici, Ministero dell' Ambiente (1998), *Conferenza Nazionale Trasporti*, July, p. 22.
25. The kickback scandal, which broke in 1992, revealed widespread corruption in almost every area of public life, linking political parties, local authorities and business. International Monetary Fund and World Bank (1998), *Finance and Development*, March, p. 8. The Economist Intelligence Unit (1997), *Italy*, p. 6.
26. ISTAT (1998*b*), *La vita quotidiana nel 1996*, pp. 65-83.
27. J. Preston and C. Nash (1994), "European railway comparisons and the future of RENFE", *FEDEA Working Paper 94-09*, p. 18.

28. Ministero dei Trasporti e della Navigazione (1997), *I trasporti in Italia*, p. 108.
29. Ministero del Tesoro, Commissione tecnica per la spesa pubblica (1998), *Controllo della spesa e processo di risanamento della finanza pubblica italiana*, March, p. 60.
30. *La Repubblica*, Affari & Finanza, 30 March 1998, p. 7.
31. Ferrovie dello Stato (1997), *Annuario statistico 1996*, p. 11.
32. By stimulating economies of scope, intermodal transport gives room for price reductions.
33. Between 1991 and 1997, train drivers' pay rose by 41 per cent and consumer prices by 27 per cent.
34. OECD (1998), *Railways: Structure, regulation and competition policy*, p. 145.
35. Derailments and train accidents increased in the first four months of 1998, 15 accidents being responsible for more than 100 injured persons and one dead. Growing train insecurity has fuelled public discontent.
36. According to *FS* figures, in 1996 *FS* revenues from passenger fares totalled L 3.5 trillion. The average journey length per passenger was 107 kilometres. In the same year, revenues from freight transport amounted to L 1.3 trillion. The average journey length per tonne was 305 kilometres, see FS (1997), *op. cit.*
37. Ministero dei Trasporti e della Navigazione (1997), *op. cit.*, p. 96.
38. There were about 1 100 enterprises in 1996 providing local transport services. The greater part of these (about two-thirds) provided extra-urban transport and nearly one fifth urban transportation. The remaining firms performed both types of services. Virtually all local public traffic is based on rubber wheels, tramways and subways having a minute share. More than half of local transportation firms are located in the south (including the islands), one-third in the north and the remainder in the central regions. The production structure is highly dualistic, with about 60 per cent of enterprises employing less than 10 employees and 11 per cent of the firms having a workforce above 100 persons. The *grandi aziende speciali*, most of which provide urban transport services, are all owned by local authorities and belong to *Federtrasporti*, the association of public transportation companies. Their employees accounted for 55 per cent of total employment in 1995 and for 51 per cent of the passenger volume in local transportation. The other companies engaged in extra-urban transportation belong to *Anac*.
39. In 1996 airports used for civilian purposes numbered around a hundred, a comparatively large number by OECD standards even after scaling for the size of the country. About half of these were airports assigned to serving the national and international commercial air commuters.
40. Autorità Garante della Concorrenza e del Mercato (1997), *Concorrenza e efficienza nel settore aeroportuale*, p. 26. There are seven of these airports in the UK and six in France.
41. In other towns, *e.g.* Milan and Turin, municipalities are majority shareholders of airports.
42. Alitalia is a joint stock company wholly owned by IRI. Since December 1996, Alitalia has been at the helm of a group of 12 companies whose activities extend from air- and airport services to tourist, computer, investment and insurance services
43. G. Nicoletti (1998), "Concorrenza ed efficienza nel settore aeroportuale", Autorità Garante della Concorrenza e del Mercato, *Temi e Problemi* No. 9; *Il Sole 24 Ore*, 21 October 1998.

44. Ministero dei Trasporti e della Navigazione (1997), *op. cit.*, p. 138.
45. Ministero dei Trasporti e della Navigazione (1997), *op. cit.*, p. 185.
46. Europe's first toll motorway was opened in Italy in 1928.
47. OECD (1991), *OECD Economic Survey of Italy*, p. 64.
48. OECD (1991), *op. cit.*, p. 61.
49. Ministero del Tesoro, Commissione tecnica per la spesae pubblica (1998), *Controllo della spesa e processo di risanamento della finanza pubblica italiana*, p. 57-61.
50. OECD (1994), *Environmental performance review of Italy*, p. 128.
51. OECD (1994), *op. cit.*, p. 128.
52. Ministero dei Trasporti e della Navigazione, Ministero dei Lavori Pubblici, Ministero dell' Ambiente (1998), *op. cit.*, July, p. 35.
53. OECD (1994), *op. cit.* p. 129 and Ministero dell'Ambiente (1997), *Relazione sullo stato dell'ambiente*, p. 242.
54. Ministero dei Trasporti e della Navigazione, Ministero dei Lavori Pubblici, Ministero dell' Ambiente (1998), *op. cit.*, p. 40.
55. Autorità garante della concorrenza e del mercato (1997), *Indagine conoscitiva di natura generale sui servizi portuali*.
56. Fees for using the railway network are planned to have a fixed component (35 per cent) and a variable one (65 per cent). Variable user charges may depend upon three parameters: speed of the train, traffic density and use of infrastructure (*Il Sole 24 Ore*, 31 July 1998).
57. The Prodi initiative of January 1997 also called on the state railway company to draw up a medium-term business plan covering the period 1997 to 2001. Finalised in September 1997, the plan embodies further job cuts and a programme of railway investment totalling L 12.8 trillion, or 0.5 per cent of GDP. Of this amount, L 5.8 trillion are scheduled to be spent on upgrading the infrastructure and the rolling stock, L 5 trillion on extending the network of high-speed trains (including freight trains) and the remainder (L 2 trillion) on safety and efficiency. Investment spending will be financed out of government funds, taking the form of increases in the *FS* capital share and, to a smaller extent, by private capital. In February 1998, a multi-annual labour contract was signed, freezing *FS* wages over a 3½-year period. From 2001, there will be only one driver in *FS* trains, aligning labour inputs on those of other European railways.
58. The national transport fund (*Fondo nazionale dei trasporti*), which had channelled transportation funds from the state to the regions, was abolished in 1995. Since then, regional transport spending has been frozen at the 1995 level, and regions have received revenues from special excise duties on petrol.
59. Legislative Decree 422/97, December 1997.
60. This view has been taken by the Anti-trust Authority in early 1998.
61. Ministero del Tesoro (1998), *Documento di programmazione economico-finanziaria per gli anni* 1999-2001.
62. Pollution from cars and (especially) from trucks is more important than that from trains. At the same time, the construction of railway links often alters the landscape, arousing opposition from environmentalists.
63. ECMT (1998), *Efficient transport for Europe, Policies for Internalisation of External Costs.*

64. M. Ponti (1998), "Sui costi d'esercizio la tassa della politica", *Il Sole 24 Ore*, 10 August.
65. Ministero dei Trasporti e della Navigazione (1998), *op. cit.*, pp. 31-32.
66. T. Andersson and P. Hasson (1998), "Why integrated transport systems?" *OECD Observer*, April-May, p. 27.
67. Structural unemployment data are based upon estimates of the non-accelerating wage rate of unemployment (NAWRU). See OECD (1998), *Economic Outlook 64*, December.
68. The methodological changes introduced in October 1992 included an extension of the list of branches of economic activity, a more detailed questionnaire and a redefinition of "job seekers", counting as unemployed persons only those aged more than 15 who were available for work and took at least one initiative to find a job in the 30 days preceding the quarterly labour force survey.
69. The alignment on ILO procedures in October 1992 showed that Italy's unemployment had been grossly overstated in the past and that the downward statistical revision for the south was particularly large.
70. L.F. Signorini and I. Visco (1997), *L'economia italiana*, Il Mulino, p. 89.
71. R. Faini, A. Falzoni, M. Galeotti, R. Helg and A. Turrini (1998), "Importing jobs or exporting firms? A close look at the labour market implications of Italy's trade and foreign direct investment flows", Università of Brescia, p. 18 and p. 32.
72. Highlights of labour market reform in the early 1990s included the abolition of the job allocation scheme (July 1991); the removal of the wage indexation scheme (*scala mobile*, July 1992, 46 years after its introduction); the establishment of a two-tier wage bargaining system (July 1993), which made nominal wage growth more responsive to ex-ante inflation and changes in productivity and profits at the firm level (the agreement is currently under review); the alignment of employment conditions in the civil service sector with those prevailing in the private sector (1993/94); and the labour agreement of September 1996, aimed at stimulating the use of non-standard or atypical work contracts, decentralising public employment services and creating private employment agencies for temporary jobs. Derestriction of goods and services markets, based upon new legislation, interventions of the Anti-trust Authority (*Autorità Garante della Concorrenza e del Mercato)* and large privatisations accompanied labour market reform. For further details of the reform process see OECD (1996), *op. cit.*, pp. 59-85 and OECD (1997*a*), *op. cit.*, pp. 124-136.
73. Banca d'Italia (1998*c*), *Relazione annuale 1997*, p. 103.
74. Nominal wage growth has stayed significantly below levels predicted by wage equations. See OECD (1997*b*), *Employment Outlook*, July, p. 16.
75. Ministero del Tesoro (1998), *op. cit.*, April, pp. 84-88.
76. S. Fabiani and G. Pellegrini (1997), "Education, infrastructure, geography and growth: an empirical analysis of the development of Italian Provinces", Banca d'Italia, *Temi di discussione*, No. 323, p. 41.
77. S. Fabiani and G. Pellegrini (1997), *op. cit.*, p. 17.
78. A. Pozzolo (1998), "Research and development, regional spillovers and the location of economic activities", Banca d'Italia, *Temi di discussione* No. 331, March, p. 30.
79. F. Bassanini (1998), *op. cit.*, p. 2. There are three tiers of government below the State level, regional councils, provinces and municipalities. Since June 1993 (Laws 142/90 and 81/93), the mayor (*sindaco*) of towns and cities over 15 000 inhabitants has been

elected by two rounds of direct elections. If no candidate gets over 50 per cent in the first round, a second round is held between the front-runners. The victorious mayor can determine 60 per cent of the seats in his council, the remainder being allocated according to the distribution of the vote among other parties. The new system has introduced greater stability into local politics. As regards regions, the new electoral system introduced in February 1995 provides for the election of 80 per cent of the legislative council (*consiglio regionale*) according to proportional representation and 20 per cent with a simple majority. Regional elections take place every 5 years.

80. "Extraordinary" intervention in favour of the South which terminated in 1993 was replaced by support based upon common nation-wide criteria in accordance with EU rules. For details see OECD (1996), *op. cit.*, p. 83.
81. S. Fabiani and G. Pellegrini (1997), *op. cit.*, p. 18.
82. For details see OECD (1997*a*), *op. cit.*, pp. 125-131.
83. Banca d'Italia (1998*c*), *op. cit.*, p. 105.
84. E.S. Prasad and F.Utili (1998), "The Italian labour market: stylized facts, institutions and directions for reform", IMF *Working Paper*, April, p. 40.
85. Confindustria (1998), Nota dal C.S.C., 18 June.
86. Banca d'Italia (1998*b*), *op. cit.*, pp. 14-21.
87. Opening hours for museums and other public services have been lengthened.
88. F. Bassanini (1998), *op. cit.*, p. 8.
89. Under the old school system, attendance has been compulsory between ages of 6 and 14 (*scuola elementare*, 6 to 11 and *scuola media*, up to 14), the leaving age being the lowest, along with Turkey, of all OECD countries. Voluntary higher education (*scuole secondarie superiori*, 14 to 18) has been divided into several categories, many of them, such as *scuole professionali*, job-oriented.
90. OECD (1997*a*), *op. cit.*, pp. 125-128.
91. Ministero del Lavoro (1998), "Employment Action Plan".
92. OECD (1997*a*), *op. cit.*, pp. 101-102.
93. Autorità Garante della Concorrenza e del Mercato (1998), *Relazione annuale sull'attività svolta*, April, p. 8.
94. Delegislation is the shifting from primary to secondary legislation, rules of laws being replaced by rules of regulations.
95. Law 59/97 requires the government to present to Parliament a bill each year, setting out the programme for further simplification.
96. Excluded from the new legislation are bars and restaurants governed by a law of 1991, as well as the petrol distribution sector.
97. Banca d'Italia (1998*a*), *op. cit.*, p. 32.
98. IRI, the state's major holding company, has retained a stake of 22 per cent in *Banca di Roma* in the form of warrants which may be taken up by private investors.
99. OECD (1995), *Economic Survey of Italy*, pp. 59-60.
100. OECD (1995), *op. cit.*, pp. 106-107.
101. For details see OECD (1995), *op. cit.*, pp. 52-53.
102. Banca d'Italia (1998*b*), *op. cit.*, p. 66-73.

103. Under the draft legislation, pension and investment funds are given the right to provide services for both individual and collective portfolio management. In contrast, investment firms, banks and trust companies can only render services for individual portfolio management.
104. Banca d'Italia (1998*b*), *op. cit.*, p. 19.
105. Coupon stripping is the process of separating the interest income stream from the principal of a bond.
106. *Il Sole 24 Ore*, 30 July 1998.
107. Ministero del Tesoro (1998), *op. cit.*, p. 73.
108. *The Financial Times*, 11 August 1998.
109. *The Financial Times*, 13 May 1998.
110. *Autorità Garante della Concorrenza e del Mercato* (1998), *op. cit.*, pp. 31-32; *La Repubblica, Affari & Finanza*, 29 June 1998, p. 6.
111. *La Repubblica*, 18 June 1998.
112. OECD (1998), *The OECD Jobs Study*, pp 239-259.

Annex

Chronology of main economic events

Budget policy and public sector reform

1996

September

With a view to meeting the Maastricht criteria in 1997, the government announces tighter fiscal targets (L 59.3 trillion for the general government). Relative to trend, the overall fiscal adjustment totals L 62 trillion for the general government, of which L 32.3 trillion represent an ordinary fiscal adjustment and the remainder a supplementary deficit cut (*Eurotax*). Of the ordinary fiscal adjustment, L 18.2 trillion represent cuts in the primary spending.

The government presents draft legislation aimed at reforming the public administration and at increasing the transparency of the budgetary process. Delegation laws for a new regional tax and other tax reforms are submitted to Parliament.

December

Parliament approves the budget bill as well as the delegation laws for tax reform and public administration reform. The government announces special tax incentives for car purchases and house repairs.

1997

February

EUROSTAT approves reclassification of expenditure for interest payment on postal savings and transfer payments to the railway company.

March

The government announces supplementary deficit-reducing measures worth L 15.5 trillion.

Parliament gives government the power to devolve executive powers to local governments (*Bassanini 1*). The law provides a framework for three inter-related reforms: the decentralisation of government functions, the reforms of the public administration and the simplification of administrative procedures.

April

Parliament approves the reform of the budget process.

May

The government presents the 1998-2000 medium-term economic plan which envisages bringing the state sector deficit to L 56.9 trillion in 1998 (or 2.8 per cent of GDP) and to L 39.7 trillion in 2000 (1.8 per cent of GDP).

A new law is approved providing for the simplification of administrative procedures (*Bassanini 2*).

July

The government announces that tax incentives for new car purchases due to expire in September are extended until July 1998.

September

The government presents budget proposals for 1998, confirming the 2.8 per cent general government deficit target. Relative to trend, the overall fiscal adjustment totals L 25 trillion, of which L 13 trillion represent spending cuts and L12 trillion revenue increases. The 1998 budget also contains measures remodelling the tax system. The salient features of the reform are: *a)* the introduction of a new regional tax on production activities (*Imposta regionale sulle attività produttive, IRAP*); *b)* the revision of the personal income tax (*Imposta sui redditi delle persone fisiche, IRPEF*); *c)* the reorganisation of the rules governing the taxation of capital gains; *d)* the introduction of a two-tier system for corporate taxation (*Dual income tax, DIT*); *e)* the change of the VAT regime. All these measures are scheduled to take effect on 1 January 1998, except the reform concerning capital gains taxation, which is scheduled to take effect in July 1998.

October

The VAT rate increase takes effect.

Communist Refoundation (*Rifondazione Comunista)*, a coalition party, forces the Prodi government to resign over the budget. A few days later *Rifondazione Comunista* renews support to the governing coalition in response to the commitment by the government to gradually reduce the working week to 35 hours.

November

The government announces new measures to contain the rise of pension expenditures (*Prodi Agreement)* providing for an acceleration of the increase in the early retirement age, the gradual harmonisation of public and private pension regimes and increases in pension contributions paid by self-employed.

December

Parliament approves the 1998 budget law.

1998

January

The EcoFin meeting in Brussels recognises Italy's progress in meeting the Maastricht's Treaty criteria for EMU membership.

March

The government announces that the general government budget deficit is expected to come in at 2.6 per cent in 1998, compared with the original target of 2.8 per cent.

April

The government submits to Parliament the 1999-2001 medium-term economic plan, several weeks ahead of schedule. The new plan envisages cuts in the general government budget deficit to L 43.6 trillion in 1999 (2 per cent of GDP), L 33 trillion in 2000 (1.5 per cent of GDP) and L 24 trillion in 2001 (1.0 per cent of GDP). Compared to the previous year's programme the new plan contains more ambitious targets, thereby accelerating the decline in public debt relative to GDP. However, the tightening of the deficit is small relative to the scope opened up by a substantial downward revision of interest payments. This reflects the commitment by the government to increase infrastructure investment in the South.

May

Italy becomes one of the eleven founding members of the European Monetary Union.

September

The government presents budget proposals for 1999, reaffirming the target for the general government deficit set out in April (2 per cent of GDP). The proposals envisage a correction of L 14.7 trillion, L 9.5 trillion through spending cuts and L 5.2 trillion through revenue increases. In addition, the government plans actions to promote investment in the south to increase social spending and tax deductions for low-income earners, while also committing itself to reimbursing part of the *Eurotax*. These measures totalling L 6.7 trillion, net overall budget correction equals 0.4 per cent of GDP, confirming the DPEF target.

October

The Centre-Left Prodi government falls on a confidence vote, notwithstanding the fact that most *Rifondazione Comunista* deputies continue to support the government following a split of the party. A new government headed by Mr. D'Alema is appointed.

Monetary policy and financial markets

1996

October

The Bank of Italy reduces the discount rate by 0.75 point to 7.5 per cent and the rate on fixed-term advances by the same amount to 9 per cent.

November

The lira re-enters the ERM at a central parity of L 990 per Deutschemark.

1997

January

The Bank of Italy reduces the discount rate by 0.75 point to 6.75 per cent and the rate on fixed-term advances by the same amount to 8.25 per cent.

June

The Bank of Italy reduces the discount rate by 0.50 point to 6.25 per cent and the rate on fixed-term advances by the same amount to 7.75 per cent.

December

The Bank of Italy reduces the discount rate by 0.75 point to 5.50 per cent and the rate on fixed-term advances by the same amount to 7.00 per cent.

1998

April

The Bank of Italy reduces the discount rate by 0.50 point to 5.00 per cent and the rate on fixed-term advances by the same amount to 6.50 per cent.

October

The Bank of Italy reduces the discount rate by 1.00 point to 4.00 per cent and the rate on fixed-term advances by the same amount to 5.50 per cent.

Privatisation and liberalisation

1997

April

The electricity authority becomes operative.

June

The Treasury sells the totality of its stake in *Istituto Bancario San Paolo di Torino* through public placement (L0.3 trillion) and 60 per cent of its stake in *Banco di Napoli* through competitive bidding (L0.1 trillion).

July

The Treasury sells the third tranche of ENI, the national oil company, through a public placement (L13.2 trillion).

September

The stock exchange and securities markets are transformed from public institutions into corporations.

November

The Treasury sells 32.9 per cent of the capital of Telecom Italia through public placement and 6.6 per cent through private sale to a "stable core" of shareholders, reducing its stake from 44.7 per cent to 5.2 per cent. At L22.9 trillion this is the largest privatisation operation mounted in Italy. In the same month, the treasury sells the totality of its stake in SEAT, a publishing company, through competitive bidding (L1.6 trillion).

1998

January

The ministerial committee on privatisation announces the timetable and procedure underlying the privatisation of *Banca Nazionale del Lavoro (BNL)*, implying the selling of the Treasury's 85 per cent stake before the end of the year through public offer and through private sales.

February

The postal company (*Ente Poste*) is transformed into a joint-stock corporation controlled by the Treasury.

The government grants the third national mobile telephone licence to Wind, a joint venture between the electricity company ENEL, Deutsche Telekom and France Télécom. As regards the fixed segment of the telephony market, the government assigns national licences to two new companies with foreign participation, Albacom and Infostrada.

The government gives final approval to the new law on financial intermediation which derestricts the managed savings industry, simplifies procedures for take-over bids and strengthens the rights of minority shareholders.

March

The government finalises a reorganisation plan for the railways, dividing the state railway company into four separate business (freight, medium- and long-distance inter-city travel, infrastructure and local transport).

The government announces the reform of the retail sector envisaging a reduction of the categories of shops from 14 to 2 (food- and non-food stores), less stringent rules governing the creation of small non-food shops and more flexible opening hours.

April

Parliament approves legislation to liberalise the electricity market, setting the stage for ENEL to be split into three divisions (production, transmission and distribution).

May

The telecommunications authority becomes operative.

June

The Treasury sells the fourth tranche of ENI through a public placement (L 12 trillion).

November

The Treasury launches the privatisation of BNL in accordance with the procedure set out in January.

Other structural measures

1997

March

Resolution of CIPE, the Inter-ministerial Committee for Economic Planning, setting the criteria ruling the development of *Contratti di area* and *Patti territoriali*, new special schemes aimed at fostering job and firm creation in economically depressed regions.

June

Adoption of law to stimulate wider use of atypical labour contracts.

1998

February

Dipartimento per le politiche di sviluppo e di coesione, a newly-created Treasury department, becomes operative. Its main function will be to co-ordinate development efforts made by central and local governments, the EU and the private sector.

March

The government presents draft legislation reducing by 2001 the standard working week to 35 hours for firms with more than 15 employees and placing sanctions on the use of overtime.

April

A new labour contract is signed among the social partners and the government whereby the use of interim job contracts cannot exceed 8 per cent of a firm's work force.

October

The government issues a legislative decree, launching a new public holding company owned by the Treasury and placed under private law, which will serve as an umbrella entity for public companies which have already invested in the south. Its major tasks will be to increase the role of private capital in southern investment projects (*merchant bank, intermediation*) and to diffuse information about southern investment opportunities (*marketing*).

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1996	18 289	8 060	10 157	29 964	10 316	5 262	5 125	58 380	81 877	10 465
Inhabitants per sq. km	Number	1996	2	96	333	3	131	122	15	106	229	79
Net average annual increase over previous 10 years	%	1996	1.3	0.6	0.3	1.3	0	0.3	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	8 344	3 737 (94)	3 675 (95)	13 676	4 918	2 593	2 087	21 951	35 360	3 824 (95)
of which: Agriculture	% of TCE	1996	5.1	7.2 (94)	2.5 (95)	4.1	6.3	4	7.1	4.6	3.3	20.4 (95)
Industry	% of TCE	1996	22.5	33.2 (94)	26.7 (95)	22.8	42	27	27.6	25.9	37.5	23.2 (95)
Services	% of TCE	1996	72.4	59.6 (94)	71.4 (95)	73.1	51.7	69	65.3	69.5	59.1	56.4 (95)
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	398.9	228.7	268.2	579.2	56.2	174.9	125.1	1 536.6	2 353.5	91.2 (95)
Per capita	US$	1996	21 812	28 384	26 409	19 330	5 445	33 230	24 420	26 323	28 738	8 722 (95)
At current prices using current PPPs[3]	Bill. US$	1996	372.7	172.4	222	645.1	..	118	96.7	1 198.6	1 736.1	133.5
Per capita	US$	1996	20 376	21 395	21 856	21 529	..	22 418	18 871	20 533	21 200	12 743
Average annual volume growth over previous 5 years	%	1996	3.9	1.6	1.2	2.2	2	2.2	1.6	1.2	1.4	1.3 (95)
Gross fixed capital formation (GFCF)	% of GDP	1996	20.3	23.8	17.3	17.7	33	16.7	16.1	17.4	20.6	17 (95)
of which: Machinery and equipment	% of GDP	1996	10.2 (95)	8.8 (95)	7.5 (95)	6.6	..	7.9 (95)	6.4 (95)	7.8	7.6	7.7 (95)
Residential construction	% of GDP	1996	4.6 (95)	5.9 (95)	4.6 (95)	5.4	..	3.2 (95)	3.5 (95)	4.4	7.3	3.3 (95)
Average annual volume growth over previous 5 years	%	1996	5.6	2.1	0.3	2.2	9.4	2	–4.1	–1.5	0.2	0.5 (95)
Gross saving ratio[4]	% of GDP	1996	18	21.9	22.2	17.8	..	17.6	19.6	18.7	20	16 (95)
General government												
Current expenditure on goods and services	% of GDP	1996	17	19.8	14.5	18.7	21.5	25.2	21.9	19.4	19.8	20.8 (95)
Current disbursements[5]	% of GDP	1995	35.6	48.6	52.2	45.8	..	59.6	55.9	50.9	46.6	52.1
Current receipts	% of GDP	1995	34.9	47.4	49.9	42.7	..	58.1	52.8	46.9	45.9	45
Net official development assistance	% of GNP	1995	0.36	0.33	0.38	0.38	..	0.96	0.32	0.55	0.31	0.13
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	12 596	12 152	13 793	12 959	..	12 027	10 282	12 506	12 244	9 473
Passenger cars, per 1 000 inhabitants	Number	1994	460	433	416	466	282	312	368	430	488	199
Telephones, per 1 000 inhabitants	Number	1994	496	466	449	576	209	604	551	547	483[8]	478
Television sets, per 1 000 inhabitants	Number	1993	489	479	453	618	476	538	504	412	559	202
Doctors, per 1 000 inhabitants	Number	1995	2.2 (91)	2.7	3.7 (94)	2.2	2.9	2.9 (94)	2.8	2.9	3.4	3.9 (94)
Infant mortality per 1 000 live births	Number	1995	5.7	5.4	7.6 (94)	6.3 (94)	7.7	5.5	4	5.8 (94)	5.3	8.1
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	1.7	5.2	2.7	2.4	..	3.2	3.8	2.6	4.2	11.8
Consumer prices	%	1996	2.4	2.9	2.2	1.4	11.9	1.9	1.5	2	3.1	11.6
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	60 288	57 870	170 223[7]	202 320	21 910	51 030	40 576	288 450	521 263	11 501
As % of GDP	%	1996	15.1	25.3	63.5	34.9	39	29.2	32.4	18.8	22.1	12.9 (95)
Average annual increase over previous 5 years	%	1996	7.5	7.1	7.6	9.7	..	6.2	12.1	6.3	5.4	5.8
Imports of goods, cif*	Mill. US$	1996	61 374	67 376	160 917[7]	170 931	27 721	44 987	30 911	271 348	455 741	27 402
As % of GDP	%	1996	15.4	29.5	60	29.5	49.3	25.7	24.7	17.7	19.4	30.4 (95)
Average annual increase over previous 5 years	%	1996	9.7	5.9	5.9	7.7	..	5.6	7.3	3.9	3.3	6.6
Total official reserves[6]	Mill. SDRs	1996	10 107	15 901	11 789[7]	14 202	8 590	9 834	4 810	18 635	57 844	12 171
As ratio of average monthly imports of goods	Ratio	1996	2	2.8	0.9	1	..	2.6	1.9	0.8	1.5	5.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
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Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1996	10 193	270	3 621	57 473	125 864	45 545	418	96 582	15 494	3 640
Inhabitants per sq. km	Number	1996	77	3	52	191	333	458	161	48	380	14
Net average annual increase over previous 10 years	%	1996	–0.3	1.1	0.2	0	0.4	1	1.3	2	0.6	1.1
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	3 605	142	1 307	20 036	64 860	20 764	212 (95)	32 385 (95)	6 983	1 688
of which: Agriculture	% of TCE	1996	8.4	9.2	10.7	7	5.5	11.6	2.8 (95)	23.5 (95)	3.9	9.5
Industry	% of TCE	1996	33	23.9	27.2	32.1	33.3	32.5	30.7 (90)	21.7 (95)	22.4	24.6
Services	% of TCE	1996	58.6	66.2	62.3	60.9	61.2	55.9	66.1 (90)	54.8 (95)	73.8	65.9
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	43.7 (95)	7.3	70.7	1 214.2	4 595.2	484.8	17	329.4	396	65.9
Per capita	US$	1996	4 273 (95)	27 076	19 525	21 127	36 509	10 644	40 791	3 411	25 511	18 093
At current prices using current PPPs[3]	Bill. US$	1996	..	6.3	68.8	1 148	2 924.5	618.5	13.5	751.1	324.5	63.6
Per capita	US$	1996	..	23 242	18 988	19 974	23 235	13 580	32 416	7 776	20 905	17 473
Average annual volume growth over previous 5 years	%	1996	–2.4 (95)	1.5	7.1	1	1.5	7.1	4.8	1.7	2.3	3.7
Gross fixed capital formation (GFCF)	% of GDP	1996	19.3 (95)	17.5	17.2	17	29.7	36.8	20.8	18	19.7	20.9
of which: Machinery and equipment	% of GDP	1996	..	6.7	5.5 (95)	8.8	10.1 (95)	13	..	8.8	9.4	10
Residential construction	% of GDP	1996	. .	3.9	4.9 (95)	4.5	5.3 (95)	7.6	..	4.7	5	5.6
Average annual volume growth over previous 5 years	%	1996	–0.9 (95)	–1.4	6	–1.4	1.3	6.9	0.2	–0.7	2.2	9.6
Gross saving ratio[4]	% of GDP	1996	..	15.6	21.7	20.5	31.4	34.2	37.5	22.7	25.7	16
General government												
Current expenditure on goods and services	% of GDP	1996	24.9 (95)	20.8	14.1	16.4	9.7	10.6	13.6	9.7[10]	14	14.4
Current disbursements[5]	% of GDP	1995	..	35.1	39.2 (94)	49.5	28.5	15.1	..	..	51.8	..
Current receipts	% of GDP	1995	..	36	39.3 (94)	44.5	32	25.1	..	..	50	..
Net official development assistance	% of GNP	1995	..	..	0.29	0.15	0.28	0.03	0.36	..	0.81	0.23
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	..	14 244	10 020	12 224	13 912	7 354	17 811	5 045	12 477	10 895
Passenger cars, per 1 000 inhabitants	Number	1994	212	434	264	517	342	115	544	91	383	457
Telephones, per 1 000 inhabitants	Number	1994	170	557	350	429	480	397	564	93	509	470
Television sets, per 1 000 inhabitants	Number	1993	427	335	301	429	618	215	261	150	491	
Doctors, per 1 000 inhabitants	Number	1995	3.4	3.9 (94)	3.4	3.0 (94)	1.7	1.6 (92)	1.8 (94)	1.1	2.2 (93)	1.6
Infant mortality per 1 000 live births	Number	1995	11	6.1	6.3	6.6 (94)	4.3	9	5.3 (94)	17 (94)	5.5	7.2 (94)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	..	..	3.7	3.5	1.8	..	..	–1.6	2.4	1.5
Consumer prices	%	1996	23.2	2.6	2.2	4.5	0.7	5.3	2.4	19.7	2.5	2
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	15 674	1 891	48 416	250 842	411 067	129 715	..	96 000	203 953	14 316
As % of GDP	%	1996	35.9	26	68.5	20.7	8.9	26.8	..	29.1	51.5	21.7
Average annual increase over previous 5 years	%	1996	8.9	4	14.8	8.2	5.5	12.5	..	17.6	8.9	8.2
Imports of goods, cif*	Mill. US$	1996	18 105	2 032	35 763	206 904	349 149	150 340	..	89 469	184 389	14 682
As % of GDP	%	1996	41.4	27.9	50.6	17	7.6	31	..	27.2	46.6	22.3
Average annual increase over previous 5 years	%	1996	9.6	3.4	11.5	2.5	8	13.9	..	12.4	7.8	11.8
Total official reserves[6]	Mill. SDRs	1996	6 812	316	5 706	31 954	150 663	23 670	..	13 514	18 615	4 140
As ratio of average monthly imports of goods	Ratio	1996	..	1.9	1.9	1.9	5.2	..	..	1.8	1.2	3.4

* At current prices and exchange rates.
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5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
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Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1996	4 370	38 618	9 935	39 270	8 901	7 085	62 695	58 782	265 557
Inhabitants per sq. km	Number	1996	13	123	108	78	20	172	80	240	28
Net average annual increase over previous 10 years	%	1996	0.5	0.3	–0.1	0.2	0.6	0.8	2	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1996	2 110	14 977	4 475	12 394	3 963	3 803	20 895	26 088	126 708
of which: Agriculture	% of TCE	1996	5.2	22.1	12.2	8.7	2.9	4.5	44.9	2	2.8
Industry	% of TCE	1996	23.4 (95)	31.7	31.4	29.7	26.1	27.7	22	27.4	23.8
Services	% of TCE	1996	71.5 (95)	46.2	56.4	61.6	71	67.4	33.1	71	73.3
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1996	157.8	117.9 (95)	103.6	584.9	251.7	294.3	181.5	1 153.4	7 388.1
Per capita	US$	1996	36 020	3 057 (95)	10 425	14 894	28 283	41 411	2 894	19 621	27 821
At current prices using current PPPs[3]	Bill. US$	1996	106.7	..	130.1	587.2	171.4	180.6	383.3	1 095.5	7 388.1
Per capita	US$	1996	24 364	..	13 100	14 954	19 258	25 402	6 114	18 636	27 821
Average annual volume growth over previous 5 years	%	1996	4.1	2.2 (95)	1.5	1.3	1	0.1	4.4	2.2	2.8
Gross fixed capital formation (GFCF)	% of GDP	1996	20.5	17.1 (95)	24.1	20.1	14.8	20.2	25	15.5	17.6
of which: Machinery and equipment	% of GDP	1996	8.4	..	11.7 (93)	6.1 (95)	7.9	9.3	11.9	7.6	8.3 (95)
Residential construction	% of GDP	1996	2.6 (94)	..	5.2 (93)	4.3 (95)	1.9	11[9]	8.4 (95)	3	4.1 (95)
Average annual volume growth over previous 5 years	%	1996	2.8	5.4 (95)	2.2	–1	–2.6	–0.8	6.9	1.3	6.9
Gross saving ratio[4]	% of GDP	1996	29.9	..	21.6	20.7	16	27.1	22.3	14.6	16.6
General government											
Current expenditure on goods and services	% of GDP	1996	20.5	16.9 (95)	18.5	16.3	26.2	14.3	11.6	21.1	15.6
Current disbursements[5]	% of GDP	1995	45.8	..	42.5 (93)	41.2	63.8	47.7	..	42.3 (94)	34.3
Current receipts	% of GDP	1995	50.9	..	39.8 (93)	37.9	57.5	53.8	..	37.2 (94)	32.1
Net official development assistance	% of GNP	1995	0.87	..	0.27	0.24	0.77	0.34	0.07	0.28	0.1
Indicators of living standards											
Private consumption per capita using current PPPs[3]	US$	1996	11 593	..	8 522	9 339	10 096	15 632	4 130	11 865	18 908
Passenger cars, per 1 000 inhabitants	Number	1994	381	186	357	351	406 (93)	451	47	372	565
Telephones, per 1 000 inhabitants	Number	1994	554	131	350	371	683	597	201	489	602
Television sets, per 1 000 inhabitants	Number	1993	427	298	190	400	470	400	176	435	816
Doctors, per 1 000 inhabitants	Number	1995	2.8	2.3	3	4.1 (93)	3.1	3.1 (94)	1.2	1.6 (94)	2.6 (94)
Infant mortality per 1 000 live births	Number	1995	4	13.6	7.4	6 (94)	4	5	46.8 (94)	6.2 (94)	8 (94)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1996	3.2	..	..	5.8	4.8	..	..	4.9	2.7
Consumer prices	%	1996	1.9	..	5.6	4.7	2.7	2.2	81.6	2.7	2.9
Foreign trade											
Exports of goods, fob*	Mill. US$	1996	49 576	24 417	24 614	102 067	84 836	79 581	23 301	259 941	625 075
As % of GDP	%	1996	31.4	20.7	23.8	17.5	33.7	27	12.8	22.5	8.5
Average annual increase over previous 5 years	%	1996	7.8	..	8.6	11.2	9	5.3	11.1	7	8.2
Imports of goods, cif*	Mill. US$	1996	35 575	37 185	35 192	121 838	66 825	78 052	43 094	287 033	795 289
As % of GDP	%	1996	22.5	31.5	34	20.8	26.5	26.5	23.7	24.9	10.8
Average annual increase over previous 5 years	%	1996	6.9	..	6.1	5.5	6	3.2	15.1	6.5	10.3
Total official reserves[6]	Mill. SDRs	1996	18 441	12 409	11 070	40 284	13 288	26 727	11 430	27 745	44 536
As ratio of average monthly imports of goods	Ratio	1996	6.2	..	3.8	4	2.4	4.1	3.2	1.2	0.7

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